

Industrial Technology & Distribution

Q2 Takeaways: Short-Cycle + Long-Cycle Demand Drives Q2 EPS Beats & Solid Outlook

2026 Capex Growth est. +19% (vs. July +15%); Short-Cycle & Long-Cycle Capex drives Ind. Tech OSG to +12% (prior +10%). Valuations imply shortest recovery in a generation. We upgrade ST, raise price targets for MANH, CDW, SNX & lower SYM's.

We now expect our Industrial Tech coverage '26e avg. organic sales growth (OSG) of +12% (July est. +10%, April est. +7%), driven by upward end market CAPEX revisions, now +19% (July +15%), with continued acceleration and the strongest growth since 2021. CAPEX growth was once again led by semiconductor (+51%), A&D (+27%), and continuing DD growth in Supply chain & Logistics (+13%). Our Industrial Tech & Distributor coverage beat Q2 cons. EPS by +11% (Q1 +13% EPS beat). Distributors beat EPS expectations by 12% on average, while Industrial Tech names beat by 11% (ex-SYM) on average.

Sector valuation is still near cyclical troughs at 1.04 P/E relative, implying a short-lived Industrial Tech recovery, which we do not believe given global CAPEX momentum, and just 8 months of the ISM New Orders Index above 50.

Overall, we retain a **Positive** view of **Industrial Technology & Distributors** with a bias toward industrial tech names given their short-cycle exposure, datacenter exposure, as well as exposure to favorable long-cycle markets like aerospace & defense. Our [Industrial Tech Global Capex Model](#) suggests +19% growth in end market capex (excluding Hyperscaler Capex).

The sector has limited exposure to O&G or process industries with most important end markets being **retail, automotive, industrial, T&L, IT & Datacom (datacenter), electronics, and A&D**. We highlight **Industrial Tech OW** ratings for **ST, ZBRA, APH, and CGNX**. We **upgrade ST** given the recent pullback in shares and 30% potential upside to our \$55 PT.

Industrial Software is back: **MANH** delivered a strong Q2 and positive outlook, and strong progress with its Agentic AI pilots, driving a significant short squeeze in MANH shares. [Takeaways](#) from Barclays-hosted investor meetings with MANH management in August were very positive in our view. **We raise our MANH PT to \$239** (prior \$201). We also like **TRMB**, where we see a catalyst path including potential [sale of all or part of T&L](#), another FY26 guidance increase, and a 2027 investor day. Despite recent outperformance from software we note our

U.S. Industrial Technology & Distributors

POSITIVE

Unchanged

[U.S. Industrial Technology & Distributors](#)
Guy Hardwick

+1 212 526 2120

guy.hardwick@barclays.com

BCI, US

Nick Ignéri

+1 212 526 1632

nicholas.igneri@barclays.com

BCI, US

Barclays Capital Inc. and/or one of its affiliates does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision.

Please see analyst certifications and important disclosures beginning on page 57.

Completed: 08-Sep-26, 00:21 GMT Released: 08-Sep-26, 04:10 GMT Restricted - External

*industrial software coverage is trading at a 5.1% FCF yield vs. Industrial Tech hardware at 3.5%. We remain **Overweight MANH** and **TRMB**.*

Other than **WCC**, we still do not favor our **Distributor** coverage as we believe that while the outlook for volume growth is improving, growth comes at price and therefore limited operating leverage, and we prefer our industrial tech manufacturers for this reason. We see upside risk to **SNX** estimates, though we believe this is broadly expected by investors. We expect **CDW** to beat Q3 consensus EPS, lower SG&A and share repos, but believe the multiple will remain at the lower end of the historical range due to GM pressures.

Where are we in the cycle? In our view we are still in the early stage of the recovery in the industrial cycle (*based on 8 consecutive monthly readings above 50 for the ISM New Orders Index*). For company-specific or idiosyncratic reasons each company is in different stages. For example, CGNX, which is the most short-cycle-exposed name in our coverage, we think is in the early/middle innings of a recovery: **2024** was the first year of recovery, driven by logistics (AMZN T&F capex in particular) and semiconductor. **2025** was a broader based recovery that included consumer electronics (CE) and packaging, while automotive was a laggard. We have been calling for a broader recovery in **2026**, and due to semiconductor and rising penetration of machine vision in the consumer sector, with this panning out even stronger than we expected, we now expect +19% OSG in '26 from CGNX.

We Highlight:

CGNX: We continue to see consensus underestimating operating leverage and the impact of the lower Opex. CGNX didn't meet elevated investor expectations at Q2, but Q3 guidance was significantly above Street expectations. There are significant cultural and operational changes being taken by the new management that are still underappreciated, in our view. Despite Q3 sales guidance 10% above cons. and 37% above cons. EBITDA, the stock has pulled back since the Q2 print. Barclays 3Q26, 4Q26, and FY27 EBITDA estimates are +2%, +28%, and +32% above consensus, respectively. **We remain OW with an \$80 price target.**

ZBRA: Q2 results provided further support to our view that ZBRA *has the levers to offset memory headwinds, and can raise prices further if necessary*. We see upside risk to our H2 estimates but we believe investor focus is now on 2027. Zebra surprised the market at Q2 results by raising FY26 EPS guidance, which included higher revenue from pricing, and reiterated confidence in offsetting the full ~200bps FY26 GM headwind memory cost headwind. The stock at 16.5x FY26e P/E is no longer discounting a material downgrade but is still below its 19-20x NTM long-term average. **Following results we raised our FY26e EPS by +13% and our PT to \$410.**

APH: Remains a rare stock in that APH provides AI and datacenter exposure, short-cycle exposure (electronics, industrial), as well as long-cycle (A&D). At Q2 APH delivered a double-digit EPS and OPP beat and guided Q3 EPS 10% above consensus. As we had flagged, APH raised its guidance for the CommScope acquisition, now \$4.6B (prior \$4.1B). We believe APH content on datacenter AI architecture continues to grow at least through Kyber and our view is that APH is continuing to broaden its optics offering while it continues to highlight its 448G CPC product at trade shows. **Our PT remains \$100 (adjusted for 2:1 share split on Sept. 3rd).**

ST: Given the sharp pullback in the share price **we upgrade our rating to Overweight (prior EW) given potential 30% upside to our \$55 price target.** We believe recent lower expectations for global auto production (~60% of ST sales, 52% of segment EBITDA) are reflected in both estimates and ST shares. We like the industrial story and see upside risk to estimates here (~40% of sales, 48% of FY26e EBITDA).

MANH: Agentic AI is gathering momentum as MANH customers are seeing rapid payback from their paid pilots, which supports our channel checks that suggest DD pricing uplift to SaaS

contracts and could be as high as 20%. Guidance remains conservative, with potential for further upside to FY26e earnings, while management commentary at investor meetings suggests FY27 consensus SaaS sales growth of 20% is conservative. We think new SaaS WMS price point introduced this year should accelerate conversions, cross sell, and backlog growth. **We raise our PT to \$239 (prior \$201) and remain Overweight rated.**

WCC: Stronger than expected Q2 results provided further support to the WESCO investment thesis. WCC provides relatively inexpensive exposure to secular themes of electrification, data centers, and NA factory investment (re-shoring). We also believe WCC is in the early innings of realizing the benefits of its Digitalization program with potential material benefits to margins and FCF to come beyond 2027. We think investors should assume net working capital of 22-23% of sales through 2027, and given DD sales growth, investors should expect FCF conversion of adj. net income in the 40-50% range. Post Q2 results we raised our FY26e and FY27e EBITDA estimates by 4%, **and increased our PT to \$390 (prior \$376); we reiterate our OW rating.**

SNX: We remain **Equal Weight on TD SYNEX, and raise our price target to \$287 (prior \$278).** We believe near-term estimate risk is skewed to the upside. That said, we believe this view is already widely held by investors. TD SYNEX is increasingly viewed as part of the datacenter investment ecosystem, with Hyve contributing approximately 30% of operating profit and continuing to grow as a percentage of the mix. On the Distribution side, following our [July webinar with the CFO](#), we came away with a greater appreciation for the business quality of the segment, which we believe is underappreciated by the market. One negative, however, is that Barclays FCF estimates are well below consensus for both Q326e and Q426e given the growth in Hyve, and the impact of strategic inventory purchases in Distribution. Our \$287 PT is based on 9.5x FY26e EBITDA (Distribution 7.5x, Hyve 14x).

We Remain Cautious On:

SYM: We see gross margins in the 25-30% range in the long term given prevalence of Walmart (90% of FY28e revenues, ~50% of backlog). Robotics/Automation peers margins are at ~50%+ GMs. While SYM has a strong cash flow profile (due to customer prepayments), this is dependent on growing deployments ("DIPs"). FQ3 EBITDA was 16% above Street and FQ4 guide 11% above cons., but the FQ4 sales guide was a touch below cons. While we remain fans of the core Symbotic system, its high capex cost limits the pool of potential customers. SYM is making acquisitions of additional lower priced products to broaden its offering, but we expect core systems sales to WMT to still account for 85%+ of revenue through FY28. Softbank still owns 31% of SYM Class A shares, which we view as an overhang. **We reiterate our UW rating and lower our 12-month price target to \$38 (prior \$44)** based on our FY 9/28 SOTP valuation discounted by 1 year.

GWW: 2Q26 results disappointed the market as strong top-line execution was again offset by limited earnings leverage, reinforcing our long-held thesis that growth at GWW continues to come at a price. GWW raised FY26 guidance for sales, margins, and EPS, though the increase was modest relative to the tariff-related benefit and 3Q guidance implied operating margins in the mid-15% range, below prior expectations. July sales were strong at >13% organic cc growth and MRO markets continue to improve, but we see ongoing pressure from mix, compensation expense and project-related growth limiting operating leverage. Post results we raised FY26E EBITDA 1.5% and our PT to \$1,185 from \$1,166 based on 17x FY26E EBITDA, **but remain UW as we continue to prefer names with clearer potential upside to earnings estimates.**

CONTENTS

We Highlight:	2
We Remain Cautious On:	3
Industrial Tech Sector Valuation	6
Industrial Technology & Distributors Comparative Valuation	7
Q2-26 Takeaways	8
Barclays Estimates vs Consensus	9
Q3-26 Guidance	10
Stock Price Performance	12
Orders and Sales Growth Data for Industrial Tech Short-Cycle End-Markets	13
Hyperscaler CapEx	14
Iran Conflict Impact	15
Barclays Industrial Tech Global Capex Model	16
U.S. Reshoring: Tariff Tailwind for TTM	17
Machine Vision / AIDC	18
Cognex Corp. (CGNX, OW, PT \$80)	18
Impinj (PI, OW, \$176 PT)	18
Teledyne Technologies (TDY, EW, \$640 PT)	19
Zebra Technologies (ZBRA, OW, \$410 PT)	19
Connectors / Sensors	20
Amphenol (APH, OW, \$100 PT)	20
Sensata Technologies (ST, U/G to OW, \$55 PT)	20
TE Connectivity (TEL, OW, \$300 PT)	22
Industrial Software	24
Bentley Systems (BSY, EW, PT \$40 PT)	24
Manhattan Associates (MANH, OW, PT \$239)	24
Trimble Inc. (TRMB, OW, PT \$80)	25
Robotics	26
Symbolic (SYM, UW, PT \$38) Lowering Price Target	26
Distributors	27
Fastenal Co. (FAST, EW, PT \$46)	27
WW Grainger (GWW, UW, PT \$1,185)	27
ScanSource Inc. (SCSC, EW, PT \$43)	27
WESCO International (WCC, OW, PT \$390)	28
CDW Corp. (CDW, EW, PT \$150)	28
TD Synnex Corp. (SNX) We raise our PT to \$287, But Remain EW	30
Appendix	32

Summary of our Ratings, Price Targets and Earnings Changes in this Report (all changes are shown in bold)

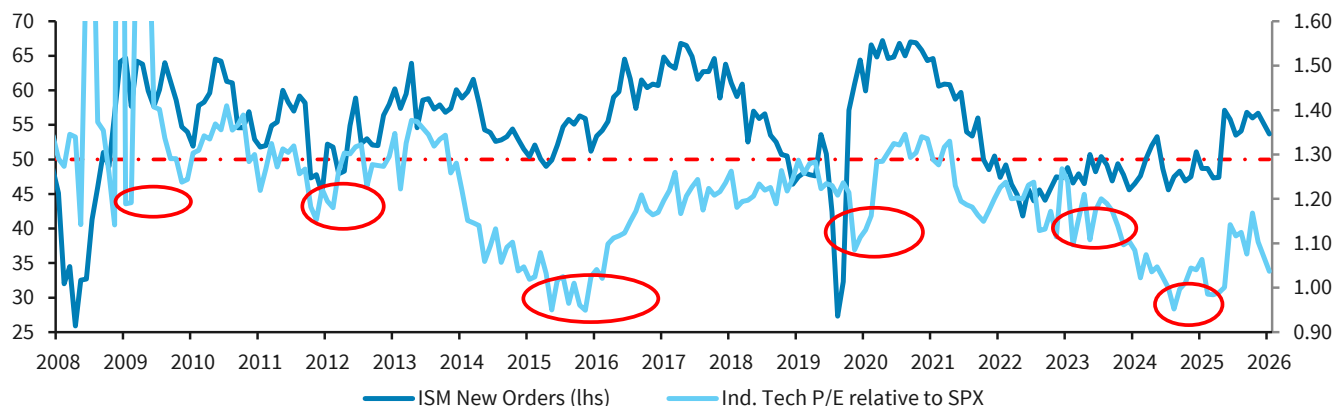
	Rating		Price	Price Target			EPS FY1 (E)			EPS FY2 (E)		
Company	Old	New	4-Sep-26	Old	New	%Chg	Old	New	%Chg	Old	New	%Chg
U.S. Industrial Technology & Distributors	Pos	Pos										
Amphenol Corp. (APH)	OW	OW	82.78	200.00	100.00	-50	5.28	2.64	-50	6.19	3.11	-50
Bentley Systems Inc. (BSY)	EW	EW	33.71	40.00	40.00	-	1.40	1.41	1	1.57	1.59	1
CDW Corp. (CDW)	EW	EW	152.38	123.00	150.00	22	10.91	11.14	2	11.89	13.00	9
Cognex Corp. (CGNX)	OW	OW	62.25	80.00	80.00	-	1.80	1.80	-	2.68	2.68	-
Fastenal Co. (FAST)	EW	EW	49.60	46.00	46.00	-	1.27	1.27	-	1.47	1.47	-
Impinj Inc. (PI)	OW	OW	172.57	176.00	176.00	-	2.16	2.16	-	3.15	3.15	-
Manhattan Associates Inc. (MANH)	OW	OW	213.77	201.00	239.00	19	5.53	5.48	-1	6.24	6.35	2
ScanSource Inc. (SCSC)	EW	EW	58.48	43.00	43.00	-	4.46	5.17	16	5.46	7.11	30
Sensata Technologies Holding plc (ST)	EW	OW	43.08	55.00	55.00	-	3.73	3.73	-	4.02	4.02	-
Symbotic Inc. (SYM)	UW	UW	42.94	44.00	38.00	-14	0.64	0.60	-6	0.86	0.83	-3
TD Synnex (SNX)	EW	EW	262.64	278.00	287.00	3	18.80	19.13	2	21.91	21.85	-
TE Connectivity plc (TEL)	OW	OW	208.65	300.00	300.00	-	11.46	11.46	-	12.82	12.82	-
Teledyne Technologies Inc. (TDY)	EW	EW	610.65	640.00	640.00	-	24.93	24.93	-	25.73	25.73	-
Trimble Inc. (TRMB)	OW	OW	59.47	80.00	80.00	-	3.71	3.71	-	4.17	4.17	-
WESCO International Inc. (WCC)	OW	OW	351.46	390.00	390.00	-	16.84	16.84	-	19.40	19.40	-
WW Grainger Inc. (GWW)	UW	UW	1324.49	1,185.00	1,185.00	-	46.56	46.56	-	50.89	50.89	-
Zebra Technologies Corp. (ZBRA)	OW	OW	362.74	410.00	410.00	-	20.99	20.99	-	21.19	21.19	-

Source: Barclays Research. Share prices and target prices are shown in the primary listing currency and EPS estimates are shown in the reporting currency. FY1(E): Current fiscal year estimates by Barclays Research. FY2(E): Next fiscal year estimates by Barclays Research. Stock Rating: OW: Overweight; EW: Equal Weight; UW: Underweight; RS: Rating Suspended Industry View: Pos: Positive; Neu: Neutral; Neg: Negative.

Industrial Tech Sector Valuation

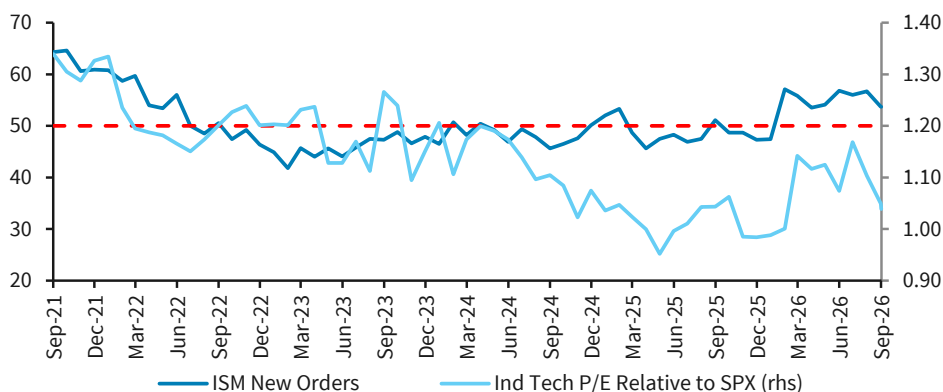
As outlined in our [initiation](#), we believe the best time to buy Industrial Tech is when the ISM New Orders Index troughs. In each of the past five industrial downturns, the relative valuation of the sector has troughed with ISM New Orders. We believe ISM New Orders troughed in April 2025, and we continue to see positive momentum with New Orders index above 50 (expansionary territory) for the past eight months. The sector relative valuation to the SPX index is still low at a 4% premium (1.04 relative) compared to a historical 25%+ premium. At this stage of ISM New Orders recovery, typically the sector relative multiple expands but recently has declined, which implies the shortest recovery in almost 20 years – we view this as unlikely. We see this pullback in relative valuation as a favorable entry point for the sector (Fig 1, 2).

FIGURE 1. Industrial Tech P/E Relative to SPX Index vs. ISM New Orders



*Industrial Tech: APH, TEL, ZBRA, ST, TDY, TRMB, KEYS (covered by Tim Long), FTV (not covered), AME (not covered), MSA (not covered)
Source: Barclays Research, Bloomberg

FIGURE 2. Industrial Tech P/E Relative to SPX Index vs. ISM New Orders -- Last 5-years



*Industrial Tech: APH, TEL, ZBRA, ST, TDY, TRMB, KEYS (covered by Tim Long), FTV (not covered), AME (not covered), MSA (not covered)
Source: Barclays Research, Bloomberg

Industrial Technology & Distributors Comparative Valuation

FIGURE 3. US Industrial Technology & Distribution: Ratings & Valuation

U.S. Industrial Technology & Distribution Comp Sheet																									
Pricing as of 9/03/2026		Potential				52 Week Range	Market Cap. (\$M)		Total Return		Dividends		Valuation												
		Current Price	Upside/Downside	FY25	Dividend						EV/Sales		P/E		EV/EBITDA		FCF Yield								
Company	Ticker	Rtg.	PT	Price					3M	52Wk	YTD	DPS	Yield	2025	2026e	2027e	2025	2026e	2027e	2025	2026e	2027e			
Industrial Technology																									
Amphenol	APH	OW	\$100	\$82	22%	\$55 - \$88	\$202,381	\$215,904	-11%	48%	20%	\$0.37	0.5%	9.3x	6.1x	5.2x	49.1x	31.0x	26.4x	31.0x	18.5x	16.4x	2.2%	2.9%	3.6%
Cognex	CGNX	OW	\$80	\$61	32%	\$35 - \$72	\$10,226	\$9,894	-8%	38%	68%	\$0.33	0.5%	10.0x	8.6x	7.8x	59.8x	33.8x	22.7x	46.0x	26.1x	18.0x	2.3%	3.3%	4.4%
Impinj	PI	OW	\$176	\$175	1%	\$91 - \$242	\$5,350	\$5,484	27%	-10%	-1%	None	NM	15.2x	13.9x	11.5x	83.8x	81.3x	55.6x	78.8x	72.4x	48.0x	0.9%	1.2%	1.3%
Sensata Technologies	ST	OW	\$55	\$42	31%	\$29 - \$54	\$6,115	\$8,139	-22%	32%	27%	\$0.48	1.1%	2.2x	2.1x	2.0x	12.3x	11.3x	10.4x	9.7x	9.3x	8.7x	8.0%	7.8%	6.4%
Symbolic	SYM	UW	\$38	\$42	-9%	\$38 - \$87	\$25,184	\$23,888	-12%	-8%	-31%	None	NM	10.6x	8.5x	6.2x	149.7x	69.6x	50.0x	162.1x	68.2x	50.5x	3.2%	1.4%	2.3%
Teledyne Technologies	TDY	EW	\$640	\$608	5%	\$484 - \$691	\$28,178	\$29,865	-2%	12%	19%	None	NM	4.9x	4.5x	4.4x	27.6x	24.4x	23.6x	19.9x	17.9x	17.2x	3.8%	3.7%	4.1%
TE Connectivity	TEL	OW	\$300	\$209	43%	\$196 - \$249	\$60,627	\$65,167	-4%	2%	-8%	\$2.72	1.3%	3.8x	3.3x	3.0x	22.6x	18.3x	16.3x	15.4x	12.6x	11.1x	5.3%	5.5%	6.0%
Zebra Technologies	ZBRA	OW	\$410	\$358	15%	\$199 - \$383	\$16,914	\$19,719	43%	17%	47%	None	NM	3.7x	3.2x	3.0x	22.6x	17.0x	16.9x	16.9x	13.3x	13.3x	4.9%	6.0%	5.3%
Median									-3%	14%	19%		0.8%	7.1x	5.3x	4.8x	38.4x	27.7x	23.2x	25.4x	18.2x	16.8x	3.5%	3.5%	4.2%
Industrial Software																									
Bentley Systems	BSY	EW	\$40	\$36	12%	\$28 - \$57	\$10,751	\$11,872	9%	-33%	-6%	\$0.28	0.8%	7.9x	7.0x	6.3x	29.8x	25.2x	22.4x	20.9x	18.3x	16.3x	4.8%	4.9%	5.1%
Manhattan Associates	MANH	OW	\$239	\$222	7%	\$121 - \$224	\$12,964	\$12,832	47%	7%	28%	None	NM	11.9x	11.0x	10.0x	43.9x	40.6x	35.0x	32.6x	30.8x	27.5x	2.9%	3.9%	3.9%
Trimble	TRMB	OW	\$80	\$60	33%	\$49 - \$84	\$14,014	\$15,259	8%	-24%	-24%	None	NM	4.3x	3.9x	3.6x	19.2x	16.2x	14.4x	14.6x	12.9x	11.7x	2.6%	5.8%	6.5%
Median									9%	-24%	-6%		0.8%	7.9x	7.0x	6.3x	29.8x	25.2x	22.4x	20.9x	18.3x	16.3x	2.9%	4.9%	5.1%
Industrial Distribution																									
Fastenal	FAST	EW	\$46	\$49	-7%	\$39 - \$52	\$56,491	\$56,728	6%	-1%	22%	\$0.88	1.8%	6.9x	6.0x	5.3x	45.0x	38.7x	33.4x	30.9x	26.6x	23.0x	1.9%	1.8%	2.1%
WW Grainger	GWV	UW	\$1,185	\$1,313	-10%	\$918 - \$1,402	\$61,836	\$64,426	2%	29%	30%	\$9.04	0.7%	3.6x	3.3x	3.1x	33.3x	28.2x	25.8x	21.9x	19.0x	17.7x	2.2%	2.8%	3.7%
WESCO International	WCC	OW	\$390	\$338	15%	\$208 - \$375	\$16,490	\$22,380	-10%	55%	38%	\$1.82	0.5%	1.0x	0.9x	0.8x	26.2x	20.1x	17.4x	14.6x	12.2x	11.2x	0.2%	2.5%	3.7%
Median									2%	29%	30%		0.7%	3.6x	3.3x	3.1x	33.3x	28.2x	25.8x	21.9x	19.0x	17.7x	1.9%	2.5%	3.7%
IT Distribution																									
CDW Corp.	CDW	EW	\$150	\$154	-3%	\$99 - \$171	\$19,243	\$24,845	12%	-6%	13%	\$2.50	1.6%	1.1x	1.0x	0.9x	15.4x	13.8x	11.8x	12.0x	11.1x	9.8x	5.7%	4.8%	5.3%
ScanSource	SCSC	EW	\$43	\$58	-26%	\$34 - \$59	\$1,165	\$1,188	26%	31%	47%	None	NM	0.4x	0.4x	0.3x	16.3x	13.7x	11.2x	8.2x	7.8x	7.4x	8.9%	9.8%	7.8%
TD Synnex	SNX	EW	\$287	\$263	9%	\$142 - \$290	\$20,992	\$24,617	-6%	77%	75%	\$1.77	0.7%	0.4x	0.3x	0.3x	19.9x	13.7x	12.0x	12.9x	9.7x	8.4x	6.6%	-1.1%	4.7%
Median									12%	31%	47%		1.1%	0.4x	0.4x	0.3x	16.3x	13.7x	11.8x	12.0x	9.7x	8.4x	6.6%	4.8%	5.3%
S&P500				\$7,748		\$6,344 - \$7,799			3%	20%	13%														
XLI Industrials				\$1,475		\$1,249 - \$1,577			0%	17%	12%														
ICV (iShares Software ETF)				\$107		\$75 - \$118			7%	0%	1%														

Barclays stock ratings: OW = Overweight; EW = Equal Weight; UW = Underweight; Industry view: Positive. For full disclosures on each covered company, including details of our company-specific valuation methodology and risks, please refer to <https://publicresearch.barcap.com>
Source: Barclays Research estimates, Bloomberg

FIGURE 4. US Industrial Technology & Distribution: Financial Metrics

		Barclays Estimates															Margins														
		Sales (\$M)			Organic Growth			EPS			EBITDA (\$M)			EBIT (\$M)			FCF (\$M)			Profit Margin			EBITDA Margin			EBIT Margin			FCF Margin		
Company	Ticker	2025	2026e	2027e	2025	2026e	2027e	2025	2026e	2027e	2025	2026e	2027e	2025	2026e	2027e	2025	2026e	2027e	2025	2026e	2027e	2025	2026e	2027e	2025	2026e	2027e	2025	2026e	2027e
Industrial Technology																															
Amphenol	APH	\$23,095	\$35,304	\$41,158	38.1%	29.9%	15.7%	\$1.67	\$2.64	\$3.11	\$6,972	\$11,694	\$13,172	\$6,505	\$10,169	\$11,766	\$4,393	\$5,768	\$7,804	19.3%	19.4%	20.4%	30.2%	33.1%	32.0%	26.2%	28.8%	28.6%	16.6%	17.5%	19.6%
Cognex	CGNX	\$994	\$1,149	\$1,263	8.1%	18.7%	10.2%	\$1.02	\$1.80	\$2.68	\$215	\$378	\$549	\$195	\$360	\$530	\$237	\$340	\$438	15.4%	24.8%	26.5%	21.6%	32.9%	43.5%	19.6%	31.3%	42.0%	20.3%	26.9%	29.1%
Impinj	PI	\$361	\$393	\$478	-2.0%	12.3%	24.1%	\$2.09	\$2.16	\$3.15	\$70	\$76	\$114	\$55	\$60	\$100	\$46	\$64	\$72	-3.0%	16.9%	19.2%	19.3%	19.3%	23.9%	15.1%	15.4%	20.9%	13.4%	14.9%	9.4%
Sensata Technologies	ST	\$3,705	\$3,842	\$4,024	0.1%	3.4%	4.8%	\$3.43	\$3.73	\$4.02	\$836	\$877	\$930	\$705	\$745	\$793	\$940	\$479	\$519	17.9%	14.4%	14.2%	22.6%	22.8%	23.1%	19.0%	19.4%	19.7%	10.4%	13.3%	13.7%
Symbolic	SYM	\$2,247	\$2,800	\$3,826	25.7%	24.5%	25.9%	\$0.28	\$0.60	\$0.83	\$477	\$350	\$473	\$21	\$38	\$64	\$815	\$343	\$551	0.3%	1.1%	3.4%	6.6%	12.5%	12.4%	0.9%	1.3%	1.7%	15.3%	17.6%	16.5%
Teledyne Technologies	TDY	\$6,115	\$6,569	\$6,841	2.5%	3.4%	9.2%	\$21.99	\$24.93	\$25.73	\$1,502	\$1,666	\$1,739	\$1,380	\$1,529	\$1,598	\$1,074	\$1,037	\$1,212	14.3%	17.6%	18.3%	24.6%	25.1%	25.4%	22.6%	23.3%	23.4%	17.2%	16.9%	16.8%
TE Connectivity	TEL	\$17,262	\$19,906	\$21,655	6.4%	11.9%	9.1%	\$9.26	\$11.46	\$12.82	\$4,232	\$5,155	\$5,773	\$3,584	\$4,365	\$4,916	\$3,203	\$3,348	\$3,897	15.2%	16.9%	17.1%	24.5%	25.9%	26.7%	20.8%	21.9%	22.7%	16.7%	16.5%	15.8%
Zebra Technologies	ZBRA	\$5,396	\$6,209	\$6,541	6.2%	7.3%	5.3%	\$15.85	\$20.99	\$21.19	\$1,170	\$1,478	\$1,488	\$1,099	\$1,398	\$1,406	\$831	\$1,007	\$1,047	9.6%	16.4%	16.1%	21.7%	23.8%	22.8%	20.4%	22.5%	21.5%	15.1%	16.6%	16.8%
Median					6.3%	12.1%	9.7%													14.7%	16.9%	17.7%	22.1%	24.6%	24.6%	20.0%	22.2%	22.1%	15.9%	16.8%	16.6%
Industrial Software																															
Bentley Systems	BSY	\$1,502	\$1,707	\$1,880	10.0%	12.4%	10.1%	\$1.19	\$1.41	\$1.59	\$568	\$650	\$730	\$502	\$585	\$665	\$520	\$527	\$603	18.9%	25.9%	26.5%	37.8%	38.1%	38.4%	33.4%	34.3%	35.4%	30.2%	31.6%	32.3%
Manhattan Associates	MANH	\$1,081	\$1,163	\$1,284	3.1%	6.1%	10.5%	\$5.06	\$5.48	\$6.35	\$393	\$416	\$467	\$387	\$409	\$460	\$374	\$503	\$507	20.1%	27.9%	27.9%	36.2%	35.8%	36.4%	35.8%	35.2%	35.8%	29.6%	31.5%	34.6%
Trimble	TRMB	\$3,587	\$3,955	\$4,233	6.0%	9.7%	8.6%	\$3.13	\$3.71	\$4.17	\$1,046	\$1,185	\$1,299	\$988	\$1,126	\$1,236	\$361	\$807	\$986	14.2%	21.7%	22.5%	29.2%	30.0%	30.7%	27.5%	28.5%	29.2%	12.5%	20.5%	22.2%
Median					6.0%	9.7%	10.1%													18.9%	25.9%	26.5%	36.4%	35.8%	36.4%	33.4%	34.3%	35.4%	29.6%	31.6%	32.3%
Industrial Distribution																															
Fastenal	FAST	\$8,200	\$9,499	\$10,785	9.4%	15.5%	13.5%	\$1.09	\$1.27	\$1.47	\$1,835	\$2,129	\$2,462	\$1,656	\$1,939	\$2,241	\$1,063	\$1,004	\$1,190	15.3%	15.3%	14.9%	22.4%	22.4%	22.8%	20.2%	20.4%	20.8%	12.4%	11.7%	11.7%
WW Grainger	GWG	\$17,942	\$19,729	\$20,763	2.6%	11.1%	5.0%	\$39.48	\$46.56	\$50.89	\$2,945	\$3,395	\$3,630	\$2,691	\$3,135	\$3,346	\$1,331	\$1,710	\$2,387	10.6%	11.1%	11.4%	16.4%	17.2%	17.5%	15.0%	15.9%	16.1%	8.2%	8.6%	9.5%
WESCO International	WCC	\$23,511	\$26,213	\$27,693	8.5%	11.0%	5.0%	\$12.92	\$16.84	\$19.40	\$1,537	\$1,832	\$1,993	\$1,268	\$1,517	\$1,679	\$25	\$417	\$823	28.8%	3.2%	6.6%	16.5%	7.0%	7.2%	5.4%	5.8%	6.1%	1.8%	1.5%	2.8%
Median					8.5%	11.5%	5.5%													10.6%	11.1%	11.4%	16.4%	17.2%	17.5%	15.0%	15.9%	16.1%	8.2%	8.6%	9.5%
IT Distribution																															
CDW Corp.	CDW	\$22,424	\$24,829	\$26,692	6.8%	10.7%	7.5%	\$10.02	\$11.14	\$13.00	\$2,066	\$2,231	\$2,542	\$1,999	\$2,128	\$2,400	\$1,088	\$930	\$1,305	5.1%	5.6%	5.6%	9.2%	9.0%	9.5%	8.9%	8.6%	9.0%	4.9%	4.6%	4.9%
ScanSource	SCSC	\$3,041	\$3,226	\$3,524	-6.5%	2.4%	9.0%	\$3.56	\$4.24	\$5.17	\$145	\$152	\$160	\$111	\$120	\$130	\$104	\$114	\$92	2.3%	2.5%	2.8%	4.8%	4.7%	4.6%	3.7%	3.7%	3.7%	2.9%	2.7%	2.0%
TD Synnex	SNX	\$62,508	\$76,537	\$83,714	6.9%	22.4%	9.4%	\$13.19	\$19.13	\$21.85	\$1,903	\$2,536	\$2,925	\$1,785	\$2,418	\$2,806	\$1,389	(\$238)	\$1,158	1.3%	2.0%	2.0%	3.0%	3.3%	3.5%	2.9%	3.2%	3.4%	1.3%	0.6%	1.6%
Median					6.8%	10.7%	9.0%													2.3%	2.5%	2.8%	4.8%	4.7%	4.6%	3.7%	3.7%	3.7%	2.9%	2.7%	2.0%

Source: Barclays Research estimates, Bloomberg

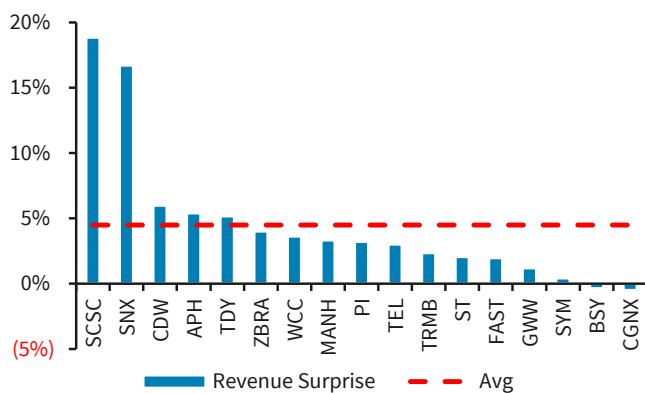
Q2-26 Takeaways

Q2 Revenues & EPS Better Than Expectations: Industrial Tech names, which account for most of our coverage, delivered **revenues 4.5% ahead of expectations on average and EPS 12% ahead (ex SYM)**.

Above-average revenue beats: SCSC, SNX, CDW, APH, TDY

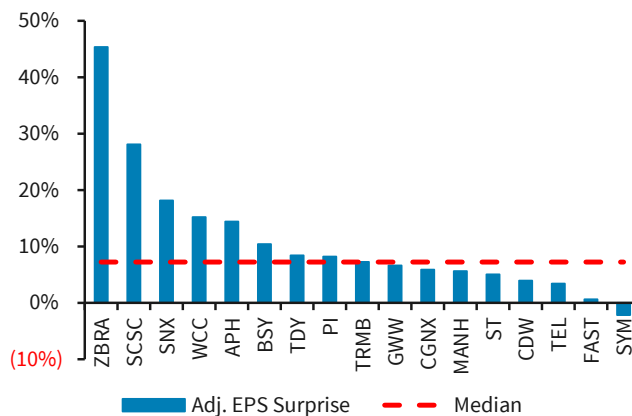
Above-average EPS beats: ZBRA, SCSC, SNX, WCC, APH

FIGURE 5. Coverage 2Q26 Revenue Surprise vs. Consensus



Source: Barclays Research, Bloomberg consensus estimates, Company reports

FIGURE 6. Coverage 2Q26 Adj. EPS Surprise vs. Consensus



Source: Barclays Research, Bloomberg consensus estimates, Company reports

FIGURE 7. Coverage 2Q26 Revenue Surprise vs. Consensus

Revenue (\$M)			
	Reported	Consensus	% Surprise
SCSC	\$953	\$802	19%
SNX	\$19,575	\$16,773	17%
CDW	\$6,572	\$6,201	6%
APH	\$8,758	\$8,311	5%
TDY	\$1,663	\$1,581	5%
ZBRA	\$1,557	\$1,497	4%
WCC	\$6,665	\$6,433	4%
MANH	\$298	\$288	3%
PI	\$108	\$105	3%
TEL	\$5,160	\$5,010	3%
TRMB	\$972	\$950	2%
ST	\$991	\$971	2%
FAST	\$2,387	\$2,341	2%
GWW	\$5,021	\$4,962	1%
SYM	\$721	\$718	0%
BSY	\$411	\$412	(0%)
CGNX	\$291	\$293	(1%)
Avg			4%

Source: Barclays Research, Bloomberg consensus estimates, Company reports

FIGURE 8. Coverage 2Q26 Adj. EPS Surprise vs. Consensus

Adj. EPS (\$/shr)			
	Reported	Consensus	% Surprise
ZBRA	\$6.35	\$4.37	45%
SCSC	\$1.46	\$1.14	28%
SNX	\$4.85	\$4.14	17%
WCC	\$4.57	\$3.97	15%
APH	\$1.35	\$1.18	14%
BSY	\$0.35	\$0.32	10%
TDY	\$6.28	\$5.79	8%
PI	\$0.86	\$0.80	8%
TRMB	\$0.86	\$0.80	7%
GWW	\$12.01	\$11.27	7%
CGNX	\$0.45	\$0.43	6%
MANH	\$1.39	\$1.32	6%
ST	\$0.98	\$0.93	5%
CDW	\$2.91	\$2.80	4%
TEL	\$2.94	\$2.84	3%
FAST	\$0.33	\$0.33	1%
SYM	\$0.09	\$0.09	(2%)
Avg			11%

Avg excluding SYM = +11.4%

Source: Barclays Research, Bloomberg consensus estimates, Company reports

Barclays Estimates vs Consensus

For calendar **3Q26**, Barclays EPS estimates are above consensus for CDW (+7%), BSY (+4%), and SNX (+3%), and below Consensus for ST (-1%) and WCC (-1%).

For **FY26**, we are above Consensus adj. EPS for BSY (+3%), CDW (+2%), and CGNX (+7%). For FY26 adj. EBITDA, we are above Consensus for SYM (+3%).

FIGURE 9. Barclays' Estimates vs Bloomberg Consensus Estimates

Compa ny	FY E	3Q26 Estimates			4Q26 Estimates			FY26 Estimates		
		BBG Consensus adj. EPS	Barclays adj. EPS estimate	Delta	BBG Consensus adj. EPS	Barclays adj. EPS estimate	Delta	BBG Consensus adj. EPS	Barclays adj. EPS estimate	Delta
APH	Dec	\$0.72	\$0.72	1%	\$0.73	\$0.71	-3%	\$2.67	\$2.64	-1%
BSY	Dec	\$0.33	\$0.34	4%	\$0.33	\$0.34	2%	\$1.38	\$1.41	3%
CDW	Dec	\$2.94	\$3.15	7%	\$2.83	\$2.78	-2%	\$10.93	\$11.10	2%
CGNX	Dec	\$0.52	\$0.52	1%	\$0.39	\$0.50	28%	\$1.69	\$1.80	7%
FAST	Dec	\$0.34	\$0.34	0%	\$0.30	\$0.31	2%	\$1.26	\$1.27	1%
GWW	Dec	\$11.69	\$11.92	2%	\$11.14	\$10.98	-1%	\$46.41	\$46.56	0%
MANH	Dec	\$1.46	\$1.47	0%	\$1.41	\$1.40	-1%	\$5.48	\$5.48	0%
SNX	Nov	\$4.63	\$4.75	3%	\$4.63	\$4.79	4%	\$18.97	\$19.13	1%
ST	Dec	\$0.96	\$0.95	-1%	\$0.97	\$0.94	-3%	\$3.76	\$3.73	-1%
TDY	Dec	\$6.14	\$6.25	2%	\$6.50	\$6.61	2%	\$24.72	\$24.93	1%
TEL	Sep	\$3.06	\$3.08	1%	\$3.02	\$3.04	1%	\$11.45	\$11.46	0%
TRMB	Dec	\$0.86	\$0.87	1%	\$1.16	\$1.20	3%	\$3.67	\$3.71	1%
WCC	Dec	\$4.67	\$4.62	-1%	\$4.24	\$4.28	1%	\$16.87	\$16.84	0%
ZBRA	Dec	\$4.89	\$4.90	0%	\$5.15	\$5.00	-3%	\$21.12	\$20.99	-1%
		BBG Consensus EBITDA (\$m)	Barclays EBITDA estimate (\$m)	Delta	BBG Consensus EBITDA (\$m)	Barclays EBITDA estimate (\$m)	Delta	BBG Consensus EBITDA (\$m)	Barclays EBITDA estimate (\$m)	Delta
PI	Dec	\$22	\$22	0%	\$18	\$20	12%	\$75	\$76	0%
SCSC	Jun	\$40	\$35	-12%	\$38	\$35	-10%	\$163	\$160	-1%
SYM	Sep	\$104	\$102	-2%	\$108	\$83	-23%	\$342	\$350	3%

*SCSC has FYE June, so F1Q27 is used for 3Q26 and F2Q27 is used for 4Q26. TEL and SYM have FYE September, so F4Q26 is used for 3Q26 and F1Q27 is used for 4Q26.

Source: Barclays Research, Bloomberg

Q3-26 Guidance

Please see below for company guidance versus consensus estimates. Consensus is broadly in-line with guidance (1% above on average) on 3Q26 EPS.

FIGURE 10. 3Q26 EPS Guidance vs. BBG Consensus

3Q26 Adj. EPS Guidance				
Company	FYE	Current Consensus	Guidance	Delta %
APH	Dec	\$0.72	\$0.70 - \$0.71	1%
CGNX	Dec	\$0.52	\$0.50 - \$0.54	(1%)
PI	Dec	\$0.61	\$0.59 - \$0.63	0%
SNX	Nov	\$4.63	\$4.00 - \$4.75	6%
ST	Dec	\$0.96	\$0.93 - \$0.97	1%
TDY	Dec	\$6.14	\$6.05 - \$6.15	1%
TEL	Sep*	\$3.06	\$3.05	0%
TRMB	Dec	\$0.86	\$0.83 - \$0.88	1%
ZBRA	Dec	\$4.89	\$4.70 - \$4.90	2%
Average				1%

*Reflects Fiscal 4Q26; Prior Consensus is as of the day before each earnings release; APH adjusted for 2:1 stock split
Source: Barclays Research, Bloomberg consensus, Company reports

FIGURE 11. Other Guided Items vs. BBG Consensus

Other Guided Items (\$M)					
Company	Guided Period	Metric	Current Consensus	Guidance	Delta %
APH	3Q26	Sales	9,409	9,350	1%
BSY	FY26	Sales	1,696	1,700	(0%)
BSY	FY26	Adj. EBIT*		503	
CDW	3Q26	Gross Profit	+5% y/y	Flat q/q; Up MSD y/y	
CDW	FY26	Gross Profit	+5% y/y	Up MSD y/y	
CDW	FY26	Adj. EPS	+9%	Up "High End" HSD y/y	
CGNX	3Q26	Sales	313	310	1%
CGNX	3Q26	Adj. EBITDA	107	104	3%
GWW	FY26	Sales	19,669	19,550	1%
GWW	FY26	GM%	39.4%	39.5%	(0%)
GWW	FY26	Adj. EBIT	3,133	3,128	0%
GWW	FY26	Adj. EPS	\$46.41	\$46.38	0%
FAST	3Q26	GM% change	-10bps	Typical Seasonality (down 10-20bps)	
FAST	FY26	Sales	+13%	+DD% y/y	
MANH	FY26	Sales	1,164	1,163	0%
MANH	FY26	Adj. EBIT	410	408	0%
MANH	FY26	Adj. EPS	\$5.48	\$5.47	0%
PI	3Q26	Sales	108	107	1%
PI	3Q26	Adj. EBITDA	21	21	(0%)
SCSC	FY27	Sales	3,561	3,484	2%
SCSC	FY27	Adj. EBITDA	163	162	1%
SNX	3Q26	Sales	18,837	18,600	1%
ST	3Q26	Sales	974	972	0%
ST	3Q26	Adj. EBIT	190	190	0%
SYM	F4Q26	Sales	777	770	1%
SYM	F4Q26	Adj. EBITDA	104	103	1%
TDY	FY26	Adj. EPS	\$24.72	\$24.55	1%
TEL	F4Q26	Sales	5,277	5,250	1%
TRMB	3Q26	Sales	967	966	0%
TRMB	3Q26	Adj. EBIT	262	261	1%
TRMB	FY26	Sales	3,930	3,925	0%
TRMB	FY26	Adj. EBIT	1,116	1,115	0%
TRMB	FY26	Adj. EPS	\$3.67	\$3.65	1%
WCC	3Q26	Sales	+11%	+Up LDD y/y	
WCC	3Q26	Adj. EBITDA %	-20bps q/q	Slightly Lower q/q	
WCC	FY26	Sales	26,171	26,100	0%
WCC	FY26	Adj. EBITDA	1,826	1,827	(0%)
WCC	FY26	Adj. EPS	\$16.87	\$16.75	1%
ZBRA	3Q26	Sales	1,567	1,564	0%

Other Guided Items (\$M)					
Company	Guided Period	Metric	Current Consensus	Guidance	Delta %
ZBRA	3Q26	Adj. EBITDA	347	344	1%
ZBRA	FY26	Sales	6,220	6,044	3%
ZBRA	FY26	Adj. EBITDA	1,486	1,330	12%
ZBRA	FY26	Adj. EPS	\$21.12	\$18.50	14%

*Adjusted Operating Income less SBC

Source: Barclays Research, Bloomberg consensus, Company reports

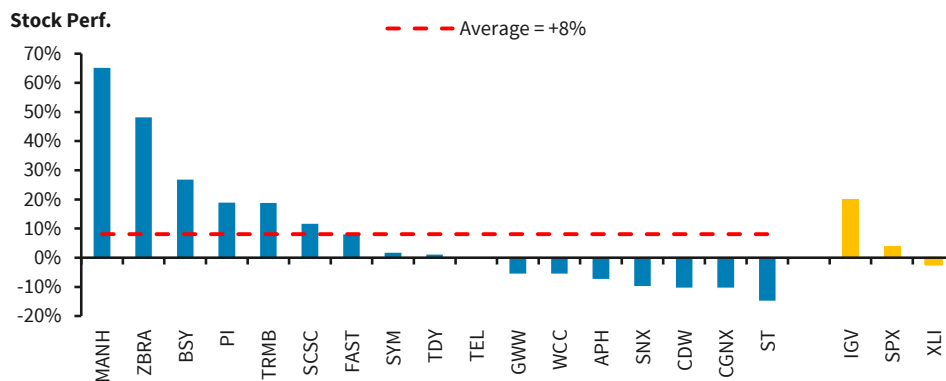
Stock Price Performance

We show in Fig. 10 below the price performance of our coverage since the first company reported results for the June quarter on 6/25/26 (SNX FQ2), until the last company reported results on 8/20/26 (SCSC FQ4). Share price performance was mixed despite the majority of companies beating expectations, which we attribute to positioning and mixed guidance. Average share price performance was positive (+8%) since Q2 reporting began, while the SPY, XLI and the IGV (software ETF) were +4%, -2%, and +20%, respectively.

Outperformers: MANH (+65%), ZBRA (+48%), BSY (+27%), PI (+19%), TRMB (+19%), SCSC (+12%), FAST (+12%)

Underperformers: ST (-15%), CGNX (-10%), CDW (-10%), SNX (-10%), APH (-7%), WCC (-5%), GWW (-5%)

FIGURE 12. Coverage Share Performance Through Earnings Season



6/25/26 close to 8/20/26 close; PI off the chart at +42%

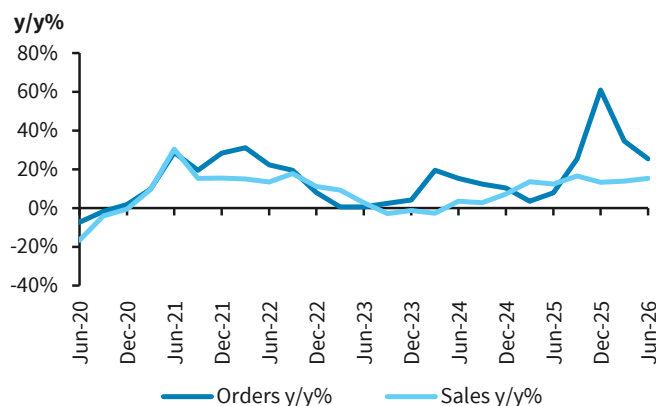
Source: Barclays Research, Bloomberg

Orders and Sales Growth Data for Industrial Tech Short-Cycle End-Markets

Revenues from companies in key short-cycle end markets relevant to industrial technology and distribution exited Q2 broadly accelerating versus Q1, with momentum gaining out of 2025.

Order growth was bifurcated, with electrical equipment, warehouse automation, and factory automation showing decelerating orders versus Q1, while test & measurement accelerated.

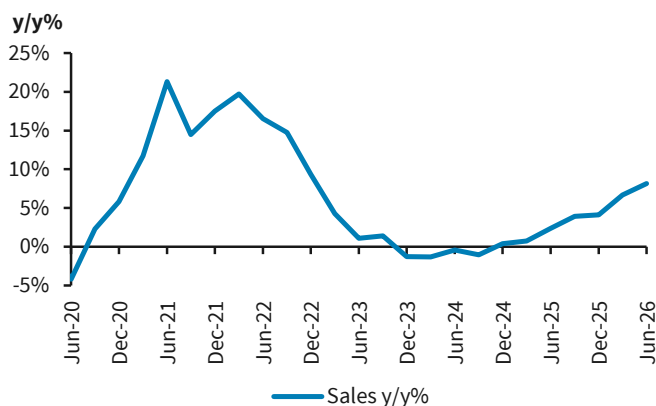
FIGURE 13. Electrical Equipment Quarterly Orders and Sales Growth



See Appendix for [Figure Constituents](#)

Source: Barclays Research, Company reports

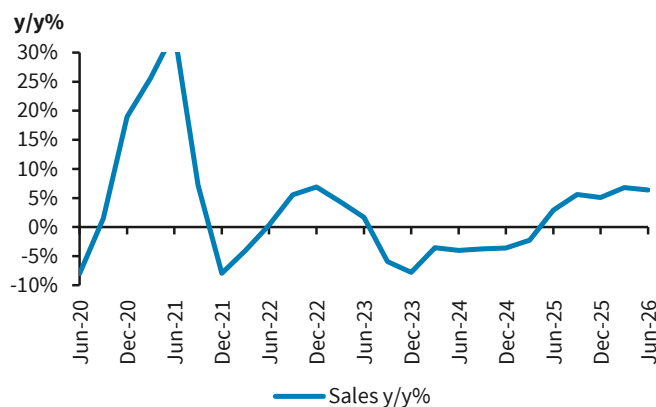
FIGURE 14. Distributors Quarterly Sales Growth



See Appendix for [Figure Constituents](#)

Source: Barclays Research, Company reports

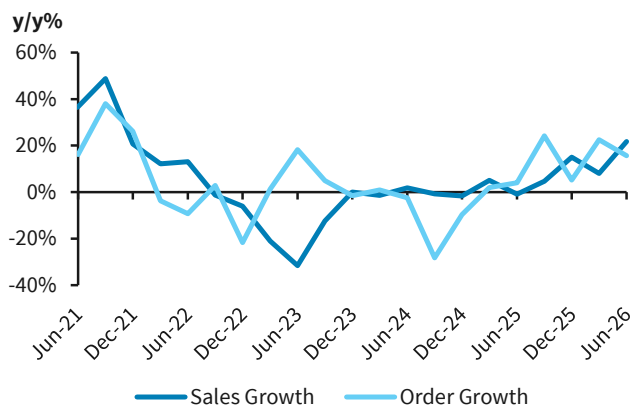
FIGURE 15. Sensors Quarterly Sales Growth



See Appendix for [Figure Constituents](#)

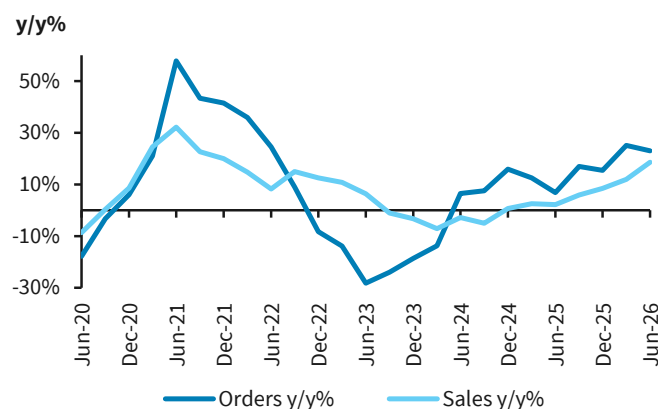
Source: Barclays Research, Company reports

FIGURE 16. Warehouse Automation Quarterly Sales Growth

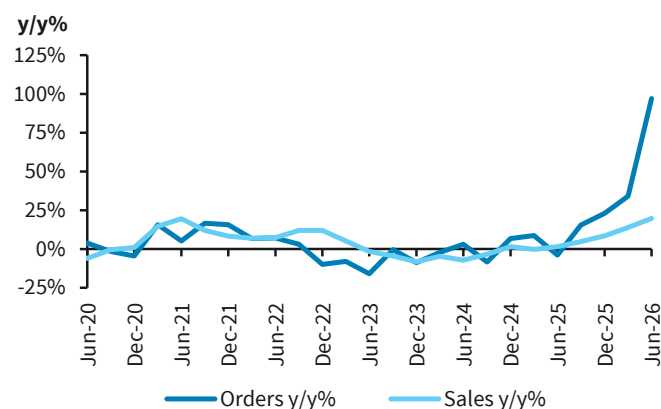


See Appendix for [Figure Constituents](#)

Source: Barclays Research, Company reports

FIGURE 17. Factory Automation Quarterly Orders and Sales GrowthSee Appendix for [Figure Constituents](#)

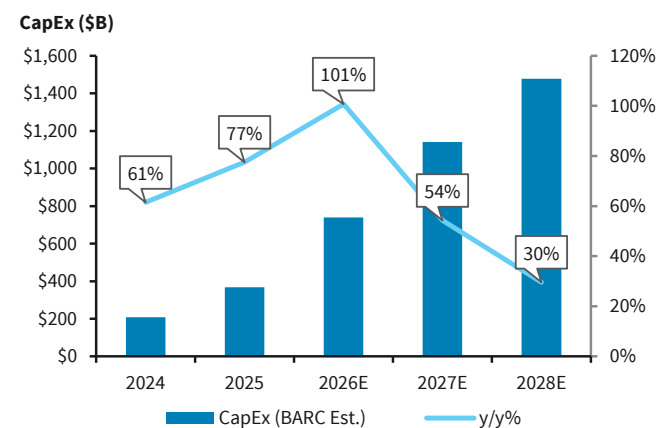
Source: Barclays Research, Company reports

FIGURE 18. Test & Measurement Quarterly Orders and Sales GrowthSee Appendix for [Figure Constituents](#)

Source: Barclays Research, Company reports

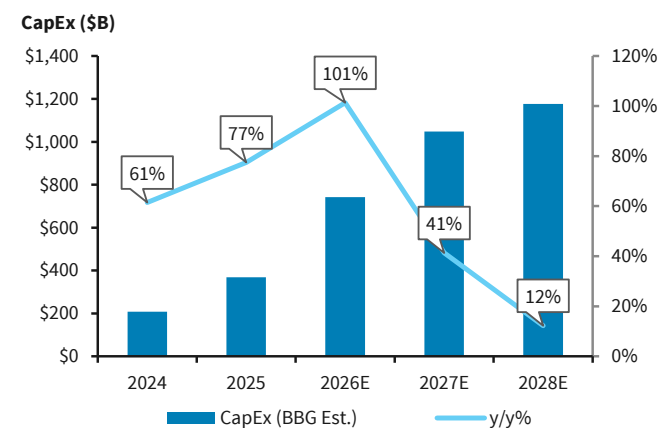
Hyperscaler CapEx

Data center capex has been consistently revised upwards through 2025 and the 1H26 led by hyperscalers. Barclays now expects +101% hyperscaler capex in 2026, +54% in 2027, and +30% in 2028. This compares to prior estimates of +89% hyperscaler capex in 2026, +37% in 2027, and +23% in 2028 as of our [2Q preview](#) published on July 13th.

FIGURE 19. Hyperscaler CapEx: Barclays Estimates

AMZN AWS, GOOGL, META (all covered by Ross Sandler), ORCL, MSFT (both covered by Raimo Lenschow)

Source: Barclays Research Estimates

FIGURE 20. Hyperscaler CapEx: BBG Estimates

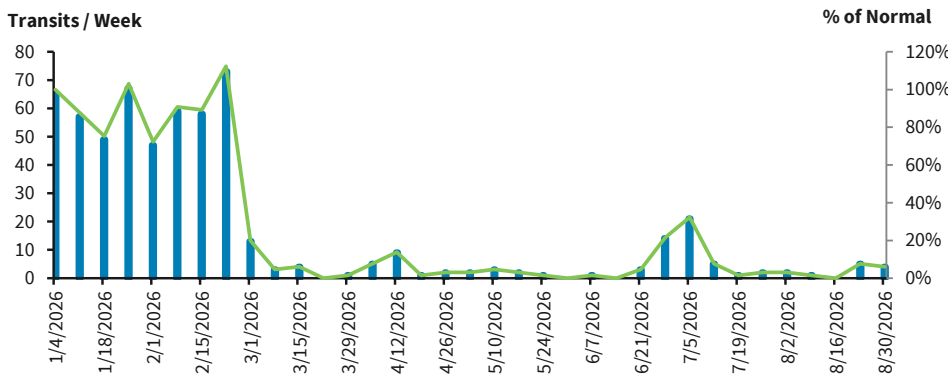
AMZN AWS, GOOGL, META (all covered by Ross Sandler), ORCL, MSFT (both covered by Raimo Lenschow)

Source: Bloomberg Consensus Estimates

Iran Conflict Impact

So far we have seen very limited if any impact from the conflict with leading indicators (ISM) remaining solidly in expansion territory. Our base case is a stop-start conflict which impacts tanker traffic through the Straits of Hormuz (Fig. 21 below) and suggests elevated energy prices for an extended period. Hence consumer expenditure could come under pressure, and eventually impact consumer sector capex, which consensus expects to grow double digits in 2026 (CGNX exposed through consumer/packaging capex). There may also be potential risk to retail capex-exposed companies (ZBRA, MANH, SYM).

FIGURE 21. Strait of Hormuz Vessel Weekly Average Traffic YTD (% of Normal and Daily Transits)



Normal = 65 transits / week
Source: Barclays Research, Bloomberg

Barclays Industrial Tech Global Capex Model

Our *Industrial Tech Global Capex model* is driven off Bloomberg consensus capex estimates for global public companies. Expectations for Industrial Tech end market capex suggest end market capex +19% in 2026 (excluding hyperscalers). This compares to expectations of +15% in July, +13% in April, and +10% in February, showing an accelerating trend. This is the fastest growth rate since 2021, and supportive of our average industrial tech revenue growth estimate of +12%. We would highlight semiconductor, aerospace & defense, and consumer products as particular bright spots. Compared to the model published in our [Q2 preview](#) in July, we have seen upward revisions in Semiconductors, Pharma & Life Sciences, and Hyperscaler CapEx.

FIGURE 22. Barclays Industrial Tech Global Capex Model

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E
Electronics	-16%	-3%	31%	5%	11%	18%	-6%	1%	8%
SC&L, Parcel & Post	35%	25%	33%	-4%	-19%	7%	25%	13%	23%
Automotive*	22%	-16%	11%	16%	14%	-2%	-7%	-1%	6%
Truck Manufacturers	-19%	-9%	18%	12%	20%	21%	9%	7%	7%
Semiconductor	-2%	9%	41%	12%	-2%	0%	12%	52%	26%
Consumer Products	-5%	-8%	10%	7%	10%	3%	6%	6%	1%
Food & Beverage	5%	-6%	19%	3%	9%	-4%	-9%	2%	2%
Consumer Packaging	7%	-1%	29%	11%	-3%	-2%	13%	7%	1%
A&D	-19%	-14%	-6%	11%	13%	16%	14%	27%	6%
Industrial & Automation	1%	-10%	-4%	15%	14%	0%	8%	4%	0%
Retail	-8%	14%	23%	14%	8%	10%	8%	-1%	3%
Telecom	-3%	9%	14%	4%	-8%	-2%	-3%	0%	2%
Pharma & Life Sciences	-1%	10%	13%	-1%	6%	-2%	11%	6%	3%
MedTech	13%	7%	1%	-15%	13%	4%	0%	3%	4%
Other Technology	-37%	138%	105%	10%	24%	27%	-25%	193%	-2%
Hyperscalers & Datacenters	2%	35%	26%	20%	8%	66%	69%	64%	26%
<i>Hyperscalers Only</i>	8%	36%	29%	22%	10%	67%	71%	63%	27%
Total	3%	7%	22%	10%	3%	18%	25%	38%	20%
<i>Total ex Hyperscalers</i>	2%	2%	21%	8%	2%	3%	4%	19%	11%

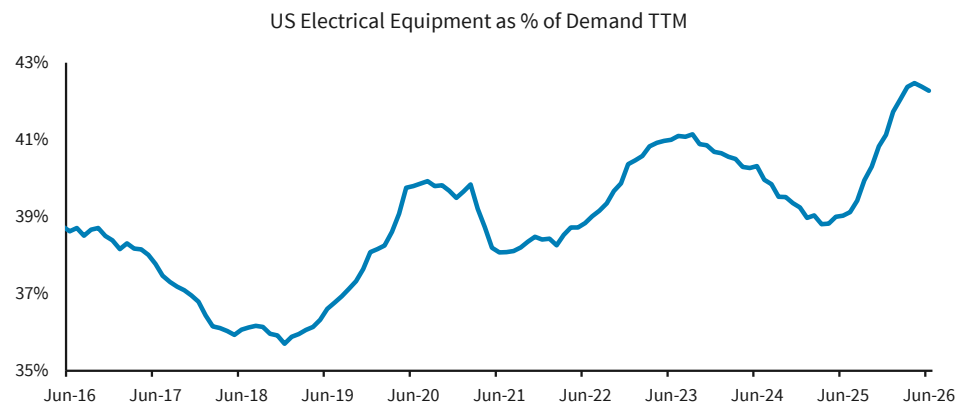
Automotive excluding TSLA (covered by Dan Levy)

Source: Barclays Research, Bloomberg

U.S. Reshoring: Tariff Tailwind for TTM

Domestic manufacturers market share of U.S. electrical equipment consumption increased 3.2 points since June 2025 on a trailing twelve month basis (TTM) according to data from the BLS and U.S. Census Bureau. We do not believe it is a coincidence that this coincided with the imposition of additional tariffs in Q2 2025. In the past ten years, electrical equipment domestic manufacturers have struggled to regain meaningful share of domestic demand despite two Trump administrations and COVID supply challenges.

FIGURE 23. U.S. Electrical Equipment Production as % of U.S Demand (TTM)



Source: Barclays Research, U.S. BLS, U.S. ITC, U.S. Census

Machine Vision / AIDC

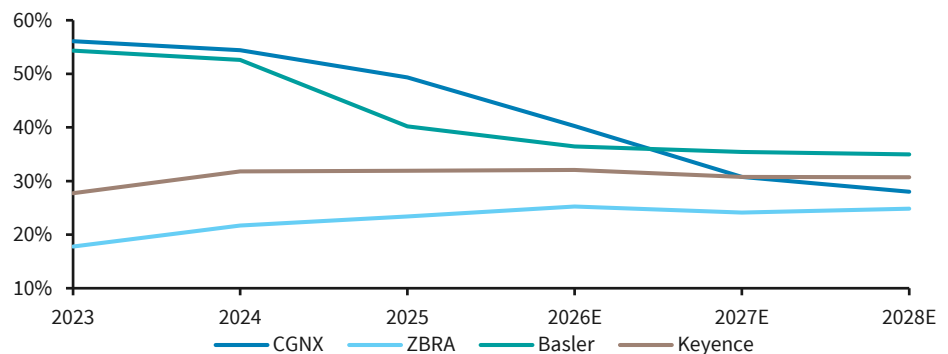
Cognex Corp. (CGNX, OW, PT \$80)

2Q26 Review: Very Strong Q3 Guidance, But the Market Still Doesn't Get the Opex Story (8/7/26)

We continue to believe investors are underestimating operating leverage and the impact of the lower Opex. There are significant cultural and operational changes being taken by the new management that are still underappreciated in our view. CGNX didn't meet elevated investor expectations at Q2, but Q3 guidance was significantly above Street expectations, with Q3 guidance 10% above cons. sales and 37% above cons. EBITDA, and the stock has pulled back since the print. Barclays 3Q26, 4Q26, and FY27 EBITDA estimates are +2%, +28% and +32% above cons. respectively. **We remain OW with an \$80 price target.**

Q2 sales were 1% below consensus but EBITDA 6% above Street as gross margins expanded 350bps y/y and opex declined 3%. Importantly, Q3 guidance was well ahead of expectations, implying EBITDA of ~\$104M (+36% vs. Street) and ~15% organic growth, while management upgraded its 2026 end-market outlook to DD growth and raised expectations across four of five end markets. We continue to believe investors are overlooking the Opex reduction story, with sequential cost reductions expected in both Q3 and Q4. Our model implies Opex/sales declining from 49% in FY25 to 31% in FY27E, which would put CGNX in line with peers (See Fig 24). We raised our FY26 EBITDA and EPS forecasts by 9% and 8%, respectively, while also materially increasing FY27 estimates. We continue to see meaningful upside from sustained operating leverage and outgrowth versus underlying automation capex trends.

FIGURE 24. CGNX Adj. Operating Expenses / Sales % (including SBC) vs. Peers



BBG Consensus estimates for Basler (not covered) and Keyence (not covered)
Source: Barclays Research, company reports

Impinj (PI, OW, \$176 PT)

2Q26 Review: Strong 2Q Print, Visibility Continues to Improve, and Food for Thought (8/6/26)

Post results we raised our FY26 and FY27 revenue estimates by 2% and FY26E EBITDA by 8%, from stronger endpoint IC volumes, margin expansion, and accelerating RFID adoption. We continue to see RFID as one of the best non-AI growth stories in tech, and PI as the best route to invest directly in this theme. PI investment positives include a sustainable competitive moat from Gen2X, increasing M800 penetration, expanding food adoption, and improving visibility into logistics deployments, positioning the company to outgrow the RFID market and deliver above-consensus revenue and earnings growth. Food remains in the early innings, but management's increasingly constructive tone and growing grocer engagement suggest a

meaningful long-term volume opportunity. **We reiterate our OW rating and \$176 PT, based on 13.5x FY27E EV/Sales.**

Q2 results were above cons. expectations, with 2Q revenue \$108M and adj. EBITDA \$31M exceeding consensus by 3% and 10%, respectively, driven by broad-based strength across retail apparel, general merchandise, logistics, and food, while gross margin expanded +50bps y/y to 60.9% on favorable M800 mix. Management guided 3Q revenue of \$105.5-108.5M and adj. EBITDA of \$20.7-22.2M, both well ahead of Street expectations, supported by mid-to-high teens q/q endpoint IC growth, continued channel inventory normalization, accelerating UPS custom ASIC deployments, and improving systems demand.

Teledyne Technologies (TDY, EW, \$640 PT)

2Q26 Review: When Good Enough is Not Enough (7/24/26)

Given the recent pullback in TDY stock post results we see risk:reward skewing favorably, but we remain EW given less potential upside to our price target than other names in our coverage. Furthermore, consensus estimates are already above guidance. We remain **Equal Weight but post results we increased our price target to \$640 (prior \$614)**, still based on a 4.0% FY27E FCF yield. TDY stock is currently trading at the high end of its historical valuation range.

TDY print was solid in our view, with 2Q revenue, adj. EPS, and adj. OPP exceeding consensus by 6%, 8%, and 9%, respectively, driven by strong performance in Digital Imaging and broad-based growth across all business segments, which was tempered by higher corporate/other/tax. TDY raised FY26 revenue guidance to \$6.53B, implying +7% y/y growth (prior +5%), increased FY26 adj. EPS guidance to \$24.45-\$24.65, and highlighted accelerating demand as orders rose +24% y/y and book:bill improved to 1.23x (1Q 1.16x), supporting a stronger FY27 outlook.

Accelerating bookings, stronger short-cycle industrial demand expectations, accelerating defense and space end market trends, and management's acknowledgment that guidance retains some conservatism. Post results we raise FY26E EPS by 3%, FY27E EPS by 2%, and FY27E FCF by 4%. Our issue remains valuation, as a solid outlook appears largely reflected in the shares and investors already seem very positively inclined towards the stock.

Zebra Technologies (ZBRA, OW, \$410 PT)

2Q26 Review: A Zebra Doesn't Change Its Stripes, Raising PT to \$410 (5/12/26)

Q2 results provided further evidence to our view that ZBRA has the levers to offset memory headwinds, and can raise prices further if necessary. End market demand also appears to have strengthened in Q2 with a solid H2 outlook. We see upside risk to our H2 estimates but we believe investor focus is now on 2027 and we see cons. expectations of 6% OSG in '27 as reasonable. Zebra surprised the market at Q2 results by raising FY26 EPS guidance, which includes higher revenue from pricing, and reiterated confidence in offsetting the full ~200bps FY26 GM headwind memory cost headwind. The stock at 16.5x FY26e P/E is no longer discounting a material downgrade but is still below its 19-20x NTM long-term average.

Following results we raised our FY26e EPS by +13% and our TP to \$410.

Zebra delivered better than expected 2Q results, with revenue of \$1.56B (+20% y/y, +9.2% organic) and EPS ex-tariff refund of \$5.10, +17% above Street, while EBITDA excluding \$73M IEEPA tariff refund was +12% above cons. and EBITDA margin of 23.0% beat expectations by 170bps. The most important takeaway was the outlook, as management raised FY26 organic sales growth guidance to +5% to +9% from +3% to +7%, increased FY26 EPS guidance to \$20.75-\$21.25 (midpoint +13% versus prior guidance and +6% above consensus excluding the tariff refund), and guided Q3 EPS ~6% above Street despite continued memory-cost inflation. ZBRA reiterated \$120M gross memory inflation headwind guidance but the ~\$90M pricing recovery was higher than prior guide of \$50M-\$60M.

Connectors / Sensors

Amphenol (APH, OW, \$100 PT)

2Q26 Review: The Beat Goes On (7/29/26)

APH remains a rare stock in that it provides AI/datacenter, short-cycle (electronics, industrial) as well as long-cycle exposure (A&D). At Q2 APH delivered a double-digit EPS and OPP beat and guided Q3 EPS 10% above Cons. As we had flagged, APH raised its guidance for CommScope acquisition, now \$4.6B (prior \$4.1B). We believe APH content on datacenter AI architecture continues to grow at least through Kyber and our view is that APH is continuing to broaden its optics offering while it continues to highlight its 448G CPC product at trade shows. Post Q2 results, we raised Q3e and FY26e EPS (split-adjusted) by 7% to \$0.72 and \$2.64, respectively, and raised FY27 EPS 4% to \$3.11. **We maintain our OW rating, and keep our \$100 PT based on a 3.0% FY27E FCF yield.** Our PT and estimates are adjusted for a 2:1 stock split on 9/3/26.

Q2 results were stronger than expected, led by strength in IT Datacom OSG +63% (Barc. +60%). By our math, Q2 OSG ex IT Datacom was +12% (Q1 +10%) as APH showed both short- and long-cycle end market acceleration. The Q3 guide we think satisfied the most bullish investors at ~\$9.35B sales (prior cons. \$8.59B) and Q3 EPS of ~\$1.41 pre-split (+11% above prior cons. \$1.27). Q2 orders were +14% q/q (+67% org. y/y) with 1.23x book: bill (1Q 0.98x). Sales guidance for the CCS acquisition was raised to \$4.6B and 30c EPS accretion (prior \$4.1B sales, 15c EPS accretion).

We continue to believe investors underestimate the durability of APH's AI and datacenter content opportunity, particularly as CCS becomes an increasingly strategic asset with growing exposure to datacenter markets and the potential to complement other APH businesses (including AFOP, ACS) in potential future optical scale-up architectures.

Sensata Technologies (ST, U/G to OW, \$55 PT)

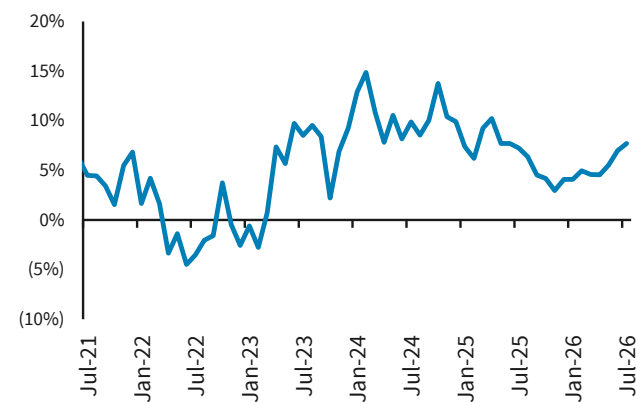
We Upgrade ST to OW on Auto Outgrowth Thesis Re-Emerging, Datacenter 2027 Opportunity, and the Sharp Pullback in Shares

Given the sharp pullback in the share price **we upgrade our rating to Overweight (prior EW) with 30% potential upside to our \$55 price target.** We believe recent lower expectations for global auto production (~60% of ST sales, 52% of segment EBITDA) are reflected in both estimates and ST shares. Barclays expects stable LVP in 2027 (Fig 27) and we expect ST to outperform global production given its improving content per vehicle trends (CPV). We like the industrial story and see upside risk to estimates here (~40% of sales, 48% of FY26e EBITDA).

Q2 results were solid with organic sales growth improving again (OSG +4.4%), the strongest in three years. Q2 Adj. OPP +3% above cons., as auto content gains and improving Industrial and AD&CE demand more than offset soft production markets. Q3 guidance was in line, with stronger Industrial, HVAC, and commercial equipment trends balanced by a 4-5% y/y decline in 2H global light vehicle production. Please see our full [2Q26 Review](#) (7/31/26).

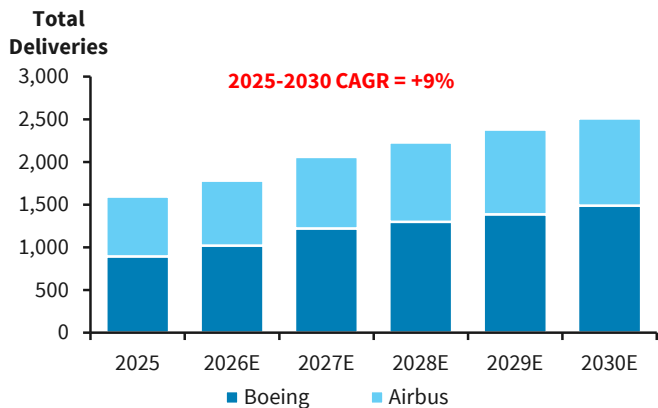
The auto outgrowth thesis is re-emerging after a second consecutive quarter of content growth above production. Within Industrial hyperscaler platform concept wins establish datacenter sensing as an incremental 2027 growth opportunity, albeit at lower content per MW than we initially assumed. Sensata's long-cycle end markets of A&D continue to have positive outlooks (Fig. 25, 26).

FIGURE 25. DoD RDT&E + Procurement Outlays, TTM y/y%



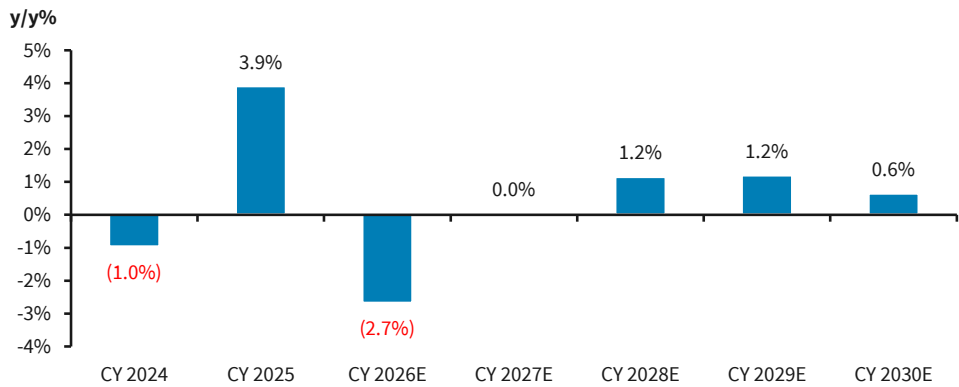
Source: Barclays Research, DoD

FIGURE 26. Narrowbody Commercial Aircraft Deliveries (Boeing + Airbus)



BA (not covered), AIR.FP (covered by Milene Kerner)
Source: Barclays Research, Bloomberg Estimates

FIGURE 27. Barclays LVP Annual Forecasts



Please see [U.S. Autos & Mobility: Barclays LVP Forecast \(8/17/26\)](#)
Source: Barclays Research estimates

Our price target is unchanged at \$55, as we still base our PT on a SOTP valuation, valuing the Automotive segment at 7x EBITDA, a premium to most auto suppliers given its 25% EBITDA margins are materially higher than the Barclays Auto supplier peer group (~12% FY26e). For Industrial and AD&CE we value on the basis of industrial sensing peers and transactions at 15x EBITDA. Our \$55 PT is based on 2027E discounted back 1 year.

FIGURE 28. Barclays ST Sum-of-the-Parts Valuation

	2026E	2027E	2028E
Total Revenues	3,842	4,024	4,230
Automotive	2,121	2,180	2,248
Industrials	812	877	948
Aero, Defense & Comm. Equipment	908	967	1,034
EBITDA Adjusted	877	930	995
Automotive	540	554	577
Industrials	237	260	283
Aero, Defense & Comm. Equipment	265	284	304
Corporate and unallocated	(165)	(166)	(170)
EBITDA Margin %			
Automotive	25.4%	25.4%	25.7%
Industrials	29.2%	29.6%	29.9%
Aero, Defense & Comm. Equipment	29.2%	29.3%	29.3%
Corporate and unallocated	(4.3%)	(4.1%)	(4.0%)
Automotive	7.0x	7.0x	7.0x
Industrials	15.0x	15.0x	15.0x
Aero, Defense & Comm. Equipment	15.0x	15.0x	15.0x
Corporate and unallocated	10.5x	10.5x	10.5x
Automotive	3,779	3,876	4,042
Industrials	3,556	3,893	4,249
Aero, Defense & Comm. Equipment	3,974	4,254	4,553
Corporate and unallocated	(1,734)	(1,748)	(1,781)
Total EV (\$M)	9,575	10,275	11,063
Net Debt/ (Cash)	1,857	1,450	993
Total Equity (\$M)	7,718	8,825	10,070
Per Share	53	60	69
Diluted shares	147	146	146
Target Valuation	\$53	\$55	\$57
Upside/ (Downside) %	25%	30%	35%
Disc. Factor	1.00	0.91	0.83
Cost of Equity	10%	10%	10%

priced as of 9/3/26

Source: Barclays Research estimates

TE Connectivity (TEL, OW, \$300 PT)

Fiscal 3Q26 Review: A.I is O.K., While Both Short & Long Cycle Markets Inflecting Positively

(7/23/26)

We continue to view TEL as an attractive & relatively cheap way to gain exposure to AI infrastructure, short-cycle recovery (FA, CVs), and long-cycle end market growth (Aero, Defense, and Energy/Grid). **We maintain our OW rating and \$300 price target.**

While the DDN miss at FQ3 could continue to dominate the TEL debate, we view the outlook as constructive, with FY27 AI revenue guidance of \$3B appearing well supported by +70% YTD DDN

order growth and broader evidence of accelerating AI infrastructure demand. TEL's AI opportunity appears solid, particularly as bookings continue to outpace revenue growth and management remains confident on FY27.

We believe investors should look at progress in non-DDN revenues. Organic sales growth (OSG) excluding DDN accelerated to +8% in FQ3 from +2% in FQ2, with improving momentum across Energy, Aerospace, Defense & Marine, Automotive and Automation, while management highlighted continued order strength and confidence into FY27.

Industrial Software

Bentley Systems (BSY, EW, PT \$40 PT)

AI Monetization Takes Shape as Core Demand Broadens, but Risk/Reward Remains Balanced

In our view Q2 results were supportive of Bentley's low-double-digit ARR growth framework, with durable infrastructure spending, strong renewal trends, and AI-driven productivity monetization representing incremental upside over time, though execution remains largely in line with expectations today. **We remain Equal Weight rated on BSY with a \$40 PT based on 8x FY26E EV/Sales, as improving fundamentals are balanced by limited near-term upside to estimates and valuation.**

Q2 highlights: BSY delivered another solid and largely predictable 2Q26, with ARR growth accelerating to +12% cc (vs. +11.5% in Q1), subscription revenue +13.6% y/y, and adj. EPS of \$0.35 beating Street by 3c, helped by a lower tax rate, while revenue of \$411M and ARR of \$1.536B came in just below consensus. Management reiterated confidence in FY26 guidance and highlighted strong renewals, improving momentum in both new logos (>600 SMB additions) and existing accounts, as well as broad-based strength in Resources and Public Works & Utilities, particularly mining and electric grid markets. Importantly, the AI narrative continues to progress from concept toward commercialization, with five additional MCP servers launched in the quarter, growing customer adoption, and management now targeting initial monetization of AI-enabled engineering workflows in early 2027 while remaining focused on maximizing long-term consumption.

Manhattan Associates (MANH, OW, PT \$239)

2Q26 Review: Agentic AI Adoption Accelerating; +24% SaaS Growth in FY26 (7/28/26)

The Agentic AI story is gathering momentum as MANH customers are seeing rapid payback from their paid pilots, which supports our channel checks that suggest DD pricing uplift to SaaS contracts and could be as high as 20%. Current year guidance remains conservative, with potential for further upside to FY26e earnings, while management commentary suggests FY27 consensus SaaS sales growth of 20% is conservative. We think new SaaS WMS Editions, including lower priced offerings, should accelerate conversions, cross sell, and backlog growth. **We raise our PT to \$239 (prior \$201) and remain Overweight rated.**

Our [recent management meetings](#) strengthened our conviction that consensus FY27 SaaS expectations are conservative, as accelerating cloud migrations, Editions expanding the addressable market, improving deployment capacity, and record bookings over the last three quarters support durable growth. We also believe investors are underestimating the contribution from Agentic AI, where management reported 100% pilot conversion rates, ~10% installed-base adoption, four subscription tiers, and growing evidence that AI is becoming both a migration catalyst and a potentially material growth driver in 2027. In our view, MANH is one of the clearest beneficiaries of Agentic AI amongst our coverage.

At Q2 SaaS revenue of \$127M (+26% y/y) and adj. OPP were both ~4% ahead of consensus, while RPO grew +23% y/y to a record \$2.47B and cloud bookings remained robust, supported by >40% of new bookings coming from on-premise conversions. Management raised FY26 SaaS growth guidance to +24% from +21%, increased revenue, EPS and margin outlooks, and guided RPO toward the high end of its range, reinforcing confidence in continued cloud momentum.

Trimble Inc. (TRMB, OW, PT \$80)**2Q26 Review: Catalyst Path Ahead (8/19/26)**

We believe investors continue to underappreciate potential upside in TRMB shares despite catalysts ahead including: a potential FY26 guidance increase, an exit or partial sale of T&L, and updated long-term targets to come at a 2027 Investor Day. Consensus expectations in out years appear conservative with ~7% OSG for both '27 and '28 (Source: Bloomberg). At our base case T&L valuation of ~\$3.2B, TRMB ex-T&L trades at just ~10x FY26E EBITDA despite double-digit organic growth and expanding software mix. Post Q2 results we raised FY26 revenue and EBITDA estimates by ~1% and FY27 by ~2%, **reiterate our OW rating, and increased our PT to \$80 from \$79 based on an unchanged 5.0x FY26E EV/Sales.**

TRMB 2Q26 results were better than Street expectations, with revenue, operating profit, and EBITDA beating consensus by 2%, 5%, and 6%, respectively, driven by stronger-than-expected performance in Field Systems, where revenues were 8% above consensus and operating profit 17% ahead on robust civil construction and geospatial demand, while ARR grew +13.5% y/y (+12% organic). Management raised FY26 guidance, now calling for +8-10% organic revenue growth, +12-14% organic ARR growth, and EBITDA margins approaching 30%, implying two of its three 2027 financial targets could effectively be achieved a year early.

Robotics

Symbotic (SYM, UW, PT \$38) Lowering Price Target

Fiscal 3Q26 Review: Beat On Gross Margin & Opex, 4Q Guide Above Consensus, We Raise FY26e EBITDA, but Lower FY27e (8/6/26)

We see gross margins in the 25-30% range in the long term given prevalence of Walmart (90% of FY28e revenues, ~50% of backlog). Robotics/Automation peers margins are ~50%+ GMs. While SYM has a strong cash flow profile (due to customer prepayments) this is dependent on growing deployments ("DIPs"). FQ3 EBITDA was 16% above Street and FQ4 guide 11% above but sales guide was a touch below cons. While we remain fans of the core Symbotic system, its high capex cost limits the pool of potential customers. SYM is making acquisitions of additional lower priced products to broaden its offering but we expect core systems sales to WMT to still account for 85%-90% of revenue through FY28. Softbank still owns 31% of SYM Class A shares, which we view as an overhang. **We reiterate our UW rating and lower our 12 month price target to \$38 (prior \$44)** based on our FY 9/28 SOTP valuation discounted by 1-year.

FQ3 (June) highlights: \$721M sales were modestly above cons. and adjusted EBITDA of \$95M beat by 16%, driven by better gross margins (25.0%, +250bps vs. consensus) and lower operating expenses, while systems gross margins improved sequentially and EBITDA margins reached 13.2%. Management guided fiscal 4Q EBITDA to \$100M-\$105M, ~11% above consensus, although the midpoint of revenue guidance was slightly below Street expectations, and reiterated expectations for positive FCF in both 4Q and FY26 despite a timing-related FQ3 cash flow miss. We view the results as supportive of near-term execution, with strong deployment activity, 11 new system starts, a \$22.5B backlog, and implied NTM revenue visibility above consensus, but the impact of next-generation storage timing, with margin benefits now pushed to 2H27 from FY27.

Distributors

Fastenal Co. (FAST, EW, PT \$46)

2Q26 Review: Once Again Growth Comes at a Price, But This Time It's Opex Headwinds (7/15/26)

July and August sales trends continue to support the volume recovery thesis, with [July DSG](#) of +15.5% y/y, 80bps above FAST's seasonal benchmark despite an FX headwind, and our [August estimate](#) calling for +16.2% DSG (+50bps above benchmark), another month of above-seasonal growth driven by healthy manufacturing and MRO demand. We view these trends as consistent with the strong top-line momentum seen in 2Q26, where FAST delivered +14.7% DSG and continued share gains through national accounts, new contract wins, pricing actions, and broad-based end-market strength. The key debate remains whether this growth can translate into meaningful operating leverage, as gross margins continue to face pressure from price/cost, customer mix, transportation, and rebates, while incentive compensation has driven elevated OpEx growth. We continue to believe FAST will deliver low-double-digit sales growth and gain share, but that much of the benefit will be offset by margin headwinds as growth continues to come at a price for distributors. We remain EW rated with a \$46 PT based on 25x FY26E EV/EBITDA.

WW Grainger (GWW, UW, PT \$1,185)

2Q26 Review: Solid Top-line Growth, but Growth Continues to Come at a Price (8/10/26)

A disappointing 2Q26, in our view, as strong top-line growth was again offset by limited operating leverage, reinforcing our thesis that growth at GWW continues to come at a price. Sales were +1% ahead of Street on +14% organic DSG and broad-based strength across manufacturing, contractors, and retail, but EBITDA was effectively in line with consensus excluding ~\$43M of tariff refunds, while SG&A grew +9% y/y and incremental margins were just ~18%. Management raised FY26 guidance for sales, margins, and EPS, though the increase was modest relative to the tariff-related benefit and 3Q guidance implied operating margins in the "mid-15%" range, below prior expectations.

While July sales were strong at >13% organic LFL FX growth and MRO markets continue to improve, we see ongoing pressure from mix, compensation expense, and project-related growth limiting operating leverage. Post results we raised our FY26 EBITDA estimate 1.5% and our PT to \$1,185 from \$1,166 based on 17x FY26E EBITDA, but remain UW as we continue to prefer names with clearer upside to earnings estimates.

ScanSource Inc. (SCSC, EW, PT \$43)

IT Infrastructure Demand Accelerating & Large Deals Appear to Be Returning; MicroAge adds Strategic Growth Optionality

A very strong fiscal 4Q26 from ScanSource, with revenue of \$953M (+19% vs. consensus), adj. EBITDA of \$46.1M (+15% vs. consensus), and EPS of \$1.46 (+28% vs. consensus), driven by broad-based acceleration in STS as networking, security, cloud compute, connectivity, and large deal activity all strengthened meaningfully. FY27 guidance was well ahead of expectations, with revenue growth of +6% to +10% and EBITDA of \$158M-\$165M (~5% above consensus), implying EBITDA margins of 4.6%-4.65% despite ongoing investments in Intelisys and advisory capabilities.

Management's confidence appears supported by a strong exit rate in June, improving IT infrastructure demand, returning large-deal activity, and what it views as the early stages of a broader technology spending recovery tied to AI, datacenter, and connectivity investments. We also view the acquisition of MicroAge as a strategic positive, adding cloud, cybersecurity, AI, and

services capabilities that should be accretive to margins, EPS, and FCF while expanding ScanSource's addressable market. We remain EW with an unchanged \$43 PT, as the improving growth outlook and differentiated services strategy are balanced by recurring mix pressure and valuation following the recent rally.

WESCO International (WCC, OW, PT \$390)

2Q26 Review: Strong Top Line Growth Requires Investment, We Call Time on the FCF Debate

(8/3/26)

Q2 results provided further support to our Wesco investment thesis: WCC provides relatively inexpensive exposure to secular themes of electrification, data centers, and NA factory investment (re-shoring). We also believe WCC is in the early innings of realizing the benefits of its Digitalization program with potential material benefits to margins and FCF to come beyond 2027. We think investors should assume net working capital of 22-23% of sales through 2027 and given DD sales growth, investors should expect FCF conversion of adj. net income in the 40-50% range. Post results we raised FY26E and FY27E EBITDA estimates by ~4%, **we increased our PT to \$390 from \$376 based on 13x FY27E EBITDA and reiterate our OW rating.**

Q2 results well ahead of consensus: sales \$6.67B (+4% vs. cons.), EBITDA \$487M (+13% vs. cons.), and EBITDA margins 7.3% (+50bps vs. consensus), driven by broad-based strength across all three segments and continued datacenter momentum, where WDSC sales grew +45% y/y. Management materially raised FY26 guidance, increasing total sales growth to +10% to +12% (from +6% to +9%), EBITDA margins to 6.9%-7.1% (from 6.6%-7.0%), and WDSC growth expectations to +30% (from +20%), while guiding 3Q sales growth to low double digits versus Street expectations of +6%.

The only negative in Q2 was FCF guidance lowered by ~\$200M due to elevated working capital requirements, a function of the DD top-line growth; however, we believe investors should view this as a function of stronger-than-expected top-line growth rather than deteriorating fundamentals. We continue to believe WCC offers one of the most attractive combinations of datacenter, electrification, and industrial investment exposure in our coverage, while the market underappreciates the long-term margin and cash flow opportunity from digitalization in the longer term.

CDW Corp. (CDW, EW, PT \$150)

Raised Outlook Q2 Overshadowed by GM Pressure and Weak Cash Conversion; We Expect Q3 Beat, But Our FY26E EBITDA Remains In Line With Consensus

Near term we see CDW beating Q3 consensus OPP and EPS on solid top line, good SG&A control, and share repos, despite Barclays Q3e GMs 50bps below Street. We believe GM pressure will persist in both Q3 and Q4, which could continue to pressure CDW's multiple, which is currently at the low end of its historical range (NTM EV/EBITDA). We expect CDW to deliver Q3 GP growth a touch ahead of its MSD y/y growth guidance (Barclays Q3 GP +7%). We expect Q3 OPP +11% (Cons. +6%) with the beat driven by SG&A cost reduction, which should underpin earnings in 2H26, including a reduction in force in July (est ~750 FTEs). However, CDW also appears to be hiring for AI-related and specialist roles with more than ~1,300 active job postings in 2026 +78% y/y (source: Revelio), which we believe could offset much of the RIF benefits in Q4 and in FY27. Furthermore, delayed services monetization (+1% only in Q2), inventory-driven FCF pressure, and ongoing mix headwinds temper gross profit (GP) growth and therefore upside in Q4 and 1H-27. **We raise our PT to \$150 (prior \$123) based on 10x FY26e EBITDA (prior basis 11x P/E)** to reflect change in valuation methodology to EV from P/E. **We remain EW on CDW shares** given the stock is trading above our new price target.

Q2 Takeaways: This was a mixed 2Q26 where strong demand and a raised FY26 outlook were overshadowed by gross margin pressure and weak cash conversion. We think the announcement of the retirement of long-standing CFO Al Miralles also weighed on the shares. Q2 sales +10% y/y beat consensus by 6%, while adj. EPS beat by 4%, supported by continued investment in AI readiness, infrastructure modernization, security and workplace transformation initiatives.

Gross margins in Q2 missed consensus by 90bps and adj. OPM by 30bps as AI infrastructure and large enterprise deployments skewed revenue mix toward lower-margin hardware. Netted down revenue was +16% and accounted for 36% of Q2 GP (Q1 34.5%). By our math Core GMs declined by 110bps to 13.9% (Q1 14.8%) and core GP grew just 2%. CDW guided H2-26 GMs below H2-25 levels.

SG&A % of GP "Expense Ratio": improved 420bps q/q in Q2 to 57.9%, in line with prior guidance – which was positive in our view. Management guided to continued improvement in the ratio in 2H26 H/H and continued improvement into 2027, but noted it likely bottoms out in 3Q26 and slightly ticks up sequentially in 4Q.

FY26 guidance: U.S IT market growth plus a premium ~200-300bps for FY26 was reiterated. Gross profit growth was increased to MSD (cons. +5%) vs. prior LSD-MSD%. Adj. EPS growth increased to "high end" of HSD% (cons. +7%) vs. prior MSD%.

Free cash flow: Q2 adj. FCF was \$27M and reported -\$83M prior to \$100M of vendor financing. Adjusted FCF conversion was 7% in Q2 (45% 2Q25) and 42% for 1H26 (73% 1H25), which CDW said was related to timing, market dynamics, higher hardware sales, and proactive inventory positioning to support customer urgency to secure product. Inventory increased ~\$400M since 4Q25, which was a key driver to lower FCF in our view; however, CDW noted it expects to re-rationalize some of that inventory in 2H and reiterated its FY26 guide of 80-90% conversion. We see downside risk to guidance and model 69% for FY26.

Share repurchases: CDW repurchased \$344M in 2Q26 (\$545M YTD). Although ~\$1.1B remains in authorization, CDW noted it expects the pace of repurchases to slow in 2H26 given the large amount in 1H26.

FIGURE 29. Barclays' CDW Estimate Changes

	3Q26E			4Q26E			FY26E			FY27E		
	Original	New	Delta	Original	New	Delta	Original	New	Delta	Original	New	Delta
Total Revenue	6,142	6,427	4.6%	6,159	6,150	(0.1%)	23,920	24,829	3.8%	24,752	26,692	7.8%
Gross Profit	1,351	1,343	(0.6%)	1,293	1,292	(0.1%)	5,141	5,145	0.1%	5,385	5,592	3.8%
Total GM%	22.0%	20.9%	(1.1%)	21.0%	21.0%	0.0%	21.5%	20.7%	(0.8%)	21.8%	21.0%	(0.8%)
Adj. Operating Profit	568	591	4.1%	524	529	1.0%	2,096	2,128	1.5%	2,250	2,400	6.7%
Total OM%	9.3%	9.2%	(0.0%)	8.5%	8.6%	0.1%	8.8%	8.6%	(0.2%)	9.1%	9.0%	(0.1%)
Adj. EBITDA	605	618	2.2%	560	556	(0.8%)	2,226	2,231	0.3%	2,403	2,542	5.8%
Adj. EBITDA Margin%	9.8%	9.6%	(0.2%)	9.1%	9.0%	(0.1%)	9.3%	9.0%	(0.3%)	9.7%	9.5%	(0.2%)
Adj. Net Income	378	396	4.9%	345	350	1.6%	1,385	1,412	2.0%	1,463	1,585	8.3%
Adj. EPS	\$2.99	\$3.15	5.1%	\$2.70	\$2.81	4.2%	\$10.91	\$11.14	2.1%	\$11.89	\$13.00	9.3%
FCF	142	468	229.9%	334	296	(11.3%)	1,159	930	(19.8%)	1,177	1,305	10.9%

\$m except per share

Source: Barclays Research estimates

TD Synnex Corp. (SNX) We raise our PT to \$287, But Remain EW

2Q26 Review: AI & Hardware Pricing & Balance Sheet Strength Drive Share Gains & EPS, but also -ve Free Cash Flow (7/2/26)

We remain **Equal Weight** on TD SYNnex, although we believe near-term risks are firmly to the upside. That said, we believe this view is already widely held by investors. SNX is increasingly viewed as part of the datacenter investment ecosystem, with Hyve contributing ~30% of operating profit and continuing to grow as a percentage of total SNX. On the Distribution side, following our July webinar with the CFO, we came away with a stronger appreciation for the business quality of the segment, and that it is underappreciated by the market. One negative, however, is that Barclays FCF estimates are well below consensus for both Q326e and Q426e given the growth in Hyve. **We raise our PT to \$287 (prior \$278) based on 9.5x FY26e EBITDA as we raise our FY26E EBITDA +2%.**

SNX Q2 EPS was 21% ahead of Street and 3Q guidance ~13% above Street expectations, driven by continued share gains in Distribution and exceptional growth at Hyve, where revenue grew +117% y/y and operating profit +89% y/y. We believe SNX shares declined on the results due to the negative FCF from working-capital investment. However, in our subsequent virtual [fireside chat with CFO David Jordan](#) (7/8/26) we learned that investment in Hyve was predominantly responsible for the -ve FCF, not distribution.

In our fireside discussion with the CFO we also learned that Hyve's growth runway appears longer and broader than generally appreciated. Management highlighted that Hyve now has programs with all five major hyperscalers, with customer diversification still in the early innings, increasing liquid-cooling adoption, growing engineering content, and a credible path to benefit from both hyperscaler AI infrastructure and emerging on-prem AI deployments. We also came away from our CFO fireside viewing the Distribution business as a higher-quality, above-market grower supported by scale, specialization and vendor outsourcing trends, while maintaining a strong focus on profit and cash generation.

FIGURE 30. Barclays' SNX Estimate Changes

	3FQ26E			FY26E			FY27E		
	Original	New	Delta	Original	New	Delta	Original	New	Delta
Total Billings	29,124	29,124	0.0%	113,875	114,059	0.2%	124,716	124,946	0.2%
Advanced Solutions	13,356	13,356	0.0%	52,256	52,256	0.0%	54,327	54,327	0.0%
Endpoint Solutions	9,968	9,968	0.0%	40,389	40,389	0.0%	42,408	42,408	0.0%
Hyve	5,800	5,800	0.0%	21,160	21,344	0.9%	27,980	28,210	0.8%
Netted Down Sales	9,611	9,611	0.0%	37,461	37,522	0.2%	41,156	41,232	0.2%
Total Revenue	19,513	19,513	0.0%	76,414	76,537	0.2%	83,560	83,714	0.2%
Gross Margin, %	7.0%	7.0%	0.0%	7.0%	7.0%	0.0%	7.1%	7.1%	0.0%
Total Adj. OPP	585	605	3.3%	2,379	2,418	1.7%	2,801	2,806	0.2%
Total Adj. OPM, %	3.0%	3.1%	0.1%	3.1%	3.2%	0.0%	3.4%	3.4%	0.0%
Adj. EBITDA	615	635	3.2%	2,497	2,536	1.6%	2,919	2,925	0.2%
Adj. EBITDA Margin, %	3.2%	3.3%	0.1%	3.3%	3.3%	0.0%	3.5%	3.5%	(0.0%)
Adj. EPS	\$4.58	\$4.75	3.8%	\$18.80	\$19.13	1.8%	\$21.91	\$21.85	(0.3%)
FCF	(181)	(167)	(8.2%)	(223)	(238)	6.8%	1,158	1,158	0.0%

\$m except per share

Source: Barclays Research estimates

Appendix

FIGURE 31. Figure Constituents for the Companies Included in Figures 13-18

Electrical Equipment			Test & Measurement			Factory Automation			Sensors		
Company	Segment	Barclays Coverage	Company	Segment	Barclays Coverage	Company	Segment	Barclays Coverage	Company	Segment	Barclays Coverage
3M	Electrical Markets	Not Covered	Anritsu	T&M	Not Covered	ABB	DA&M / R&M / R&DA	George Featherstone	Honeywell	Safety / Sensing and Safety Technologies	Not Covered
ABB	EP/LVP/Electrification	George Featherstone	Emerson	T&M	Not Covered	ABB	Motion	George Featherstone	Ralliant / Fortive	Sensors & Safety Systems / Sensing Tech	Not Covered
Acuity	Total	Not Covered	Illinois Tool Works	T&M	Not Covered	Airtac	Total	Not Covered	TEL	Sensors	Guy Hardwick
Advanced Energy	Semi Equipment	Not Covered	Keysight Technologies	Total	Tim Long	Basler	Total	Not Covered	Warehouse Automation		
Advanced Energy	Data Center Computing	Not Covered	Keysight Technologies	EISG	Tim Long	Basler	Total	Not Covered	Company	Segment	Barclays Coverage
Atkore	Raceway/Electrical	Not Covered	Keysight Technologies	Spirent	Tim Long	Belden	Industrial Automation / Automation Solutions	Not Covered	Daifuku	Transportation, warehousing	Not Covered
Belden	Enterprise Solutions / Smart Infrastructure	Not Covered	Mettler Toledo	Company	Luke Sergott	CGNX	Total	Guy Hardwick	Honeywell	Warehouse and Workflow Solutions	Not Covered
Eaton	Electrical	Not Covered	Ralliant / Fortive	Hardware Product	Not Covered	Dassault Systems	Total	Sven Merkt	Kion Group	Supply Chain Solutions	Tim Lee
Hubbell	Electrical	Not Covered	Ralliant / Fortive	T&M / Tektronix	Not Covered	Emerson	IA	Not Covered	Toyota Industries	Logistic solutions	Not Covered
Legrand	Total	George Featherstone	TDY	Instrumentation	Guy Hardwick	Emerson	Discrete Automation	Not Covered	Distributors		
Littlefuse	Total	Not Covered	Viavi Solutions	Total	Not Covered	Fanuc	Total	Not Covered	Company	Segment	Barclays Coverage
nVent	Total	Not Covered				Hiwin	Total	Not Covered	Applied Industrial Tech	Total	Not Covered
nVent	Exc. Thermal Management	Not Covered				Keyence	Total	Not Covered	FAST	Total	Guy Hardwick
Powell Industries	Electric Utility	Not Covered				Krones	Total	Not Covered	Ferguson	Total	Matt Bouley
Prysmian	E&I / Electrification	Xin Wang				Kuka	Total	Not Covered	GWW	Total	Guy Hardwick
Rexel	Total	George Featherstone				Mitsubishi Electric	Factory Automation	Not Covered	MSC Industrial	Total	Not Covered
Schneider	Building / Low Voltage / EM (total)	George Featherstone				Omron	IA	Not Covered	Pool	Total	Not Covered
Siemens	BT / SI	Vlad Sergievskii				Rexel	Total	George Featherstone	Rexel	Total	George Featherstone
Signify	Phillips (Lighting)	Rajesh Patki				Rockwell Automation	Total	Not Covered	RS Group	Total	James Rose
Vertiv	Total	Not Covered				Rockwell Automation	Intelligent Devices	Not Covered	Systemax / Global Industrial Company	Total	Not Covered
WCC	Total	Guy Hardwick				Rockwell Automation	Software & Control	Not Covered	Watsco	Total	Not Covered
Zumtobel	Total	Not Covered				Schneider	Industry / Industrial Automation	George Featherstone	WCC	Total	Guy Hardwick
						Shenzhen Inovance	Industrial Automation	Not Covered			
						Siasun	Total	Not Covered			
						Siemens	PI&D	Vlad Sergievskii			
						Siemens	DF / DI	Vlad Sergievskii			
						Siemens	SF / DI - Automation	Vlad Sergievskii			
						TEL	Ind. Equip. / Auto & Conn. Living	Guy Hardwick			
						Teradyne	Industrial Automation	Not Covered			
						Teradyne	Industrial Automation / Robotics	Not Covered			
						THK	Total	Not Covered			
						Wuxi Xinje	Total	Not Covered			
						Yaskawa	Total	Not Covered			

Source: Barclays Research

FIGURE 32. Figure Constituents for the Companies Included in Figure 22

Barclays Global Capex Model (Appendix)	
Ticker / Sector	Company
AAPL US	Apple Inc
HPQ US	HP Inc
DELL US	Dell Technologies Inc
HPE US	Hewlett Packard Enterprise Co
SMCI US	Super Micro Computer Inc
2317 TT	Hon Hai Precision Industry Co
002475 CH	Luxshare Precision Industry Co
603296 CH	Huaqin Technology Co Ltd
600745 CH	Wingtech Technology Co Ltd
002384 CH	Suzhou Dongshan Precision Manu
6752 JP	Panasonic Holdings Corp
6701 JP	NEC Corp
1810 HK	Xiaomi Corp
285 HK	BYD Electronic International C
763 HK	ZTE Corp
FLEX US	Flex Ltd
CSCO US	Cisco Systems Inc
APH US	Amphenol Corp
JNPR US	Juniper Networks Inc
CIEN US	Ciena Corp
MSI US	Motorola Solutions Inc
ZBRA US	Zebra Technologies Corp
066570 KS	LG Electronics Inc
Electronics	
AMZN US	Amazon.com Inc
MSFT US	Microsoft Corp
META US	Meta Platforms Inc
GOOG US	Alphabet Inc
ORCL US	Oracle Corp
EBAY US	eBay Inc
SAP GY	SAP SE
BABA US	Alibaba Group Holding Ltd
700 HK	Tencent Holdings Ltd
9888 HK	Baidu Inc
CRM US	Salesforce Inc
IBM US	International Business Machine
EQIX US	Equinix Inc
DLR US	Digital Realty Trust Inc
Hyperscalers & Datacenters	
AMZN US	Amazon.com Inc
AMZN R&F Only	AMZN Retail & Fulfillment
FDX US	FedEx Corp
UPS US	United Parcel Service Inc
GXO US	GXO Logistics Inc
BPOST BB	bpost SA
DHL GY	Deutsche Post AG
SC&L, Parcel & Post	
Total SC&L	
GM US	General Motors Co
F US	Ford Motor Co
TSLA US	Tesla Inc
RIVN US	Rivian Automotive Inc
PSNY	Polestar Automotive Holding UK

Barclays Global Capex Model (Appendix)

175 HK	Geely Automobile Holdings Ltd
2333 HK	Great Wall Motor Co Ltd
VOW GY	Volkswagen AG
STLA US	Stellantis NV
BYDDF	BYD Co Ltd
LI US	Li Auto Inc
9868 HK	XPeng Inc
7203 JP	Toyota Motor Corp
7201 JP	Nissan Motor Co Ltd
6902 JP	Denso Corp
3116 JP	Toyota Boshoku Corp
MGA US	Magna International Inc
APTIV US	Aptiv PLC
LEA US	Lear Corp
ADNT US	Adient PLC
VC US	Visteon Corp
TEL US	TE Connectivity PLC
ST US	Sensata Technologies Holding P
BWA US	BorgWarner Inc
FR FP	Valeo SE
CON GY	Continental AG
ML FP	Cie Generale des Etablissement
FRVIA FP	Forvia SE
MBG GY	Mercedes-Benz Group AG
RNO FP	Renault SA

Automotive

CMI US	Cummins Inc
PCAR US	PACCAR Inc
489 HK	Dongfeng Motor Group Co Ltd
DTG GY	Daimler Truck Holding AG
VOLVB SS	Volvo AB
8TRA GY	Traton SE

Truck Manufacturers

TSM US	Taiwan Semiconductor Manufactu
MU US	Micron Technology Inc
000660 KS	SK hynix Inc
INTC US	Intel Corp
TXN US	Texas Instruments Inc
QCOM US	QUALCOMM Inc
AMD US	Advanced Micro Devices Inc
ADI US	Analog Devices Inc
NVDA US	NVIDIA Corp
LRCX US	Lam Research Corp
KLAC US	KLA Corp
AMAT US	Applied Materials Inc
STMPA FP	STMicroelectronics NV
ASML NA	ASML Holding NV
8035 JP	Tokyo Electron Ltd
IFX GY	Infineon Technologies AG
005930 KS	Samsung Electronics Co Ltd

Semiconductor

PG US	Procter & Gamble Co/The
ULVR LN	Unilever PLC
KMB US	Kimberly-Clark Corp
GIVN SW	Givaudan SA

Barclays Global Capex Model (Appendix)

OR FP	L'Oreal SA
CL US	Colgate-Palmolive Co

Consumer Products

NESN SW	Nestle SA
MDLZ US	Mondelez International Inc
GIS US	General Mills Inc
BN FP	Danone SA
HEIA NA	Heineken NV
DGE LN	Diageo PLC
KHC	Kraft Heinz Co/The
TAP US	Molson Coors Beverage Co
MNST US	Monster Beverage Corp
STZ US	Constellation Brands Inc
KO US	Coca-Cola Co/The
PEP US	PepsiCo Inc
ABI BB	Anheuser-Busch InBev SA/NV

Food & Beverage

BALL US	Ball Corp
CCK US	Crown Holdings Inc
SW US	Smurfit Westrock PLC
OI US	O-I Glass Inc
AMCR US	Amcor PLC
SEE US	Sealed Air Corp
SON US	Sonoco Products Co
SLGN US	Silgan Holdings Inc
SGO FP	Cie de Saint-Gobain SA
AVY US	Avery Dennison Corp

Consumer packaging

AIR FP	Airbus SE
SAF FP	Safran SA
HO FP	Thales SA
BA US	Boeing Co/The
RR/ LN	Rolls-Royce Holdings PLC
BA US	Boeing Co/The
GE US	General Electric Co
LMT US	Lockheed Martin Corp
GD US	General Dynamics Corp
NOC US	Northrop Grumman Corp
RTX US	RTX Corp
LHX US	L3Harris Technologies Inc
TXT US	Textron Inc

A&D

MMM US	3M Co
CAT US	Caterpillar Inc
DE US	Deere & Co
HON US	Honeywell International Inc
DD US	DuPont de Nemours Inc
EMR US	Emerson Electric Co
TER US	Teradyne Inc
6954 JP	FANUC Corp
PH US	Parker-Hannifin Corp
ROK US	Rockwell Automation Inc
SU FP	Schneider Electric SE

Barclays Global Capex Model (Appendix)

SIE GY	Siemens AG
--------	------------

Industrial & Automation

WMT US	Walmart Inc
TGT US	Target Corp
HD US	Home Depot Inc/The
KR US	Kroger Co/The
WBA US	Walgreens Boots Alliance Inc
9983 JP	Fast Retailing Co Ltd
CA FP	Carrefour SA
CO FP	Casino Guichard Perrachon SA
COLR BB	Colruyt Group N.V
TSCO LN	Tesco PLC
KGF LN	Kingfisher PLC
HMB SS	H & M Hennes & Mauritz AB
ITX SM	Industria de Diseno Textil SA
MKS LN	Marks & Spencer Group PLC
COST US	Costco Wholesale Corp

Retail Capex

T US	AT&T Inc
CMCSA US	Comcast Corp
VZ US	Verizon Communications Inc
TMUS US	T-Mobile US Inc
CHTR US	Charter Communications Inc
FYBR US	Frontier Communications Parent
SATS US	EchoStar Corp
VOD LN	Vodafone Group PLC
AMXB MM	America Movil SAB de CV
DTE GY	Deutsche Telekom AG
TEF SM	Telefonica SA
ORA FP	Orange SA

Telecom

JNJ US	Johnson & Johnson
PFE US	Pfizer Inc
MRK US	Merck & Co Inc
BMJ US	Bristol-Myers Squibb Co
ABBV US	AbbVie Inc
AZN LN	AstraZeneca PLC
GSK LN	GSK PLC
NOVN SW	Novartis AG
ROG SW	Roche Holding AG
TMO US	Thermo Fisher Scientific Inc
DHR US	Danaher Corp
A US	Agilent Technologies Inc

Pharma & Life Sciences

ABT US	Abbott Laboratories
FRE GY	Fresenius SE & Co KGaA
SYK US	Stryker Corp
DHR US	Danaher Corp
BSX US	Boston Scientific Corp

MedTech

Source: Barclays Research

U.S. Industrial Technology & Distributors

POSITIVE

Amphenol Corp. (APH)

OVERWEIGHT

Income statement (\$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	23,095	35,304	41,158	44,612	24.5%
EBITDA (adj)	6,972	11,694	13,172	14,443	27.5%
EBIT (adj)	6,050	10,169	11,766	12,925	28.8%
Pre-tax income (adj)	5,782	9,409	11,101	12,419	29.0%
Net income (adj)	4,273	6,826	8,061	9,023	28.3%
EPS (adj) (\$)	1.67	2.64	3.11	3.48	27.7%
Diluted shares (mn)	2,555	2,582	2,592	2,592	0.5%
DPS (\$)	0.37	0.51	0.56	0.62	18.5%
Margin and return data	2025A	2026E	2027E	2028E	Average
Gross margin (adj) (%)	34.2	36.7	31.0	40.5	35.6
EBITDA (adj) margin (%)	30.2	33.1	32.0	32.4	31.9
EBIT (adj) margin (%)	26.2	28.8	28.6	29.0	28.1
Pre-tax (adj) margin (%)	25.0	26.7	27.0	27.8	26.6
Net (adj) margin (%)	18.5	19.3	19.6	20.2	19.4
ROCE (%)	16.7	21.7	27.8	27.1	23.3
ROA (%)	11.8	14.6	15.3	15.5	14.3
ROE (%)	31.8	36.8	32.3	28.2	32.3
Cash flow and balance sheet (\$mn)	2025A	2026E	2027E	2028E	CAGR
Change in working capital	7,862	-3,301	4,525	5,001	-14.0%
Cash flow from operations	5,375	7,160	9,307	10,593	25.4%
Capital expenditure	-997	-1,412	-1,523	-1,651	N/A
Equity free cash flow	4,393	5,768	7,804	8,963	26.8%
Tangible fixed assets	2,306	3,094	3,599	4,112	21.3%
Intangible fixed assets	12,817	22,570	22,183	21,803	19.4%
Cash and equivalents	11,131	6,465	10,618	15,558	11.8%
Working capital	13,464	10,164	14,688	19,690	13.5%
Inventories	3,425	4,943	5,350	5,800	19.2%
Accounts receivable	4,717	6,884	7,820	8,142	20.0%
Accounts payable	2,662	4,413	5,350	6,023	31.3%
Total assets	36,237	46,916	52,530	58,373	17.2%
Short and long-term debt	15,502	17,278	15,328	13,243	-5.1%
Total liabilities	22,727	28,267	27,481	26,199	4.9%
Shareholders' equity	13,422	18,527	24,928	32,052	33.7%
Valuation and return metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	49.5	31.3	26.6	23.8	32.8
EV/sales (x)	9.4	6.4	5.3	4.7	6.5
EV/EBITDA (adj) (x)	31.2	19.2	16.6	14.6	20.4
EV/EBIT (adj) (x)	36.0	22.1	18.5	16.3	23.2
P/FCF (x)	48.1	37.1	27.5	23.9	34.2
Equity FCF yield (%)	2.1	2.7	3.6	4.2	3.1
P/BV (x)	15.8	11.5	8.6	6.7	10.6
Dividend yield (%)	0.4	0.6	0.7	0.7	0.6
Selected operating metrics	2025A	2026E	2027E	2028E	
Organic growth (%)	38.1	29.9	15.7	8.1	

Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

Price (04-Sep-2026) **USD 82.78**
 Price Target **USD 100.00**

Why OVERWEIGHT?

APH is a high quality industrial tech company with diversified end markets and a track record of outperforming global industrial production. The content opportunities and market growth in AI racks, coupled with the CCS acquisition, provide meaningful tailwinds.

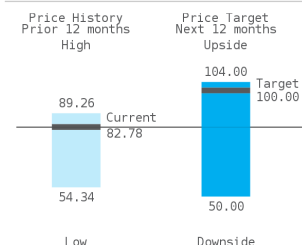
Upside case **USD 104.00**

Our upside case of \$104 is based on 30% 3-year CAGR revenue growth ('23-'26) and 30% incremental margins, both higher than our base case, and a 2.5% FY27e FCF yield, which is at the high end of APH's 5-year valuation range.

Downside case **USD 50.00**

Our downside scenario of \$50 is based on 22% 3-year CAGR revenue growth ('23-'26) and 26% incremental margins, both lower than our base case. Our target multiple of 3.5% FY27e FCF yield.

Upside/Downside scenarios



U.S. Industrial Technology & Distributors

POSITIVE

Bentley Systems Inc. (BSY)

EQUAL WEIGHT

Income statement (\$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	1,502	1,707	1,880	2,072	11.3%
EBITDA (adj)	568	650	730	820	13.0%
EBIT (adj)	502	585	665	755	14.6%
Pre-tax income (adj)	489	555	635	725	14.0%
Net income (adj)	397	450	501	572	13.0%
EPS (adj) (\$)	1.19	1.41	1.59	1.83	15.3%
Diluted shares (mn)	333	319	315	313	-2.0%
DPS (\$)	0.28	0.28	0.31	0.34	6.6%
Margin and return data	2025A	2026E	2027E	2028E	Average
Gross margin (adj) (%)	81.5	82.2	82.3	82.7	82.2
EBITDA (adj) margin (%)	37.8	38.1	38.8	39.6	38.6
EBIT (adj) margin (%)	33.4	34.3	35.4	36.4	34.9
Pre-tax (adj) margin (%)	32.6	32.5	33.8	35.0	33.5
Net (adj) margin (%)	26.4	26.4	26.7	27.6	26.8
ROCE (%)	11.5	12.6	16.6	17.0	14.4
ROA (%)	11.2	12.0	11.8	12.0	11.7
ROE (%)	33.4	34.5	31.1	28.8	32.0
Cash flow and balance sheet (\$mn)	2025A	2026E	2027E	2028E	CAGR
Change in working capital	-49	119	379	0	N/A
Cash flow from operations	539	561	641	728	10.6%
Capital expenditure	-18	-34	-38	-41	N/A
Equity free cash flow	520	527	603	687	9.7%
Tangible fixed assets	0	0	0	0	N/A
Intangible fixed assets	0	0	2,604	2,559	N/A
Cash and equivalents	123	333	831	1,319	120.4%
Working capital	-421	-302	77	433	N/A
Inventories	N/A	N/A	N/A	N/A	N/A
Accounts receivable	350	358	395	435	7.5%
Accounts payable	27	34	38	41	15.4%
Total assets	3,555	3,750	4,257	4,762	10.2%
Short and long-term debt	1,249	1,217	1,302	1,302	1.4%
Total liabilities	2,366	2,448	2,644	2,775	5.5%
Shareholders' equity	1,189	1,302	1,613	1,987	18.7%
Valuation and return metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	28.3	23.9	21.2	18.4	23.0
EV/sales (x)	7.9	6.8	6.0	5.2	6.5
EV/EBITDA (adj) (x)	20.9	17.9	15.4	13.1	16.8
EV/EBIT (adj) (x)	23.7	19.9	16.9	14.2	18.7
P/FCF (x)	21.6	20.4	17.6	15.4	18.7
Equity FCF yield (%)	4.6	4.9	5.7	6.5	5.4
P/BV (x)	9.4	8.2	6.6	5.3	7.4
Dividend yield (%)	0.8	0.8	0.9	1.0	0.9
Selected operating metrics	2025A	2026E	2027E	2028E	
Organic growth (%)	10.0	12.4	10.1	10.2	

Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

Price (04-Sep-2026) **USD 33.71**
 Price Target **USD 40.00**

Why EQUAL WEIGHT?

We expect BSY to deliver FY26 results in line with its guidance and consensus of +12% revenue growth and 100bps year-on-year improvement in adj. Operating profit margin (including SBC). We are Equal Weight given limited upside to guidance and consensus, and see the stock as fairly valued at current valuation levels.

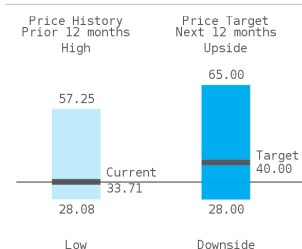
Upside case **USD 65.00**

Our upside case of \$65 is based on 16% CAGR revenue growth and a 12x FY26e EV/Sales multiple, which is towards the top of BSY's 5-year historical range.

Downside case **USD 28.00**

Our downside case of \$28 is based on 6% CAGR revenue growth and a 6x FY26e EV/Sales multiple, which is below the low end of BSY's 5-year historical NTM EV/Sales range.

Upside/Downside scenarios



U.S. Industrial Technology & Distributors

POSITIVE

CDW Corp. (CDW)

EQUAL WEIGHT

Income statement (\$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	22,424	24,829	26,692	N/A	N/A
EBITDA (adj)	2,066	2,231	2,542	N/A	N/A
EBIT (adj)	1,999	2,128	2,400	N/A	N/A
Pre-tax income (adj)	1,770	1,904	2,148	N/A	N/A
Tax rate (%)	25	26	26	N/A	N/A
Net income (adj)	1,323	1,412	1,585	N/A	N/A
EPS (adj) (\$)	10.02	11.14	13.00	N/A	N/A
Diluted shares (mn)	132	127	122	N/A	N/A
DPS (\$)	2.50	2.52	2.60	N/A	N/A
Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	9.2	9.0	9.5	N/A	9.2
EBIT (adj) margin (%)	8.9	8.6	9.0	N/A	8.8
Net (adj) margin (%)	5.9	5.7	5.9	N/A	5.8
Operating CF margin (%)	N/A	N/A	N/A	N/A	N/A
ROIC (%)	19.6	20.1	22.0	N/A	20.5
ROA (%)	9.3	9.2	9.9	N/A	9.5
ROE (%)	57.3	61.4	60.3	N/A	59.7
Balance sheet and cash flow (\$mn)	2025A	2026E	2027E	2028E	CAGR
Cash and equivalents	619	529	687	N/A	N/A
Total assets	16,028	17,175	17,905	N/A	N/A
Short and long-term debt	5,630	5,817	5,817	N/A	N/A
Other long-term liabilities	1,244	1,399	1,399	N/A	N/A
Total liabilities	13,422	14,603	15,029	N/A	N/A
Net debt/(funds)	5,011	5,288	5,130	N/A	N/A
Shareholders' equity	2,606	2,573	2,938	N/A	N/A
Cash flow from operations	1,205	1,049	1,433	N/A	N/A
Capital expenditure	-117	-119	-128	N/A	N/A
Free cash flow	1,088	930	1,305	N/A	N/A
NOPAT	1,494	1,578	1,771	N/A	N/A
Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	15.2	13.7	11.7	N/A	13.5
EV/sales (x)	1.1	1.0	0.9	N/A	1.0
EV/EBITDA (adj) (x)	11.8	11.1	9.7	N/A	10.8
EV/EBIT (adj) (x)	12.2	11.6	10.2	N/A	11.4
FCF yield (%)	4.5	3.8	5.3	N/A	4.5
P/BV (x)	7.7	7.5	6.3	N/A	7.2
Dividend yield (%)	1.6	1.7	1.7	N/A	1.7

Price (04-Sep-2026) **USD 152.38**
Price Target **USD 150.00**

Why EQUAL WEIGHT?

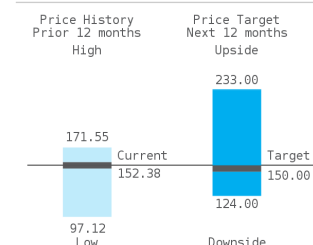
We believe an improving software/ services mix and SMB upside in the long run will likely be offset by near-term macro and PC pressures as well as by longer-term IT moves to the cloud from on-premise. We see below seasonal Q4 expectations, in light of macro uncertainty and pressure from the government shutdown.

Upside case **USD 233.00**

Potential factors that could drive our upside scenario include a better macro environment, earlier-than-expected PC recovery, and faster transition to higher growth software / services. Our upside case is \$233 per share.

Downside case **USD 124.00**

Potential downside factors include macro and PC recoveries taking longer than expected, more layoffs impacting the sales culture, faster-than-expected shift to cloud impacting prem hardware sales, as well as macros worsening. Our downside case is \$124 per share.

Upside/Downside scenarios

Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

U.S. Industrial Technology & Distributors

POSITIVE

Cognex Corp. (CGNX)

OVERWEIGHT

Income statement (\$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	994	1,149	1,263	1,385	11.7%
EBITDA (adj)	215	378	549	653	44.8%
EBIT (adj)	195	360	530	631	48.0%
Pre-tax income (adj)	215	376	556	665	45.7%
Net income (adj)	172	305	450	538	46.3%
EPS (adj) (\$)	1.02	1.80	2.68	3.25	47.3%
Diluted shares (mn)	169	170	168	166	-0.7%
DPS (\$)	0.33	0.35	0.37	0.38	5.3%
Margin and return data	2025A	2026E	2027E	2028E	Average
Gross margin (adj) (%)	69.2	71.9	73.1	73.8	72.0
EBITDA (adj) margin (%)	21.6	32.9	43.5	47.1	36.3
EBIT (adj) margin (%)	19.6	31.3	42.0	45.6	34.6
Pre-tax (adj) margin (%)	21.6	32.8	44.0	48.0	36.6
Net (adj) margin (%)	17.3	26.5	35.7	38.9	29.6
ROCE (%)	9.7	16.1	21.2	22.2	17.3
ROA (%)	8.5	13.7	18.0	18.9	14.8
ROE (%)	11.5	18.0	22.8	23.1	18.9
Cash flow and balance sheet (\$mn)	2025A	2026E	2027E	2028E	CAGR
Change in working capital	N/A	N/A	N/A	N/A	N/A
Cash flow from operations	246	357	470	559	31.6%
Capital expenditure	-9	-17	-32	-35	N/A
Equity free cash flow	237	340	438	525	30.4%
Tangible fixed assets	158	154	167	0	-100.0%
Intangible fixed assets	81	59	49	38	-22.0%
Cash and equivalents	263	520	779	1,120	62.1%
Working capital	514	698	946	0	-100.0%
Inventories	138	147	159	173	7.9%
Accounts receivable	147	159	172	186	8.2%
Accounts payable	50	67	80	94	23.2%
Total assets	2,017	2,232	2,497	2,847	12.2%
Short and long-term debt	77	72	72	72	-1.8%
Total liabilities	525	536	525	513	-0.7%
Shareholders' equity	1,492	1,696	1,972	2,334	16.1%
Valuation and return metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	61.3	34.6	23.2	19.2	34.6
EV/sales (x)	10.5	N/A	7.8	6.9	8.4
EV/EBITDA (adj) (x)	48.4	N/A	18.0	14.6	27.0
EV/EBIT (adj) (x)	53.4	N/A	18.6	15.1	29.0
P/FCF (x)	44.5	31.1	23.9	19.7	29.8
Equity FCF yield (%)	2.2	3.2	4.2	5.1	3.7
P/BV (x)	7.1	6.2	5.3	4.4	5.8
Dividend yield (%)	0.5	0.6	0.6	0.6	0.6
Selected operating metrics	2025A	2026E	2027E	2028E	
Organic growth (%)	8.1	18.7	10.2	9.7	

Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

Price (04-Sep-2026) **USD 62.25**
 Price Target **USD 80.00**

Why OVERWEIGHT?

CGNX continues to invest in R&D and its sales force throughout this period, which positions the company well for a strong recovery in earnings with improving top-line growth and high incremental margins, in our view.

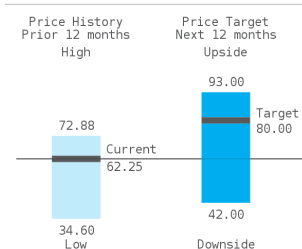
Upside case **USD 93.00**

Our upside case is based on 35x our upside EBITDA estimate. Our upside EBITDA estimate is derived from stronger than base case top-line growth of +15% CAGR (2024-2026e) and 75% incremental margins. The 35x multiple is towards the higher end of CGNX's historical valuation range.

Downside case **USD 42.00**

Our downside case is based on 25x our downside EBITDA estimate, derived from +5% CAGR in revenue and 50% incremental margins, both lower than in our base case. The 25x multiple is towards the lower end of the historical valuation range.

Upside/Downside scenarios



U.S. Industrial Technology & Distributors

POSITIVE

Fastenal Co. (FAST)

EQUAL WEIGHT

Income statement (\$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	8,200	9,499	10,785	11,421	11.7%
EBITDA (adj)	1,835	2,129	2,462	2,617	12.6%
EBIT (adj)	1,656	1,939	2,241	2,376	12.8%
Pre-tax income (adj)	1,655	1,941	2,242	2,377	12.8%
Net income (adj)	1,259	1,464	1,693	1,795	12.6%
EPS (adj) (\$)	1.09	1.27	1.47	1.56	12.6%
Diluted shares (mn)	1,150	1,150	1,149	1,149	0.0%
DPS (\$)	0.88	0.98	1.09	1.21	11.5%
Margin and return data	2025A	2026E	2027E	2028E	Average
Gross margin (adj) (%)	45.0	44.4	44.5	44.4	44.6
EBITDA (adj) margin (%)	22.4	22.4	22.8	22.9	22.6
EBIT (adj) margin (%)	20.2	20.4	20.8	20.8	20.5
Pre-tax (adj) margin (%)	20.2	20.4	20.8	20.8	20.6
Net (adj) margin (%)	15.3	15.4	15.7	15.7	15.5
ROCE (%)	32.8	35.6	37.4	36.6	35.6
ROA (%)	25.8	27.9	29.6	28.7	28.0
ROE (%)	33.3	36.0	38.1	36.4	36.0
Cash flow and balance sheet (\$mn)	2025A	2026E	2027E	2028E	CAGR
Change in working capital	765	555	948	1,489	24.9%
Cash flow from operations	1,296	1,324	1,540	1,877	13.2%
Capital expenditure	-233	-319	-350	-343	N/A
Equity free cash flow	1,063	1,004	1,190	1,535	13.0%
Tangible fixed assets	1,132	1,260	1,399	1,511	10.1%
Intangible fixed assets	N/A	N/A	N/A	N/A	N/A
Cash and equivalents	277	64	10	162	-16.3%
Working capital	10,684	11,239	12,187	13,676	8.6%
Inventories	1,748	1,865	2,116	2,244	8.7%
Accounts receivable	1,245	1,614	1,832	1,940	15.9%
Accounts payable	317	434	492	522	18.1%
Total assets	5,053	5,441	5,994	6,496	8.7%
Short and long-term debt	125	120	120	120	-1.4%
Total liabilities	1,109	1,245	1,304	1,334	6.3%
Shareholders' equity	3,944	4,195	4,691	5,162	9.4%
Valuation and return metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	45.3	39.0	33.7	31.8	37.5
EV/sales (x)	6.9	6.0	5.3	5.0	5.8
EV/EBITDA (adj) (x)	31.0	26.8	23.2	21.8	25.7
EV/EBIT (adj) (x)	34.4	29.5	25.5	24.0	28.3
P/FCF (x)	53.7	56.8	47.9	37.1	48.9
Equity FCF yield (%)	1.9	1.8	2.1	2.7	2.1
P/BV (x)	14.5	13.6	12.2	11.0	12.8
Dividend yield (%)	1.8	2.0	2.2	2.4	2.1
Selected operating metrics	2025A	2026E	2027E	2028E	
Organic growth (%)	9.4	15.5	13.5	5.5	

Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

Price (04-Sep-2026) **USD 49.60**
 Price Target **USD 46.00**

Why EQUAL WEIGHT?

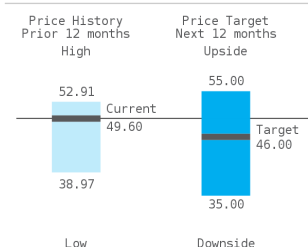
In our view, FAST is among the best-placed distributors in a tariff-driven inflationary environment due to its large inventory (150 days) reported on a FIFO basis, which means FAST sees immediate benefit from supplier price increases. With 70% exposure to manufacturing, FAST looks well placed to benefit from a recovery in manufacturing.

Upside case USD 55.00

Our upside valuation of \$55 is based on a stronger-than-expected revenue CAGR of +6% (2024-26e) and 25% incremental margins, both higher than our base case. We apply a multiple of 30x to our upside FY26e EBITDA, which is at the top of the stock's recent valuation range.

Downside case USD 35.00

Our downside valuation of \$35 is based on a weaker-than-expected +2.5% revenue CAGR (2024-26e) and 20% incremental margins, both lower than our base case. We apply a multiple of 21x to our downside FY26e EBITDA, consistent with FAST's 10-year average NTM EV/EBITDA multiple.

Upside/Downside scenarios

U.S. Industrial Technology & Distributors

POSITIVE

Impinj Inc. (PI)

OVERWEIGHT

Income statement (\$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	361	393	478	584	17.4%
EBITDA (adj)	70	76	114	144	27.6%
EBIT (adj)	55	60	100	129	33.3%
Pre-tax income (adj)	74	82	120	151	26.5%
Net income (adj)	64	69	103	130	26.4%
EPS (adj) (\$)	2.09	2.16	3.15	3.91	23.2%
Diluted shares (mn)	32	33	34	34	2.4%
DPS (\$)	0.00	0.00	0.00	0.00	N/A
Margin and return data	2025A	2026E	2027E	2028E	Average
Gross margin (adj) (%)	55.3	56.1	56.6	57.5	56.4
EBITDA (adj) margin (%)	19.3	19.3	23.9	24.7	21.8
EBIT (adj) margin (%)	15.1	15.4	20.9	22.1	18.4
Pre-tax (adj) margin (%)	20.6	20.9	25.2	25.8	23.1
Net (adj) margin (%)	17.8	17.5	21.6	22.2	19.8
ROCE (%)	21.7	13.3	18.1	18.8	18.0
ROA (%)	13.4	12.2	16.0	16.5	14.5
ROE (%)	45.1	28.1	30.2	27.0	32.6
Cash flow and balance sheet (\$mn)	2025A	2026E	2027E	2028E	CAGR
Change in working capital	217	50	123	142	-13.2%
Cash flow from operations	59	73	88	104	21.1%
Capital expenditure	-13	-9	-17	-20	N/A
Equity free cash flow	46	64	72	84	22.3%
Tangible fixed assets	50	47	49	54	2.4%
Intangible fixed assets	10	8	8	8	-4.8%
Cash and equivalents	48	80	170	273	78.3%
Working capital	213	263	386	528	35.4%
Inventories	85	95	114	136	17.0%
Accounts receivable	71	75	92	112	16.5%
Accounts payable	14	14	17	20	14.4%
Total assets	545	580	709	859	16.4%
Short and long-term debt	281	242	242	242	-4.9%
Total liabilities	336	300	303	307	-3.0%
Shareholders' equity	209	280	406	553	38.2%
Valuation and return metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	82.6	80.1	54.7	44.1	65.4
EV/sales (x)	16.0	14.6	11.8	9.5	13.0
EV/EBITDA (adj) (x)	83.3	75.5	49.3	38.3	61.6
EV/EBIT (adj) (x)	106.3	94.7	56.4	42.8	75.0
P/FCF (x)	118.8	88.7	81.2	69.6	89.6
Equity FCF yield (%)	0.8	1.1	1.2	1.4	1.2
P/BV (x)	26.1	20.1	14.4	10.6	17.8
Dividend yield (%)	0.0	0.0	0.0	0.0	0.0
Selected operating metrics	2025A	2026E	2027E	2028E	
Organic growth (%)	-2.0	12.3	24.1	23.8	

Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

Price (04-Sep-2026)

USD 172.57

Price Target

USD 176.00

Why OVERWEIGHT?

We believe the M800 series endpoint IC will drive PI's outperformance of industry volume growth in 2026 and 2027. We expect RFID industry volume growth to re-accelerate in 2026, due to rising penetration of RFID, including in the food sector.

Upside case

USD 217.00

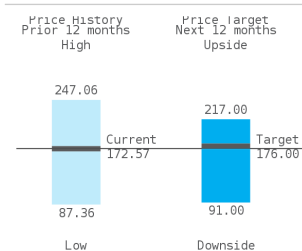
Our upside case is based on 15x EV/Sales multiple applied to FY27 upside case revenues. We discount the implied 2027 upside valuation back by 1 year at the cost of equity to arrive at our 2026 upside case. 15x multiple is the top of PI's historical EV/Sales valuation range.

Downside case

USD 91.00

Our downside case is based on 7.5x EV/Sales multiple applied to FY27 downside case revenues discounted by 1 year at the cost of equity. The 7.5x multiple is slightly below the 5-year average NTM EV/Sales multiple.

Upside/Downside scenarios



U.S. Industrial Technology & Distributors

POSITIVE

Manhattan Associates Inc. (MANH)

OVERWEIGHT

Income statement (\$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	1,081	1,163	1,284	1,415	9.4%
EBITDA (adj)	393	416	467	522	9.9%
EBIT (adj)	387	409	460	513	9.9%
Pre-tax income (adj)	393	416	463	517	9.5%
Net income (adj)	309	324	360	402	9.1%
EPS (adj) (\$)	5.06	5.48	6.35	7.40	13.5%
Diluted shares	61	59	57	54	-3.8%
DPS (\$)	0.00	0.00	0.00	0.00	N/A
Margin and return data	2025A	2026E	2027E	2028E	Average
Gross margin (adj) (%)	56.3	55.1	57.5	58.5	56.9
EBITDA (adj) margin (%)	36.4	35.8	36.4	36.9	36.4
EBIT (adj) margin (%)	35.8	35.2	35.8	36.3	35.8
Pre-tax (adj) margin (%)	36.4	35.8	36.1	36.5	36.2
Net (adj) margin (%)	28.6	27.9	28.0	28.4	28.2
ROCE (%)	N/A	N/A	N/A	N/A	N/A
ROA (%)	N/A	N/A	N/A	N/A	N/A
ROE (%)	N/A	N/A	N/A	N/A	N/A
Cash flow and balance sheet (\$mn)	2025A	2026E	2027E	2028E	CAGR
Change in working capital	24	-162	-29	16	-13.7%
Cash flow from operations	389	515	519	578	14.1%
Capital expenditure	-15	-12	-13	-14	N/A
Equity free cash flow	374	503	507	564	14.7%
Tangible fixed assets	23	28	33	38	18.1%
Intangible fixed assets	62	62	62	62	0.0%
Cash and equivalents	329	218	204	235	-10.6%
Working capital	127	-34	-63	-47	N/A
Inventories	N/A	N/A	N/A	N/A	N/A
Accounts receivable	215	231	255	281	9.4%
Accounts payable	22	26	28	31	12.0%
Total assets	839	727	746	813	-1.0%
Short and long-term debt	0	0	0	0	N/A
Total liabilities	525	595	653	717	11.0%
Shareholders' equity	315	132	93	97	-32.6%
Valuation and return metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	42.2	39.0	33.7	28.9	36.0
EV/sales (x)	11.4	10.7	9.7	8.7	10.1
EV/EBITDA (adj) (x)	31.2	29.8	26.6	23.7	27.8
EV/EBIT (adj) (x)	31.7	30.3	27.0	24.1	28.3
P/FCF (x)	34.9	25.1	23.9	20.6	26.1
Equity FCF yield (%)	2.9	4.0	4.2	4.9	4.0
P/BV (x)	41.5	95.5	129.7	120.2	96.7
Dividend yield (%)	0.0	0.0	0.0	0.0	0.0
Selected operating metrics	2025A	2026E	2027E	2028E	
Organic growth (%)	3.1	6.1	10.5	10.2	
Cloud revenue (\$mn)	408	506	612	726	
Services	N/A	N/A	N/A	N/A	
RPO (\$mn)	2,232	2,679	3,080	3,475	

Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

Price (04-Sep-2026) **USD 213.77**
 Price Target **USD 239.00**

Why OVERWEIGHT?

We expect MANH to maintain its market leadership in the WMS market, while successfully cross-selling and gaining share in other products, including transportation management (TMS) and supply chain planning. MANH is approaching a major renewal cycle in 2026, a significant opportunity for cross-selling. MANH is already seeing R&D productivity gains from AI.

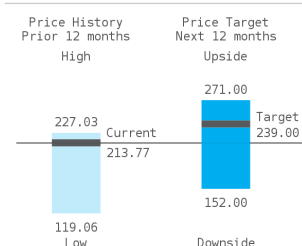
Upside case **USD 271.00**

Our upside case assumes 13x FY26E EV/Sales multiple, and stronger than base case growth in SaaS subscriptions ('24-'25) and +5% CAGR in Services. 13x EV/Sales is 1SD above the 10-year average multiple.

Downside case **USD 152.00**

Our downside case assumes 8x FY26E EV/sales multiple, and weaker than base case SaaS growth of 15% CAGR and 2% decline in Services revenues. 6x EV/Sales is the low end of the 10-year range.

Upside/Downside scenarios



U.S. Industrial Technology & Distributors

POSITIVE

ScanSource Inc. (SCSC)

EQUAL WEIGHT

Income statement (\$k)	2026A	2027E	2028E	2029E	CAGR
Revenue	3,226,061	3,523,516	3,739,186	N/A	N/A
EBITDA (adj)	151,552	160,413	194,562	N/A	N/A
EBIT (adj)	119,707	130,369	159,178	N/A	N/A
Pre-tax income (adj)	123,984	136,302	171,567	N/A	N/A
Net income (adj)	91,948	100,864	126,959	N/A	N/A
EPS (adj) (\$)	4.24	5.17	7.11	N/A	N/A
Diluted shares (k)	21,701	19,518	17,854	N/A	N/A
DPS (\$)	0.00	0.00	0.00	N/A	N/A
Margin and return data	2026A	2027E	2028E	2029E	Average
Gross margin (adj) (%)	14.5	13.4	13.5	N/A	13.8
EBITDA (adj) margin (%)	4.7	4.6	5.2	N/A	4.8
EBIT (adj) margin (%)	3.7	3.7	4.3	N/A	3.9
Pre-tax (adj) margin (%)	3.8	3.9	4.6	N/A	4.1
Net (adj) margin (%)	2.9	2.9	3.4	N/A	3.0
ROCE (%)	6.2	6.7	7.9	N/A	6.9
ROA (%)	4.8	5.1	6.2	N/A	5.4
ROE (%)	10.1	10.9	13.2	N/A	11.4
Cash flow and balance sheet (\$k)	2026A	2027E	2028E	2029E	CAGR
Change in working capital	-38,635	15,425	70,243	N/A	N/A
Cash flow from operations	123,132	104,779	158,020	N/A	N/A
Capital expenditure	-9,286	-12,332	-13,087	N/A	N/A
Equity free cash flow	113,846	92,447	144,933	N/A	N/A
Tangible fixed assets	34,856	39,576	44,089	N/A	N/A
Intangible fixed assets	244,902	234,111	224,677	N/A	N/A
Cash and equivalents	88,374	57,823	107,755	N/A	N/A
Working capital	648,853	664,278	734,521	N/A	N/A
Inventories	522,350	581,380	598,270	N/A	N/A
Accounts receivable	769,750	775,173	785,229	N/A	N/A
Accounts payable	753,275	775,173	785,229	N/A	N/A
Total assets	1,932,429	1,960,260	2,032,217	N/A	N/A
Short and long-term debt	2,866	2,866	2,866	N/A	N/A
Total liabilities	1,021,637	1,038,605	1,073,602	N/A	N/A
Shareholders' equity	910,792	921,656	958,615	N/A	N/A
Valuation and return metrics	2026A	2027E	2028E	2029E	Average
P/E (adj) (x)	13.8	11.3	8.2	N/A	11.1
EV/sales (x)	0.3	0.3	0.3	N/A	0.3
EV/EBITDA (adj) (x)	7.4	7.2	5.7	N/A	6.8
EV/EBIT (adj) (x)	9.4	8.9	6.9	N/A	8.4
P/FCF (x)	11.1	12.3	7.2	N/A	10.2
Equity FCF yield (%)	9.0	8.1	13.9	N/A	10.3
P/BV (x)	1.4	1.2	1.1	N/A	1.2
Dividend yield (%)	0.0	0.0	0.0	N/A	0.0
Selected operating metrics	2026A	2027E	2028E	2029E	
Organic growth (%)	2.4	9.0	6.1	N/A	

Note: FY End Jun

Source: Company data, Bloomberg, Barclays Research

Price (04-Sep-2026) **USD 58.48**
 Price Target **USD 43.00**

Why EQUAL WEIGHT?

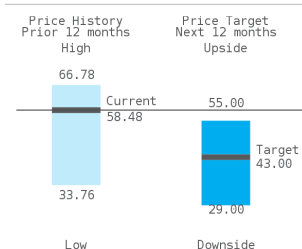
We like SCSC's strategic focus on raising its proportion of recurring revenue, and driving gross profit growth. If gross profits rise faster than expenses, this should raise EBITDA margins and improve free cash flow conversion. We see near-term competitive pressures in the TSD limiting the margin upside required for a high multiple.

Upside case USD 55.00

Our upside valuation is based on stronger-than-expected top-line growth and the average valuation derived from multiples at the high end of the stock's historical ranges.

Downside case USD 29.00

Our downside valuation is based on weaker-than-expected revenue growth and the average valuation derived from multiples at the low end of the stock's historical ranges.

Upside/Downside scenarios

U.S. Industrial Technology & Distributors

POSITIVE

Sensata Technologies Holding plc (ST)

OVERWEIGHT

Income statement (\$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	3,705	3,842	4,024	4,230	4.5%
EBITDA (adj)	836	877	930	995	6.0%
EBIT (adj)	705	745	793	853	6.5%
Pre-tax income (adj)	580	628	677	746	8.8%
Net income (adj)	503	547	589	649	8.9%
EPS (adj) (\$)	3.43	3.73	4.02	4.45	9.1%
Diluted shares (mn)	147	147	146	146	-0.2%
DPS (\$)	0.48	0.48	0.50	0.51	2.2%
Margin and return data	2025A	2026E	2027E	2028E	Average
Gross margin (adj) (%)	27.0	32.6	33.1	33.6	31.6
EBITDA (adj) margin (%)	22.6	22.8	23.1	23.5	23.0
EBIT (adj) margin (%)	19.0	19.4	19.7	20.2	19.6
Pre-tax (adj) margin (%)	15.6	16.4	16.8	17.6	16.6
Net (adj) margin (%)	13.6	14.2	14.6	15.3	14.4
ROCE (%)	10.5	11.1	11.1	11.1	10.9
ROA (%)	7.5	8.1	8.2	8.4	8.0
ROE (%)	18.1	17.1	16.2	15.8	16.8
Cash flow and balance sheet (\$mn)	2025A	2026E	2027E	2028E	CAGR
Change in working capital	-97	48	456	0	N/A
Cash flow from operations	622	614	680	739	6.0%
Capital expenditure	-131	-134	-161	-169	N/A
Equity free cash flow	490	479	519	570	5.2%
Tangible fixed assets	777	786	809	837	2.5%
Intangible fixed assets	412	351	289	226	-18.1%
Cash and equivalents	573	588	996	1,453	36.4%
Working capital	1,219	1,267	1,723	2,235	22.4%
Inventories	618	615	644	677	3.1%
Accounts receivable	657	684	716	753	4.6%
Accounts payable	413	428	449	472	4.5%
Total assets	6,752	6,748	7,186	7,685	4.4%
Short and long-term debt	2,850	2,446	2,446	2,446	-5.0%
Total liabilities	3,967	3,547	3,557	3,571	-3.4%
Shareholders' equity	2,785	3,201	3,628	4,114	13.9%
Valuation and return metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	12.6	11.6	10.7	9.7	11.1
EV/sales (x)	2.3	2.1	1.9	1.7	2.0
EV/EBITDA (adj) (x)	10.3	9.3	8.4	7.4	8.8
EV/EBIT (adj) (x)	12.2	11.0	9.8	8.6	10.4
P/FCF (x)	12.9	13.2	12.1	11.0	12.3
Equity FCF yield (%)	7.8	7.6	8.2	9.1	8.2
P/BV (x)	2.3	2.0	1.7	1.5	1.9
Dividend yield (%)	1.1	1.1	1.2	1.2	1.1
Selected operating metrics	2025A	2026E	2027E	2028E	
Organic growth (%)	0.1	3.4	4.8	0.0	

Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

Price (04-Sep-2026) **USD 43.08**
 Price Target **USD 55.00**

Why OVERWEIGHT?

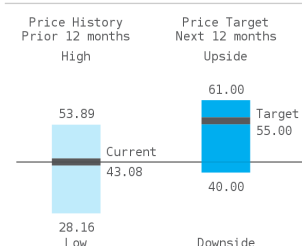
Management has delivered on two strategic pillars of “efficiency” and “capital allocation”. We now expect ST to deliver on its third pillar, “growth”, with content per vehicle and Industrial out growth picking up. We view ST as undervalued on a SOTP basis.

Upside case USD 61.00

Our \$61 upside case is based on higher than expected sales growth than in our base case and 11x EV/EBITDA multiple, which is a 10% premium to the 5-year NTM average of 10x.

Downside case USD 40.00

Our \$40 downside case is based on a worse than expected decline in global auto and HVOR production relative to our base case. We apply a 8x EV/EBITDA multiple which is the trough NTM multiple that ST has traded on in the past 5 years.

Upside/Downside scenarios

U.S. Industrial Technology & Distributors

POSITIVE

Symbotic Inc. (SYM)

UNDERWEIGHT

Income statement (\$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	2,247	2,800	3,826	4,759	28.4%
EBITDA (adj)	147	350	473	639	63.0%
EBIT (adj)	21	38	64	104	70.1%
Pre-tax income (adj)	163	389	542	728	64.8%
Net income (adj)	164	361	504	677	60.3%
EPS (adj) (\$)	0.28	0.60	0.83	1.11	58.9%
Diluted shares (mn)	109	133	145	158	13.4%
DPS (\$)	0.00	0.00	0.00	0.00	N/A
Margin and return data	2025A	2026E	2027E	2028E	Average
Gross margin (adj) (%)	21.0	24.3	22.0	23.8	22.8
EBITDA (adj) margin (%)	6.6	12.5	12.4	13.4	11.2
EBIT (adj) margin (%)	0.9	1.3	1.7	2.2	1.5
Pre-tax (adj) margin (%)	7.2	13.9	14.2	15.3	12.6
Net (adj) margin (%)	7.3	12.9	13.2	14.2	11.9
ROCE (%)	0.9	1.2	1.6	2.3	1.5
ROA (%)	6.8	10.9	12.7	14.7	11.3
ROE (%)	74.2	45.0	45.0	44.2	52.1
Cash flow and balance sheet (\$mn)	2025A	2026E	2027E	2028E	CAGR
Change in working capital	-177	448	148	281	N/A
Cash flow from operations	894	433	658	718	-7.1%
Capital expenditure	-79	-90	-107	-128	N/A
Equity free cash flow	815	343	551	589	-10.2%
Tangible fixed assets	118	179	251	331	41.2%
Intangible fixed assets	79	139	123	110	11.7%
Cash and equivalents	1,245	1,715	1,980	2,256	21.9%
Working capital	161	609	757	1,038	86.2%
Inventories	164	196	268	333	26.5%
Accounts receivable	368	560	765	952	37.2%
Accounts payable	287	347	474	590	27.2%
Total assets	2,401	3,303	3,957	4,603	24.2%
Short and long-term debt	0	0	0	0	N/A
Total liabilities	1,918	2,057	2,194	2,124	3.5%
Shareholders' equity	221	802	1,120	1,533	90.6%
Valuation and return metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	N/A	71.8	51.6	38.5	54.0
EV/sales (x)	2.0	1.4	0.9	0.7	1.3
EV/EBITDA (adj) (x)	30.9	11.2	7.5	5.0	13.6
EV/EBIT (adj) (x)	216.3	104.0	55.1	30.5	101.5
P/FCF (x)	5.7	16.6	11.3	11.5	11.3
Equity FCF yield (%)	17.5	6.0	8.9	8.7	10.3
P/BV (x)	21.1	7.1	5.6	4.4	9.5
Dividend yield (%)	0.0	0.0	0.0	0.0	0.0
Selected operating metrics	2025A	2026E	2027E	2028E	
Organic growth (%)	25.7	24.5	25.9	9.5	

Note: FY End Sep

Source: Company data, Bloomberg, Barclays Research

Price (04-Sep-2026) **USD 42.94**
 Price Target **USD 38.00**

Why UNDERWEIGHT?

SYM's next generation grid system could impact system deployments; we question customer payback on the capital cost of the system, and note that SYM is trading at a premium to Tech Disruptors and SaaS software companies.

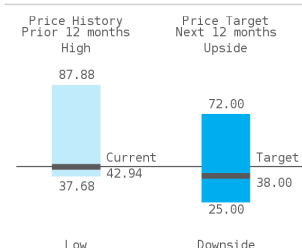
Upside case **USD 72.00**

Our upside case of \$72 is based on SYM announcing new customer wins that are well received by investors and cause SYM shares to trade at the high end of robotic and software valuation peer group of 16x and 20x sales respectively.

Downside case **USD 25.00**

Our downside case of \$25 is based on the company suffering delays in delivery of its backlog, resulting low revenue recognition under POC accounting and causing the stock to trade at the lower end of peer robotics and software multiples of 5x and 10x sales respectively.

Upside/Downside scenarios



U.S. Industrial Technology & Distributors

POSITIVE

TD Synnex (SNX)

EQUAL WEIGHT

Income statement (\$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	62,508	76,537	83,714	88,759	12.4%
EBITDA (adj)	1,903	2,536	2,925	3,225	19.2%
EBIT (adj)	1,785	2,418	2,806	3,107	20.3%
Pre-tax income (adj)	1,427	2,028	2,419	2,720	24.0%
Net income (adj)	1,097	1,541	1,863	2,094	24.0%
EPS (adj) (\$)	13.19	19.13	21.85	23.29	20.8%
Diluted shares (mn)	83	81	85	90	2.6%
DPS (\$)	1.77	1.94	1.86	1.88	2.2%
Margin and return data	2025A	2026E	2027E	2028E	Average
Gross margin (adj) (%)	N/A	N/A	N/A	N/A	N/A
EBITDA (adj) margin (%)	3.0	3.3	3.5	3.6	3.4
EBIT (adj) margin (%)	2.9	3.2	3.4	3.5	3.2
Pre-tax (adj) margin (%)	2.3	2.6	2.9	3.1	2.7
Net (adj) margin (%)	N/A	N/A	N/A	N/A	N/A
ROCE (%)	N/A	N/A	N/A	N/A	N/A
ROA (%)	16.0	17.9	20.7	21.9	19.1
ROE (%)	64.9	277.9	326.7	361.7	257.8
Cash flow and balance sheet (\$mn)	2025A	2026E	2027E	2028E	CAGR
Change in working capital	225	1,452	98	474	28.1%
Cash flow from operations	1,532	-38	1,377	2,019	9.7%
Capital expenditure	-142	-199	-218	-231	N/A
Equity free cash flow	1,033	-618	781	1,411	10.9%
Tangible fixed assets	496	468	349	223	-23.4%
Intangible fixed assets	N/A	N/A	N/A	N/A	N/A
Cash and equivalents	2,435	2,136	1,395	1,411	-16.6%
Working capital	N/A	N/A	N/A	N/A	N/A
Inventories	N/A	N/A	N/A	N/A	N/A
Accounts receivable	N/A	N/A	N/A	N/A	N/A
Accounts payable	N/A	N/A	N/A	N/A	N/A
Total assets	34,251	40,951	41,832	43,639	8.4%
Short and long-term debt	4,610	4,720	4,720	4,720	0.8%
Total liabilities	25,800	31,208	32,110	33,569	9.2%
Shareholders' equity	8,450	2,645	2,645	2,645	-32.1%
Valuation and return metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	19.9	13.7	12.0	11.3	14.2
EV/sales (x)	0.4	0.3	0.3	0.3	0.3
EV/EBITDA (adj) (x)	12.3	9.4	8.4	7.6	9.4
EV/EBIT (adj) (x)	13.1	9.8	8.8	7.9	9.9
P/FCF (x)	21.1	-34.2	28.7	16.7	8.1
Equity FCF yield (%)	4.7	-2.9	3.5	6.0	2.8
P/BV (x)	2.6	8.0	8.5	8.9	7.0
Dividend yield (%)	0.7	0.7	0.7	0.7	0.7
Selected operating metrics	2025A	2026E	2027E	2028E	
Organic growth (%)	6.9	22.4	9.4	6.0	

Note: FY End Nov

Source: Company data, Bloomberg, Barclays Research

Price (04-Sep-2026) **USD 262.64**
Price Target **USD 287.00**

Why EQUAL WEIGHT?

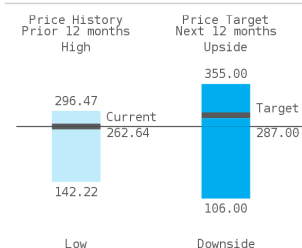
We believe improving mix and strong execution will likely be offset by near-term macro pressures and the longer-term IT move to the cloud from on-premises.

Upside case **USD 355.00**

1) Better-than-expected merger cost synergies; 2) accelerated transition to high-growth technologies and Hyve business; 3) earlier-than-expected PC recovery; 4) macro rebound; 5) scale advantage among wholesale distributors with OEM share gains.

Downside case **USD 106.00**

1) Macro deteriorating with legacy IT budget cuts; 2) continued supply chain risk; 3) Tech Data integration risk; 4) prolonged PC downturn; 5) FX; 6) lack of production category revenue disclosure; 7) still mostly on-premises legacy tech, with slow-moving cloud segment.

Upside/Downside scenarios

U.S. Industrial Technology & Distributors

POSITIVE

TE Connectivity plc (TEL)

OVERWEIGHT

Income statement (\$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	17,262	19,906	21,655	23,107	10.2%
EBITDA (adj)	4,232	5,155	5,773	6,246	13.9%
EBIT (adj)	3,584	4,365	4,916	5,322	14.1%
Pre-tax income (adj)	3,577	4,328	4,868	5,343	14.3%
Net income (adj)	2,771	3,370	3,699	4,060	13.6%
EPS (adj) (\$)	9.26	11.46	12.82	14.34	15.7%
Diluted shares (mn)	299	294	288	283	-1.8%
DPS (\$)	2.72	3.05	3.35	3.69	10.7%
Margin and return data	2025A	2026E	2027E	2028E	Average
Gross margin (adj) (%)	35.2	35.8	36.0	36.5	35.9
EBITDA (adj) margin (%)	24.5	25.9	26.7	27.0	26.0
EBIT (adj) margin (%)	20.8	21.9	22.7	23.0	22.1
Pre-tax (adj) margin (%)	20.7	21.7	22.5	23.1	22.0
Net (adj) margin (%)	16.1	16.9	17.1	17.6	16.9
ROCE (%)	15.2	17.6	18.0	18.2	17.2
ROA (%)	11.1	12.6	12.8	12.7	12.3
ROE (%)	22.2	25.7	25.4	24.8	24.5
Cash flow and balance sheet (\$mn)	2025A	2026E	2027E	2028E	CAGR
Change in working capital	-39	1,681	1,758	1,962	N/A
Cash flow from operations	4,139	4,503	5,132	5,932	12.7%
Capital expenditure	-936	-1,155	-1,234	-1,317	N/A
Equity free cash flow	3,203	3,348	3,897	4,615	12.9%
Tangible fixed assets	4,312	4,645	5,015	5,401	7.8%
Intangible fixed assets	9,353	9,426	9,219	9,012	-1.2%
Cash and equivalents	1,255	1,942	3,247	4,999	58.5%
Working capital	2,846	4,527	6,285	8,247	42.6%
Inventories	2,699	3,085	3,357	3,582	9.9%
Accounts receivable	3,403	3,782	4,223	4,506	9.8%
Accounts payable	2,021	2,389	2,490	2,657	9.6%
Total assets	25,081	26,991	29,241	31,737	8.2%
Short and long-term debt	5,694	5,632	5,311	4,990	-4.3%
Total liabilities	12,351	13,081	13,580	14,219	4.8%
Shareholders' equity	12,585	13,688	15,435	17,289	11.2%
Valuation and return metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	22.5	18.2	16.3	14.5	17.9
EV/sales (x)	3.8	3.3	2.9	2.6	3.2
EV/EBITDA (adj) (x)	15.5	12.6	10.9	9.8	12.2
EV/EBIT (adj) (x)	18.3	14.9	12.9	11.5	14.4
P/FCF (x)	19.5	18.3	15.4	12.8	16.5
Equity FCF yield (%)	5.1	5.5	6.5	7.8	6.2
P/BV (x)	5.0	4.5	3.9	3.4	4.2
Dividend yield (%)	1.3	1.5	1.6	1.8	1.5
Selected operating metrics	2025A	2026E	2027E	2028E	
Organic growth (%)	6.4	11.9	9.1	6.8	

Note: FY End Sep

Source: Company data, Bloomberg, Barclays Research

Price (04-Sep-2026) **USD 208.65**
 Price Target **USD 300.00**

Why OVERWEIGHT?

TEL is benefiting from multiple tailwinds that are increasing connector content across diverse end markets. Including AI-driven datacenter capex which is a step-change in connector content. Other tailwinds include rising EV penetration, increased defense spending, energy grid investments, robotics, and a recovery in factory automation.

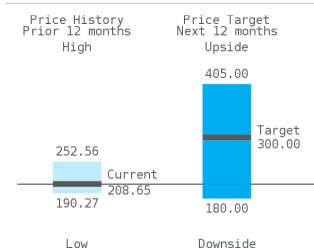
Upside case **USD 405.00**

Our upside case is based on 18x our upside scenario EBITDA, which implies +8% CAGR in revenue (2023-26) and 27% adj. EBIT margins, both higher than our base case. The 18x is at the high end of the recent trading range.

Downside case **USD 180.00**

Our downside case is based on 13x our downside scenario EBITDA, which implies a lower than base case +2% CAGR in revenue and 21% adj. EBIT margins on weaker than base case auto production and datacenter capex. The 13x multiple is in line with TEL's 10-year average.

Upside/Downside scenarios



U.S. Industrial Technology & Distributors

POSITIVE

Teledyne Technologies Inc. (TDY)

EQUAL WEIGHT

Income statement (\$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	6,115	6,569	6,841	7,180	5.5%
EBITDA (adj)	1,502	1,666	1,739	1,836	6.9%
EBIT (adj)	1,380	1,529	1,598	1,691	7.0%
Pre-tax income (adj)	1,325	1,482	1,552	1,648	7.5%
Net income (adj)	1,042	1,170	1,218	1,293	7.5%
EPS (adj) (\$)	21.99	24.93	25.73	27.09	7.2%
Diluted shares (mn)	47	47	47	48	0.2%
DPS (\$)	0.00	0.00	0.00	0.00	N/A

Margin and return data	2025A	2026E	2027E	2028E	Average
Gross margin (adj) (%)	42.8	44.5	44.5	44.5	44.1
EBITDA (adj) margin (%)	24.6	25.4	25.4	25.6	25.2
EBIT (adj) margin (%)	22.6	23.3	23.4	23.6	23.2
Pre-tax (adj) margin (%)	21.7	22.6	22.7	22.9	22.5
Net (adj) margin (%)	17.0	17.8	17.8	18.0	17.7
ROCE (%)	9.0	9.6	9.4	9.2	9.3
ROA (%)	9.9	10.2	9.6	9.2	9.7
ROE (%)	10.4	10.6	10.0	9.7	10.2

Cash flow and balance sheet (\$mn)	2025A	2026E	2027E	2028E	CAGR
Change in working capital	-488	1,215	1,314	1,346	N/A
Cash flow from operations	1,191	1,193	1,375	1,396	5.4%
Capital expenditure	-117	-156	-162	-170	N/A
Equity free cash flow	1,074	1,037	1,212	1,226	4.5%
Tangible fixed assets	839	866	887	913	2.9%
Intangible fixed assets	10,788	10,538	10,331	10,123	-2.1%
Cash and equivalents	352	1,003	2,269	3,561	116.2%
Working capital	1,196	2,411	3,725	5,071	61.9%
Inventories	1,043	1,150	1,163	1,185	4.3%
Accounts receivable	1,367	1,445	1,505	1,580	4.9%
Accounts payable	487	542	568	610	7.8%
Total assets	15,285	15,932	17,085	18,292	6.2%
Short and long-term debt	2,475	2,028	2,028	2,028	-6.4%
Total liabilities	4,771	4,409	4,355	4,268	-3.7%
Shareholders' equity	10,514	11,523	12,730	14,024	10.1%

Valuation and return metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	27.8	24.5	23.7	22.5	24.6
EV/sales (x)	5.0	4.5	4.2	3.8	4.4
EV/EBITDA (adj) (x)	20.5	17.8	16.3	14.8	17.3
EV/EBIT (adj) (x)	22.3	19.4	17.8	16.0	18.9
P/FCF (x)	27.0	27.7	23.8	23.8	25.6
Equity FCF yield (%)	3.7	3.6	4.2	4.2	3.9
P/BV (x)	2.8	2.5	2.3	2.1	2.4
Dividend yield (%)	0.0	0.0	0.0	0.0	0.0

Selected operating metrics	2025A	2026E	2027E	2028E
Organic growth (%)	2.5	3.4	9.2	6.9

Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

Price (04-Sep-2026) **USD 610.65**
 Price Target **USD 640.00**

Why EQUAL WEIGHT?

We are Equal Weight as we favor names with greater cyclical upside to their earnings than TDY. Furthermore, TDY shares have limited upside to our target price, which is based on a 4.0% FCF FY27e yield. Furthermore, TDY is trading at the high end of its historical valuation range.

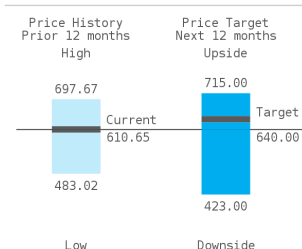
Upside case **USD 715.00**

Our upside case is based on 3.5% FCF yield applied to our upside FY26 FCF, which implies 7.5% CAGR (2024-26) in revenues and 24% adj. EBIT margins, both higher than base case. 3.5% FCF yield is above the high end of the historical range.

Downside case **USD 423.00**

Our downside case is based on 5.0% FCF yield applied to our downside case FY26 FCF, which implies 4% CAGR (2024-26) in revenues and 22% adj. EBIT margins, both lower than our base case. 5.0% FCF yield is in line with TDY's 10-year historical average.

Upside/Downside scenarios



U.S. Industrial Technology & Distributors

POSITIVE

Trimble Inc. (TRMB)

OVERWEIGHT

Income statement (\$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	3,587	3,955	4,233	4,565	8.4%
EBITDA (adj)	1,046	1,185	1,299	1,453	11.6%
EBIT (adj)	988	1,126	1,236	1,386	11.9%
Pre-tax income (adj)	916	1,046	1,160	1,311	12.7%
Net income (adj)	756	865	952	1,075	12.4%
EPS (adj) (\$)	3.13	3.71	4.17	4.81	15.4%
Diluted shares (mn)	242	233	228	223	-2.6%
DPS (\$)	0.00	0.00	0.00	0.00	N/A
Margin and return data	2025A	2026E	2027E	2028E	Average
Gross margin (adj) (%)	71.5	0.0	0.0	0.0	17.9
EBITDA (adj) margin (%)	29.2	30.0	30.7	31.8	30.4
EBIT (adj) margin (%)	27.5	28.5	29.2	30.4	28.9
Pre-tax (adj) margin (%)	25.5	26.5	27.4	28.7	27.0
Net (adj) margin (%)	21.1	21.9	22.5	23.5	22.2
ROCE (%)	12.7	15.3	15.6	16.1	14.9
ROA (%)	13.0	15.9	15.9	16.1	15.2
ROE (%)	13.0	15.9	15.9	16.1	15.2
Cash flow and balance sheet (\$mn)	2025A	2026E	2027E	2028E	CAGR
Change in working capital	-354	86	453	569	N/A
Cash flow from operations	386	846	1,029	1,082	41.0%
Capital expenditure	-25	-40	-42	-46	N/A
Equity free cash flow	361	807	986	1,036	42.1%
Tangible fixed assets	183	191	201	213	5.3%
Intangible fixed assets	924	766	608	450	-21.3%
Cash and equivalents	253	380	973	1,615	85.4%
Working capital	129	215	667	1,237	112.7%
Inventories	0	0	0	0	N/A
Accounts receivable	856	910	931	1,004	5.5%
Accounts payable	168	186	199	214	8.4%
Total assets	9,312	8,949	9,684	10,524	4.2%
Short and long-term debt	1,392	1,459	1,459	1,459	1.6%
Total liabilities	3,476	3,499	3,682	3,847	3.4%
Shareholders' equity	5,836	5,451	6,002	6,677	4.6%
Valuation and return metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	19.0	16.0	14.3	12.4	15.4
EV/sales (x)	4.2	3.8	3.4	3.0	3.6
EV/EBITDA (adj) (x)	14.3	12.6	11.0	9.4	11.9
EV/EBIT (adj) (x)	15.2	13.3	11.6	9.9	12.5
P/FCF (x)	39.8	17.2	13.8	12.8	20.9
Equity FCF yield (%)	2.5	5.8	7.3	7.8	5.8
P/BV (x)	2.5	2.5	2.3	2.0	2.3
Dividend yield (%)	0.0	0.0	0.0	0.0	0.0
Selected operating metrics	2025A	2026E	2027E	2028E	
Organic growth (%)	6.0	9.7	8.6	9.9	

Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

Price (04-Sep-2026) **USD 59.47**
Price Target **USD 80.00**

Why OVERWEIGHT?

TRMB is transforming its business from a hardware-centric GPS company into a software provider. Software and services now account for 77% of company revenue (as of 2Q26), while recurring revenue is now 63% of total sales. We see a clear catalyst path for TRMB going forward.

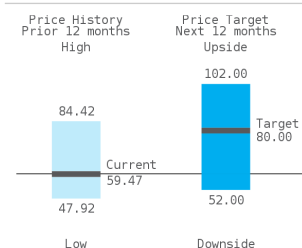
Upside case **USD 102.00**

Our upside case is based on 6x FY26 our upside sales estimate, which is based on +8% organic sales growth and +2% total CAGR in revenue (2024-26) that includes 2 divestitures.

Downside case **USD 52.00**

Our downside case is based on 3.5x FY26 our downside sales scenario, which is based on +4% organic sales growth and -1% total CAGR in revenue (2024-26) that includes 2 divestitures.

Upside/Downside scenarios



U.S. Industrial Technology & Distributors

POSITIVE

WESCO International Inc. (WCC)

OVERWEIGHT

Income statement (\$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	23,511	26,213	27,693	29,019	7.3%
EBITDA (adj)	1,537	1,832	1,993	2,155	11.9%
EBIT (adj)	1,268	1,517	1,679	1,861	13.6%
Pre-tax income (adj)	891	1,114	1,286	1,469	18.1%
Net income (adj)	639	832	949	1,083	19.2%
EPS (adj) (\$)	12.92	16.84	19.40	22.37	20.1%
Diluted shares (mn)	49	49	49	48	-0.7%
DPS (\$)	1.82	2.00	2.20	2.43	10.1%
Margin and return data	2025A	2026E	2027E	2028E	Average
Gross margin (adj) (%)	21.1	21.7	22.1	22.1	21.8
EBITDA (adj) margin (%)	6.5	7.0	7.2	7.4	7.0
EBIT (adj) margin (%)	5.4	5.8	6.1	6.4	5.9
Pre-tax (adj) margin (%)	3.8	4.3	4.6	5.1	4.4
Net (adj) margin (%)	2.7	3.2	3.4	3.7	3.3
ROCE (%)	10.8	12.1	12.7	13.5	12.3
ROA (%)	9.1	9.5	9.8	10.3	9.7
ROE (%)	28.8	31.2	31.1	30.4	30.4
Cash flow and balance sheet (\$mn)	2025A	2026E	2027E	2028E	CAGR
Change in working capital	869	590	209	160	-43.1%
Cash flow from operations	125	536	962	1,120	107.7%
Capital expenditure	-100	-119	-138	-145	N/A
Equity free cash flow	25	417	823	975	238.2%
Tangible fixed assets	467	447	391	362	-8.1%
Intangible fixed assets	N/A	N/A	N/A	N/A	N/A
Cash and equivalents	605	792	1,236	1,822	44.4%
Working capital	5,571	6,160	6,369	6,529	5.4%
Inventories	4,009	4,456	4,708	4,788	6.1%
Accounts receivable	4,592	5,112	5,262	5,514	6.3%
Accounts payable	3,031	3,408	3,600	3,772	7.6%
Total assets	16,495	17,670	18,469	19,360	5.5%
Short and long-term debt	5,781	5,936	5,936	5,936	0.9%
Total liabilities	11,469	12,263	12,455	12,627	3.3%
Shareholders' equity	5,027	5,407	6,014	6,733	10.2%
Valuation and return metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	27.2	20.9	18.1	15.7	20.5
EV/sales (x)	1.0	0.9	0.8	0.7	0.8
EV/EBITDA (adj) (x)	14.7	12.3	11.1	10.0	12.0
EV/EBIT (adj) (x)	17.8	14.8	13.1	11.5	14.3
P/FCF (x)	690.0	41.7	20.9	17.5	192.5
Equity FCF yield (%)	0.1	2.4	4.8	5.7	3.3
P/BV (x)	3.5	3.2	2.9	2.5	3.0
Dividend yield (%)	0.5	0.6	0.6	0.7	0.6
Selected operating metrics	2025A	2026E	2027E	2028E	
Organic growth (%)	8.5	11.0	5.5	4.4	

Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

Price (04-Sep-2026) **USD 351.46**
 Price Target **USD 390.00**

Why OVERWEIGHT?

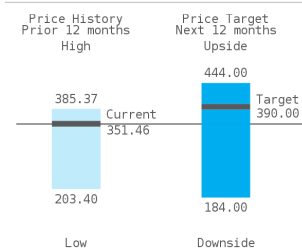
We like WCC's end-market mix, which include datacenters, industrial OEMs and electric utilities. WCC estimates its TAM at \$500B TAM and is realizing benefits from its digital investments, including cross-selling across its substantial customer base. Long-term we see significant potential upside from investment in automation.

Upside case **USD 444.00**

Our upside valuation is based on a HSD% revenue CAGR over 2023-26e and a 15x FY27e EV/EBITDA multiple discounted back 1 year.

Downside case **USD 184.00**

Our downside valuation is based on a 2% revenue CAGR over 2023-26e and an 10x FY27e EV/EBITDA multiple discounted back 1 year.

Upside/Downside scenarios

U.S. Industrial Technology & Distributors

POSITIVE

WW Grainger Inc. (GWW)

UNDERWEIGHT

Income statement (\$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	17,942	19,729	20,763	22,036	7.1%
EBITDA (adj)	2,945	3,395	3,630	3,930	10.1%
EBIT (adj)	2,691	3,135	3,346	3,619	10.4%
Pre-tax income (adj)	2,626	3,083	3,297	3,574	10.8%
Net income (adj)	1,902	2,194	2,345	2,537	10.1%
EPS (adj) (\$)	39.48	46.56	50.89	55.96	12.3%
Diluted shares (mn)	48	47	46	46	-1.7%
DPS (\$)	9.04	9.96	10.98	12.07	10.1%
Margin and return data	2025A	2026E	2027E	2028E	Average
Gross margin (adj) (%)	39.1	39.5	39.3	39.2	39.3
EBITDA (adj) margin (%)	16.4	17.2	17.5	17.8	17.2
EBIT (adj) margin (%)	15.0	15.9	16.1	16.4	15.9
Pre-tax (adj) margin (%)	14.6	15.6	15.9	16.2	15.6
Net (adj) margin (%)	10.6	11.1	11.3	11.5	11.1
ROCE (%)	30.0	31.9	30.9	30.6	30.8
ROA (%)	21.4	23.4	22.7	22.4	22.5
ROE (%)	48.5	48.2	43.9	40.9	45.4
Cash flow and balance sheet (\$mn)	2025A	2026E	2027E	2028E	CAGR
Change in working capital	796	1,505	1,523	0	-100.0%
Cash flow from operations	2,015	2,319	3,036	2,964	13.7%
Capital expenditure	-684	-610	-650	-689	N/A
Equity free cash flow	1,331	1,710	2,387	2,276	19.6%
Tangible fixed assets	2,268	2,597	2,962	3,341	13.8%
Intangible fixed assets	265	272	272	272	0.9%
Cash and equivalents	585	497	943	1,237	28.4%
Working capital	14,164	15,669	17,192	19,172	10.6%
Inventories	2,394	2,650	2,763	2,936	7.0%
Accounts receivable	2,329	2,649	2,731	2,898	7.6%
Accounts payable	963	1,047	1,278	1,358	12.1%
Total assets	8,962	9,825	10,831	11,844	9.7%
Short and long-term debt	2,488	2,408	2,408	2,408	-1.1%
Total liabilities	4,821	4,866	5,097	5,177	2.4%
Shareholders' equity	4,141	4,959	5,734	6,667	17.2%
Valuation and return metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	33.5	28.4	26.0	23.7	27.9
EV/sales (x)	3.6	3.3	3.1	2.9	3.2
EV/EBITDA (adj) (x)	21.9	19.0	17.7	16.2	18.7
EV/EBIT (adj) (x)	24.0	20.6	19.2	17.6	20.3
P/FCF (x)	47.7	36.5	25.7	26.5	34.1
Equity FCF yield (%)	2.1	2.7	3.9	3.8	3.1
P/BV (x)	15.3	12.6	10.7	9.0	11.9
Dividend yield (%)	0.7	0.8	0.8	0.9	0.8
Selected operating metrics	2025A	2026E	2027E	2028E	
Organic growth (%)	2.6	11.5	5.0	4.1	

Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

Price (04-Sep-2026) **USD 1,324.49**
Price Target **USD 1,185.00**

Why UNDERWEIGHT?

We do not favor the MRO market, and GWW's end-market MRO market mix appears relatively unexciting given exposure to government (15%), commercial services (8%), and healthcare (6%). The 30% exposure to manufacturing end-markets is predominantly MRO rather than industrial production, hence we think GWW offers less exposure to a recovery in short-cycle markets.

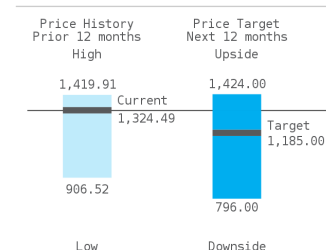
Upside case **USD 1,424.00**

Our upside scenario is based on 18x our upside FY26 EBITDA, which is based on 6% CAGR in revenue and 13% incremental margins, both higher than our base case. 18x multiple is to the high end of GWW's 10-yr average.

Downside case **USD 796.00**

Our downside scenario is based on 13x our downside FY26 EBITDA, which is based on 2% CAGR in revenue (2023-2026) and 8.5% incremental margins, both lower than our base case. The 13x multiple is consistent with GWW's 10-year average.

Upside/Downside scenarios



U.S. Industrial Technology & Distributors

POSITIVE

Zebra Technologies Corp. (ZBRA)

OVERWEIGHT

Income statement (\$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	5,396	6,209	6,541	6,888	8.5%
EBITDA (adj)	1,170	1,478	1,488	1,622	11.5%
EBIT (adj)	1,099	1,398	1,406	1,540	11.9%
Pre-tax income (adj)	990	1,249	1,237	1,388	11.9%
Net income (adj)	811	1,012	1,002	1,125	11.5%
EPS (adj) (\$)	15.85	20.99	21.19	24.01	14.9%
Diluted shares (mn)	51	48	47	47	-2.9%
DPS (\$)	0.00	0.00	0.00	0.00	N/A
Margin and return data	2025A	2026E	2027E	2028E	Average
Gross margin (adj) (%)	48.5	49.9	48.6	48.8	48.9
EBITDA (adj) margin (%)	21.7	23.8	22.8	23.5	22.9
EBIT (adj) margin (%)	20.4	22.5	21.5	22.4	21.7
Pre-tax (adj) margin (%)	18.3	20.1	18.9	20.2	19.4
Net (adj) margin (%)	15.0	16.3	15.3	16.3	15.7
ROCE (%)	16.5	30.0	29.3	17.5	23.3
ROA (%)	9.5	11.4	10.9	11.6	10.9
ROE (%)	22.6	28.0	25.5	25.8	25.5
Cash flow and balance sheet (\$mn)	2025A	2026E	2027E	2028E	CAGR
Change in working capital	-792	-1,560	267	444	N/A
Cash flow from operations	917	1,087	1,147	1,268	11.4%
Capital expenditure	-86	-80	-100	-100	N/A
Equity free cash flow	831	1,007	1,047	1,168	12.0%
Tangible fixed assets	353	359	377	395	3.8%
Intangible fixed assets	809	649	499	349	-24.4%
Cash and equivalents	125	678	1,010	1,517	129.8%
Working capital	-56	-1,616	-1,350	-906	N/A
Inventories	729	838	883	930	8.5%
Accounts receivable	801	931	981	1,033	8.9%
Accounts payable	695	838	883	930	10.2%
Total assets	8,502	8,903	9,197	9,671	4.4%
Short and long-term debt	2,502	2,768	2,468	2,168	-4.7%
Total liabilities	4,914	5,290	5,274	5,315	2.6%
Shareholders' equity	3,588	3,613	3,923	4,356	6.7%
Valuation and return metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	22.9	17.3	17.1	15.1	18.1
EV/sales (x)	3.7	3.1	2.9	2.6	3.1
EV/EBITDA (adj) (x)	17.0	13.2	12.7	11.2	13.5
EV/EBIT (adj) (x)	18.0	14.0	13.5	11.8	14.3
P/FCF (x)	22.4	17.4	16.4	14.5	17.7
Equity FCF yield (%)	4.5	5.8	6.1	6.9	5.8
P/BV (x)	5.2	4.8	4.4	3.9	4.6
Dividend yield (%)	0.0	0.0	0.0	0.0	0.0
Selected operating metrics	2025A	2026E	2027E	2028E	
Organic growth (%)	6.2	7.3	5.3	5.3	

Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

Price (04-Sep-2026) **USD 362.74**
 Price Target **USD 410.00**

Why OVERWEIGHT?

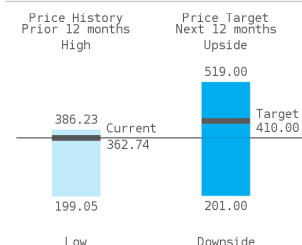
We believe that ZBRA is navigating tariff headwinds better than investor expectations and the negative sentiment regarding the Elo Touch Solutions acquisition (announced at 2Q25 earnings) is overdone given the stock price reaction at the announcement.

Upside case **USD 519.00**

Our upside case is based on 17x FY27 upside EBITDA, which assumes 12% CAGR in revenues and 23% 2027 operating margin, both higher than our base case. 17x is at the high end of the historical range.

Downside case **USD 201.00**

Our downside case is based on 11x FY27 downside EBITDA, which assumes 7.5% CAGR (2023-26) in revenue and 16% 2026 operating margin, both lower than our base case. 11x is at the lower end of the historical trading range.

Upside/Downside scenarios

Valuation Methodology and Risks

U.S. Industrial Technology & Distributors

Amphenol Corp. (APH / APH)

Valuation Methodology: Our \$100 price target is based on a 3% FY27E FCF yield. Our 3.0% FCF yield valuation target multiple is towards the higher end of APH's historical valuation range (5-year average 3.5%) due to strong expected momentum in earnings and cash flow estimates.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Key risks include a slowdown in IT datacom markets (~43% of FY26e sales), in particular, datacenter capex. Other risks include weaker than expected automotive, commercial aerospace and industrial OE production.

Bentley Systems Inc. (BSY / BSY)

Valuation Methodology: Our \$40 target price is based on 10.5% CAGR revenue growth (2022-2026) and a 8x FY26E EV/Sales which compares to 13x NTM 5-year average EV/Sales multiple.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks to our price target include a slowdown in ARR growth caused by slower customer acquisition or cross selling of applications. Other risks include a slowdown in public infrastructure investment that impacts software spend by E&C companies. Upside risks include stronger-than-expected demand from power/ infrastructure markets.

CDW Corp. (CDW / CDW)

Valuation Methodology: Our price target of \$150 is based on 10x FY26 EV/EBITDA versus IT distributors/services peer group of 8.0x.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Upside risks: 1) better-than-expected forward financials and cash flow generation; 2) accelerated transition to netted-down revenue (software / services); 3) earlier-than-expected PC recovery; 4) macro rebound in 2024; 5) scale advantage among VARs and share gains; 6) recent layoffs, which could impact sales culture. Downside risks: 1) macro deteriorating with legacy IT budget cuts; 2) continued sluggish demand from SMBs; 3) prolonged PC downturn with pricing headwinds; 4) still on-premise legacy hardware tech, with slow-moving cloud segment.

Cognex Corp. (CGNX / CGNX)

Valuation Methodology: Our price target is based on 30x our FY26e EBITDA ex SBC, to be comparable with peers. Our 2026 estimates assume +11% CAGR in revenue (2024-2026e) and 90% incremental margins.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Key risks include a slowdown in capital expenditure in Cognex's largest end markets of automotive, logistics, consumer electronics, semi-conductor and consumer packaging. Other risks include an increase in tariffs on Asian electronics imports to the US, in particular from Malaysia and Indonesia, as well as any delay or shortfall in seasonal order patterns that could materially affect earnings.

Fastenal Co. (FAST / FAST)

Valuation Methodology: We base our price target of \$46 on 25.0x FY26E EV/EBITDA. Our target multiple reflects a premium to major public distributor peers, which we think is justified by FAST's superior margin profile.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Downside risks to our price target include weaker-than-expected US industrial production and a slowdown of new customer wins by FAST. Other risks pertain to higher-than-expected US tariffs on Asian imports, in particular, those from China. Upside risks to our price target include an acceleration in digital sales/e-commerce, margin tailwinds from supply chain improvements or lower-than-expected tariffs, and a macroeconomic rebound, especially in industrial and construction sectors.

Impinj Inc. (PI / PI)

Valuation Methodology: Our price target is based on 13.5x FY27e EV/sales. We use EV/Sales as PI is still in the early stage of its development, and is loss-making on a GAAP basis. The 13.5x multiple is towards the upper end of PI's historical valuation range as we expect its endpoint IC volumes to accelerate. We discount our FY27e valuation by 1 year at the cost of equity to arrive at our \$176 price target.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Key risks include a slowing in adoption of RAIN RFID, a decline in Asian apparel volumes, and substitution risks from competing technologies. Other risks include encroachment on the lower 900MHz band spectrum used for RFID by location-based service providers.

Manhattan Associates Inc. (MANH / MANH)

Valuation Methodology: Our price target is based on a 12x FY26E EV/Sales multiple. We assume a +23.5% 2-year CAGR in SaaS subscription revenues, mid-20s % growth in RPO and flat Services revenues (2024-26). Our 12x multiple is around the 10-year average EV/Sales multiple.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks include a slowdown in services revenue caused by customers delaying implementation of Manhattan Associate software due to macro-economic concerns. Other risks include a slowdown in SaaS subscription bookings, which would impact growth in RPO.

ScanSource Inc. (SCSC / SCSC)

Valuation Methodology: We base our \$43 price target on the average of valuation derived from applying 0.3x EV/sales, 6x EV/EBITDA and 9% FCF yield to our FY26 estimates. These target multiples are consistent with the stock's historical averages. We think this is fair as we expect SCSC's strategy to lead to an improvement in EBITDA margins, but we see this being offset by a fiercely competitive environment in the TSD market.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Downside risks to our price target include a downturn in the US and Brazilian IT markets, and competitive pressure in IT distribution and TSD markets. Trade and tariff policy could lead to disruption in customer orders and supplier deliveries. Upside risks to our price target include faster recurring revenue acceleration, more successful and faster M&A integration, and a strong rebound in technology spending.

Valuation Methodology and Risks

Sensata Technologies Holding plc (ST / ST)

Valuation Methodology: Our \$55 price target is based on FY27 SOTP valuation discounted back 1 year, where we ascribe 7x EBITDA multiple to the Automotive segment, which is in line with peer APTV. We apply 15x EBITDA multiple to both Industrial and AD&CE segments, which is consistent with industrial sensing peers. The multiple is derived from both current industrial sensor company valuations as well as past Sensor M&A multiples.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Disruption of global automotive and commercial vehicle production due to supply chain challenges or weaker than expected demand. A sharp rise in raw material, including copper, silver and gold (ST is 60% hedged).

Symbotic Inc. (SYM / SYM)

Valuation Methodology: We value SYM with a sum-of-the-parts valuation applying EV/Sales multiples to the three revenue streams. For the bulk of revenue, which is Systems, we apply a multiple of 5.0x, in line with the robotics peer group; for software we apply a SaaS software multiple of 10.0x; for Operations services, we apply a multiple of 1.0x, which we deem appropriate for this services and aftermarket parts business. We apply these multiples to each forecast year and then discount back to the present day. Our 12-month price target of \$38 is based on a FYR 9/27 valuation discounted back by 1 year at SYM's cost of equity.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risk to our Underweight rating include the high volatility of the share price caused by the limited free float and high short interest relative to outstanding Class A Symbotic shares. Other risks include the announcement of new customers, including those outside of grocery, as this would be viewed positively by investors.

TD Synnex (SNX / SNX)

Valuation Methodology: We are assigning a 9.5x EV/EBITDA for SNX using FY26e EBITDA of \$2,925M to derive our price target of \$287. Based on peer group multiples, we believe SNX is appropriately priced at 9.5x '26e EBITDA, which assumes a 7.5x multiple for IT Distribution and a 14x multiple for Hyve.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Upside risks: 1) better-than-expected merger cost synergies; 2) accelerated transition to high-growth technologies and Hyve business; 3) earlier-than-expected PC recovery; 4) macro rebound; 5) scale advantage among wholesale distributors with OEM share gains. Downside risks: 1) macro deteriorating with legacy IT budget cuts; 2) continued supply chain risk; 3) Tech Data integration risk; 4) prolonged PC downturn; 5) FX; 6) lack of production category revenue disclosure; 7) still mostly on-premises legacy tech, with slow-moving cloud segment.

TE Connectivity plc (TEL / TEL)

Valuation Methodology: Our price target is based on 17x EV/EBITDA, the high end of the recent trading range. We expect TEL to trade at higher multiples than in the past as market perceptions of the company are changing given strong content growth from multiple end markets including datacenters, EV automotive and commercial vehicles, utilities, med tech and industrial automation.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks include a slowdown or decline in global auto & commercial vehicle production, and slower than expected growth in datacenter capex. Other risks include trade disruptions and commodity price increases, in particular, copper.

Teledyne Technologies Inc. (TDY / TDY)

Valuation Methodology: We value TDY on a FCF yield basis which we believe is appropriate given TDY's track record of deploying FCF on bolt-on M&A or share repurchases. Since 2017 TDY has traded between 4% and 6% FCF yield. Our \$640 price target is based on 4.0% FY27e FCF yield, at the top of its historical range given successful recent history of capital deployment.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks to our price target include a downturn in TDY's short-cycle businesses (including industrial cameras and T&M), which could result in FY26e FCF lower than Barclays estimates. Other risks include delays to US DoD budget approval given 24% of sales are to the US government. Higher longer term interest rates could also impact the prevailing valuation for peer defense companies as well as TDY.

Trimble Inc. (TRMB / TRMB)

Valuation Methodology: Our price target is based on 5x our FY26e revenue estimate, which assumes +10% organic sales growth and +4% total CAGR in revenue (2024-26) that includes the impact of 2 major divestments.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks include a slowdown in ARR growth caused by slowing acquisition of new customers and/or lower renewal rates in AECO. Other risks include a slowdown in transportation markets impacting usage and volumes in the T&L segment.

WESCO International Inc. (WCC / WCC)

Valuation Methodology: In setting our price target, we consider a +/-1 STD range around the stock's historical average NTM multiple. In light of the growth and short-cycle tailwinds we see, combined with the potential from digital transformation and automation, we believe WCC warrants a multiple above the upper end of this range. Accordingly, we base our price target of \$390 on 13x FY27e EBITDA discounted back one year at an 11% cost of equity.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks to our price target include a downturn in US construction and industrial markets or a slowdown in datacenter investment. WCC is highly leveraged, so higher long-term interest rates could pose refinancing risk, although WCC has no material debt maturities until 2028.

WW Grainger Inc. (GWW / GWW)

Valuation Methodology: Our price target is derived from a 17x multiple applied to our FY26E EBITDA estimate. 17x is a modest premium to GWW's 10-year average multiple. Our base case assumes 6% CAGR in revenue (2023-2026) and 11% incremental margins.

Valuation Methodology and Risks

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks include a further weakening of the MRO market in NA, and further increases in tariffs on imports to the U.S which could pressure gross margins. Competitive pressures from other eCommerce providers could result in slower growth from the EA businesses. Upside risks include stronger than expected revenue growth and a faster than expected recovery in GWW's margins.

Zebra Technologies Corp. (ZBRA / ZBRA)

Valuation Methodology: Our price target is based on 14x FY27e EBITDA of \$1,488m. 14x is still at the higher end of the historical valuation range, as we believe ZBRA is still in the early stages of a cyclical recovery.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks include an increase in tariffs on Asian imports, which would negatively impact gross margins. Other risks include a downturn in demand for ZBRA's products from retail, manufacturing and logistics sectors, and an increase in memory cost inflation.

Source: Barclays Research

Analyst(s) Certification(s):

I, Guy Hardwick, hereby certify (1) that the views expressed in this research report accurately reflect my personal views about any or all of the subject securities or issuers referred to in this research report and (2) no part of my compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this research report.

Important Disclosures:

Barclays Research is produced by the Investment Bank of Barclays Bank PLC and its affiliates (collectively and each individually, "Barclays"). All authors contributing to this research report are Research Analysts unless otherwise indicated. The publication date at the top of the report reflects the local time where the report was produced and may differ from the release date provided in GMT.

Availability of Disclosures:

Where any companies are the subject of this research report, for current important disclosures regarding those companies please refer to <https://publicresearch.barclays.com> or alternatively send a written request to: Barclays Research Compliance, 745 Seventh Avenue, 13th Floor, New York, NY 10019 or call +1-212-526-1072.

The analysts responsible for preparing this research report have received compensation based upon various factors including the firm's total revenues, a portion of which is generated by investment banking activities, the profitability and revenues of the Markets business and the potential interest of the firm's investing clients in research with respect to the asset class covered by the analyst.

Research analysts employed outside the US by affiliates of Barclays Capital Inc. are not registered/qualified as research analysts with FINRA. Such non-US research analysts may not be associated persons of Barclays Capital Inc., which is a FINRA member, and therefore may not be subject to FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst's account.

Analysts regularly conduct site visits to view the material operations of covered companies, but Barclays policy prohibits them from accepting payment or reimbursement by any covered company of their travel expenses for such visits.

Barclays Research Department produces various types of research including, but not limited to, fundamental analysis, equity-linked analysis, quantitative analysis, and trade ideas. Recommendations contained in one type of Barclays Research may differ from those contained in other types of Barclays Research, whether as a result of differing time horizons, methodologies, or otherwise.

In order to access Barclays Statement regarding Research Dissemination Policies and Procedures, please refer to <https://publicresearch.barclays.com/S/RD.htm>. In order to access Barclays Research Conflict Management Policy Statement, please refer to: <https://publicresearch.barclays.com/S/CM.htm>.

Primary Stocks (Ticker, Date, Price)

Amphenol Corp. (APH, 04-Sep-2026, USD 82.78), Overweight/Positive, A/CD/CE/D/J/K/L/M/N

Bentley Systems Inc. (BSY, 04-Sep-2026, USD 33.71), Equal Weight/Positive, CE/J

CDW Corp. (CDW, 04-Sep-2026, USD 152.38), Equal Weight/Positive, CE/J/K/N

Cognex Corp. (CGNX, 04-Sep-2026, USD 62.25), Overweight/Positive, J

Fastenal Co. (FAST, 04-Sep-2026, USD 49.60), Equal Weight/Positive, CE/J

Impinj Inc. (PI, 04-Sep-2026, USD 172.57), Overweight/Positive, CE/J

Manhattan Associates Inc. (MANH, 04-Sep-2026, USD 213.77), Overweight/Positive, CE/J

ScanSource Inc. (SCSC, 04-Sep-2026, USD 58.48), Equal Weight/Positive, J

Sensata Technologies Holding plc (ST, 04-Sep-2026, USD 43.08), Overweight/Positive, CE/D/E/J/K/L/M

Symbotec Inc. (SYM, 04-Sep-2026, USD 42.94), Underweight/Positive, J

TD Synnex (SNX, 04-Sep-2026, USD 262.64), Equal Weight/Positive, CD/J/K/M/N

TE Connectivity plc (TEL, 04-Sep-2026, USD 208.65), Overweight/Positive, A/D/J/K/L/M

Teledyne Technologies Inc. (TDY, 04-Sep-2026, USD 610.65), Equal Weight/Positive, CD/CE/J

Trimble Inc. (TRMB, 04-Sep-2026, USD 59.47), Overweight/Positive, CD/CE/J

WESCO International Inc. (WCC, 04-Sep-2026, USD 351.46), Overweight/Positive, A/D/E/J/K/L/M

WW Grainger Inc. (GWW, 04-Sep-2026, USD 1324.49), Underweight/Positive, CD/CE/J

Zebra Technologies Corp. (ZBRA, 04-Sep-2026, USD 362.74), Overweight/Positive, CD/CE/J

Unless otherwise indicated, prices are sourced from Bloomberg and reflect the closing price in the relevant trading market, which may not be the last available closing price at the time of publication.

Disclosure Legend:

A: Barclays Bank PLC and/or an affiliate has been lead manager or co-lead manager of a publicly disclosed offer of securities of the issuer in the previous 12 months.

B: An employee or non-executive director of Barclays PLC is a director of this issuer.

CD: Barclays Bank PLC and/or an affiliate is a market-maker in debt securities issued by this issuer.

CE: Barclays Bank PLC and/or an affiliate is a market-maker in equity securities issued by this issuer.

CH: Barclays Bank PLC and/or its group companies makes, or will make, a market in the securities (as defined under paragraph 16.2 (k) of the HK SFC Code of Conduct) in respect of this issuer.

D: Barclays Bank PLC and/or an affiliate has received compensation for investment banking services from this issuer in the past 12 months.

E: Barclays Bank PLC and/or an affiliate expects to receive or intends to seek compensation for investment banking services from this issuer within the next 3 months.

FA: Barclays Bank PLC and/or an affiliate beneficially owns 1% or more of a class of equity securities of this issuer, as calculated in accordance with US regulations.

FB: Barclays Bank PLC and/or an affiliate beneficially owns a long position of more than 0.5% of a class of equity securities of this issuer, as calculated in accordance with EU regulations.

FC: Barclays Bank PLC and/or an affiliate beneficially owns a short position of more than 0.5% of a class of equity securities of this issuer, as calculated in accordance with EU regulations.

FD: Barclays Bank PLC and/or an affiliate beneficially owns 1% or more of a class of equity securities of this issuer, as calculated in accordance with South Korean regulations.

FE: Barclays Bank PLC and/or its group companies has financial interests in relation to this issuer and such interests aggregate to an amount equal to or more than 1% of this issuer's market capitalization, as calculated in accordance with HK regulations.

GD: One of the Research Analysts on the fundamental credit coverage team (and/or a member of his or her household) has a long position in the common equity securities of this issuer.

GE: One of the Research Analysts on the fundamental equity coverage team (and/or a member of his or her household) has a long position in the common equity securities of this issuer.

H: This issuer beneficially owns more than 5% of any class of common equity securities of Barclays PLC.

I: Barclays Bank PLC and/or an affiliate is party to an agreement with this issuer for the provision of financial services to Barclays Bank PLC and/or an affiliate.

J: Barclays Bank PLC and/or an affiliate is a liquidity provider and/or trades regularly in the securities of this issuer and/or in any related derivatives.

K: Barclays Bank PLC and/or an affiliate has received non-investment banking related compensation (including compensation for brokerage services, if applicable) from this issuer within the past 12 months.

L: This issuer is, or during the past 12 months has been, an investment banking client of Barclays Bank PLC and/or an affiliate.

M: This issuer is, or during the past 12 months has been, a non-investment banking client (securities related services) of Barclays Bank PLC and/or an affiliate.

N: This issuer is, or during the past 12 months has been, a non-investment banking client (non-securities related services) of Barclays Bank PLC and/or an affiliate.

O: Not in use.

P: Not in use.

Q: Barclays Bank PLC and/or an affiliate is a Corporate Broker to this issuer.

R: Not in use.

S: This issuer is a Corporate Broker to Barclays PLC.

T: Barclays Bank PLC and/or an affiliate is providing investor engagement services to this issuer.

Risk Disclosure(s)

Master limited partnerships (MLPs) are pass-through entities structured as publicly listed partnerships. For tax purposes, distributions to MLP unit holders may be treated as a return of principal. Investors should consult their own tax advisors before investing in MLP units.

Disclosure(s) regarding Information Sources

Bloomberg® is a trademark and service mark of Bloomberg Finance L.P. and its affiliates (collectively "Bloomberg") and the Bloomberg Indices are trademarks of Bloomberg. Bloomberg or Bloomberg's licensors own all proprietary rights in the Bloomberg Indices. Bloomberg does not approve or endorse this material, or guarantee the accuracy or completeness of any information herein, or make any warranty, express or implied, as to the results to be obtained therefrom and, to the maximum extent allowed by law, Bloomberg shall have no liability or responsibility for injury or damages arising in connection therewith.

Guide to the Barclays Fundamental Equity Research Rating System:

Our coverage analysts use a relative rating system in which they rate stocks as Overweight, Equal Weight or Underweight (see definitions below) relative to other companies covered by the analyst or a team of analysts that are deemed to be in the same industry (the "industry coverage universe").

In addition to the stock rating, we provide industry views which rate the outlook for the industry coverage universe as Positive, Neutral or Negative (see definitions below). A rating system using terms such as buy, hold and sell is not the equivalent of our rating system. Investors should carefully read the entire research report including the definitions of all ratings and not infer its contents from ratings alone.

Stock Rating

Overweight - The stock is expected to outperform the unweighted expected total return of the industry coverage universe over a 12-month investment horizon.

Equal Weight - The stock is expected to perform in line with the unweighted expected total return of the industry coverage universe over a 12-month investment horizon.

Underweight - The stock is expected to underperform the unweighted expected total return of the industry coverage universe over a 12-month investment horizon.

Rating Suspended - The rating and target price have been suspended temporarily due to market events that made coverage impracticable or to comply with applicable regulations and/or firm policies in certain circumstances including where the Investment Bank of Barclays Bank PLC is acting in an advisory capacity in a merger or strategic transaction involving the company.

Industry View

Positive - industry coverage universe fundamentals/valuations are improving.

Neutral - industry coverage universe fundamentals/valuations are steady, neither improving nor deteriorating.

Negative - industry coverage universe fundamentals/valuations are deteriorating.

Below is the list of companies that constitute the "industry coverage universe":

U.S. Industrial Technology & Distributors

Amphenol Corp. (APH)	Bentley Systems Inc. (BSY)	CDW Corp. (CDW)
Cognex Corp. (CGNX)	Fastenal Co. (FAST)	Impinj Inc. (PI)
Manhattan Associates Inc. (MANH)	ScanSource Inc. (SCSC)	Sensata Technologies Holding plc (ST)
Symbotic Inc. (SYM)	TD Synnex (SNX)	TE Connectivity plc (TEL)
Teledyne Technologies Inc. (TDY)	Trimble Inc. (TRMB)	WESCO International Inc. (WCC)
WW Grainger Inc. (GWW)	Zebra Technologies Corp. (ZBRA)	

Distribution of Ratings:

Barclays Equity Research has 1788 companies under coverage.

52% have been assigned an Overweight rating which, for purposes of mandatory regulatory disclosures, is classified as a Buy rating; 47% of companies with this rating are investment banking clients of the Firm; 65% of the issuers with this rating have received financial services from the Firm.

33% have been assigned an Equal Weight rating which, for purposes of mandatory regulatory disclosures, is classified as a Hold rating; 39% of companies with this rating are investment banking clients of the Firm; 60% of the issuers with this rating have received financial services from the Firm.

14% have been assigned an Underweight rating which, for purposes of mandatory regulatory disclosures, is classified as a Sell rating; 32% of companies with this rating are investment banking clients of the Firm; 57% of the issuers with this rating have received financial services from the Firm.

Guide to the Barclays Research Price Target:

Each analyst has a single price target on the stocks that they cover. The price target represents that analyst's expectation of where the stock will trade in the next 12 months. Upside/downside scenarios, where provided, represent potential upside/potential downside to each analyst's price target over the same 12-month period.

Types of investment recommendations produced by Barclays Equity Research:

In addition to any ratings assigned under Barclays' formal rating systems, this publication may contain investment recommendations in the form of trade ideas, thematic screens, scorecards or portfolio recommendations that have been produced by analysts within Equity Research. Any such investment recommendations shall remain open until they are subsequently amended, rebalanced or closed in a future research report.

Barclays may also re-distribute equity research reports produced by third-party research providers that contain recommendations that differ from and/or conflict with those published by Barclays' Equity Research Department.

Disclosure of other investment recommendations produced by Barclays Equity Research:

Barclays Equity Research may have published other investment recommendations in respect of the same securities/instruments recommended in this research report during the preceding 12 months. To view all investment recommendations published by Barclays Equity Research in the preceding 12 months please refer to <https://live.barcap.com/go/research/Recommendations>.

Legal entities involved in producing Barclays Research:

Barclays Bank PLC (Barclays, UK)
 Barclays Capital Inc. (BCI, US)
 Barclays Bank Ireland PLC, Frankfurt Branch (BBI, Frankfurt)
 Barclays Bank Ireland PLC, Paris Branch (BBI, Paris)
 Barclays Bank Ireland PLC, Milan Branch (BBI, Milan)
 Barclays Securities Japan Limited (BSJL, Japan)
 Barclays Bank PLC, Hong Kong Branch (Barclays Bank, Hong Kong)
 Barclays Bank Mexico, S.A. (BBMX, Mexico)
 Barclays Capital Casa de Bolsa, S.A. de C.V. (BCCB, Mexico)
 Barclays Securities (India) Private Limited (BSIPL, India)
 Barclays Bank PLC, Singapore Branch (Barclays Bank, Singapore)
 Barclays Bank PLC, DIFC Branch (Barclays Bank, DIFC)

Disclaimer:

This publication has been produced by Barclays Research Department in the Investment Bank of Barclays Bank PLC and/or one or more of its affiliates (collectively and each individually, "Barclays").

It has been prepared for institutional investors and not for retail investors. It has been distributed by one or more Barclays affiliated legal entities listed below or by an independent and non-affiliated third-party entity (as may be communicated to you by such third-party entity in its communications with you). It is provided for information purposes only, and Barclays makes no express or implied warranties, and expressly disclaims all warranties of merchantability or fitness for a particular purpose or use with respect to any data included in this publication. Barclays may provide research to certain categories of recipients that do not use it for investment purposes, including public and private companies in covered industries, media organisations, regulators, and academic institutions that use such research for their own internal informational, news gathering, regulatory or academic purposes. To the extent that this publication states on the front page that it is intended for institutional investors and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors under U.S. FINRA Rule 2242, it is an “institutional debt research report” and distribution to retail investors is strictly prohibited. Media organisations are prohibited from re-publishing any opinion or recommendation concerning a debt issuer or debt security contained in any Barclays institutional debt research report. Any recipients that do not want to continue receiving Barclays institutional debt research reports should contact debtresearch@barclays.com. Unless clients have agreed to receive “institutional debt research reports” as required by US FINRA Rule 2242, they will not receive any such reports that may be co-authored by non-debt research analysts. Eligible clients may get access to such cross asset reports by contacting debtresearch@barclays.com. Barclays will not treat unauthorized recipients of this report as its clients and accepts no liability for use by them of the contents which may not be suitable for their personal use. Prices shown are indicative and Barclays is not offering to buy or sell or soliciting offers to buy or sell any financial instrument.

Without limiting any of the foregoing and to the extent permitted by law, in no event shall Barclays, nor any affiliate, nor any of their respective officers, directors, partners, or employees have any liability for (a) any special, punitive, indirect, or consequential damages; or (b) any lost profits, lost revenue, loss of anticipated savings or loss of opportunity or other financial loss, even if notified of the possibility of such damages, arising from any use of this publication or its contents.

Other than disclosures relating to Barclays, the information contained in this publication (including third-party data) has been obtained from sources that Barclays Research believes to be reliable, but Barclays does not represent or warrant that it is accurate or complete. Third-party data, including third-party forecasts and predictions, is provided for information purposes only, has not been adopted or endorsed by Barclays, and does not represent the views or opinions of Barclays. Presentations by Third-Party Speakers: Any views or opinions expressed by third-party speakers during a Barclays-hosted event are solely those of the speaker and do not represent the views or opinions of Barclays. Barclays is not responsible for, and makes no warranties whatsoever as to, the information or opinions contained in any written, electronic, audio or video presentations by any third-party speakers, and such presentations have not been adopted or endorsed by Barclays and do not represent the views or opinions of Barclays. Content from third-party presentations is provided for information purposes only and has not been independently verified by Barclays for its accuracy or completeness.

The views in this publication are solely and exclusively those of the authoring analyst(s) and are subject to change, and Barclays Research has no obligation to update its opinions or the information in this publication. Unless otherwise disclosed herein, the analysts who authored this report have not received any compensation from the subject companies in the past 12 months. If this publication contains recommendations, they are general recommendations that were prepared independently of any other interests, including those of Barclays and/or its affiliates, and/or the subject companies. This publication does not contain personal investment recommendations or investment advice or take into account the individual financial circumstances or investment objectives of the clients who receive it. Barclays is not a fiduciary to any recipient of this publication. The securities and other investments discussed herein may not be suitable for all investors and may not be available for purchase in all jurisdictions. The United States imposed sanctions on certain Chinese companies (<https://ofac.treasury.gov/sanctions-programs-and-country-information/chinese-military-companies-sanctions>), which may restrict U.S. persons from purchasing securities issued by those companies. Investors must independently evaluate the merits and risks of the investments discussed herein, including any sanctions restrictions that may apply, consult any independent advisors they believe necessary, and exercise independent judgment with regard to any investment decision. The value of and income from any investment may fluctuate from day to day as a result of changes in relevant economic markets (including changes in market liquidity). The information herein is not intended to predict actual results, which may differ substantially from those reflected. Past performance is not necessarily indicative of future results. The information provided does not constitute a financial benchmark and should not be used as a submission or contribution of input data for the purposes of determining a financial benchmark.

This publication is not investment company sales literature as defined by Section 270.24(b) of the US Investment Company Act of 1940, nor is it intended to constitute an offer, promotion or recommendation of, and should not be viewed as marketing (including, without limitation, for the purposes of the UK Alternative Investment Fund Managers Regulations 2013 (SI 2013/1773) or AIFMD (Directive 2011/61)) or pre-marketing (including, without limitation, for the purposes of Directive (EU) 2019/1160) of the securities, products or issuers that are the subject of this report.

Third Party Distribution: Any views expressed in this communication are solely those of Barclays and have not been adopted or endorsed by any third party distributor.

United Kingdom: This document is being distributed (1) only by or with the approval of an authorised person (Barclays Bank PLC) or (2) to, and is directed at (a) persons in the United Kingdom having professional experience in matters relating to investments and who fall within the definition of “investment professionals” in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the “Order”); or (b) high net worth companies, unincorporated associations and partnerships and trustees of high value trusts as described in Article 49(2) of the Order; or (c) other persons to whom it may otherwise lawfully be communicated (all such persons being “Relevant Persons”). Any investment or investment activity to which this communication relates is only available to and will only be engaged in with Relevant Persons. Any other persons who receive this communication should not rely on or act upon it. Barclays Bank PLC is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority and is a member of the London Stock Exchange.

European Economic Area (“EEA”): This material is being distributed to any “Authorised User” located in a Restricted EEA Country by Barclays Bank Ireland PLC. The Restricted EEA Countries are Austria, Bulgaria, Estonia, Finland, Hungary, Iceland, Liechtenstein, Lithuania, Luxembourg, Malta, Portugal, Romania, Slovakia and Slovenia. For any other “Authorised User” located in a country of the European Economic Area, this material is being distributed by Barclays Bank PLC. Barclays Bank Ireland PLC is a bank authorised by the Central Bank of Ireland whose registered office is at 1 Molesworth Street, Dublin 2, Ireland. Barclays Bank PLC is not registered in France with the Autorité des marchés financiers or the Autorité de contrôle prudentiel. Authorised User means each individual associated with the Client who is notified by the Client to Barclays and authorised to use the Research Services. The Restricted EEA Countries will be amended if required.

Finland: Notwithstanding Finland's status as a Restricted EEA Country, Research Services may also be provided by Barclays Bank PLC where permitted by the terms of its cross-border license.

Americas: The Investment Bank of Barclays Bank PLC undertakes U.S. securities business in the name of its wholly owned subsidiary Barclays Capital Inc., a FINRA and SIPC member. Barclays Capital Inc., a U.S. registered broker/dealer, is distributing this material in the United States and, in connection therewith accepts responsibility for its contents. Any U.S. person wishing to effect a transaction in any security discussed herein should do so only by contacting a representative of Barclays Capital Inc. in the U.S. at 745 Seventh Avenue, New York, New York 10019.

Non-U.S. persons should contact and execute transactions through a Barclays Bank PLC branch or affiliate in their home jurisdiction unless local regulations permit otherwise.

This material is distributed in Canada by Barclays Capital Canada Inc., a registered investment dealer, a Dealer Member of Canadian Investment Regulatory Organization (www.ciro.ca), and a Member of the Canadian Investor Protection Fund (CIPF).

This material is distributed in Mexico by Barclays Bank Mexico, S.A. and/or Barclays Capital Casa de Bolsa, S.A. de C.V. This material is distributed in the Cayman Islands and in the Bahamas by Barclays Capital Inc., which it is not licensed or registered to conduct and does not conduct business in, from or within those jurisdictions and has not filed this material with any regulatory body in those jurisdictions.

Japan: This material is being distributed to institutional investors in Japan by Barclays Securities Japan Limited. Barclays Securities Japan Limited is a joint-stock company incorporated in Japan with registered office of 6-10-1 Roppongi, Minato-ku, Tokyo 106-6131, Japan. It is a subsidiary of Barclays Bank PLC and a registered financial instruments firm regulated by the Financial Services Agency of Japan. Registered Number: Kanto Zaimukyokucho (kinsho) No. 143.

Asia Pacific (excluding Japan): Barclays Bank PLC, Hong Kong Branch is distributing this material in Hong Kong as an authorised institution regulated by the Hong Kong Monetary Authority. Registered Office: 41/F, Cheung Kong Center, 2 Queen's Road Central, Hong Kong.

All Indian securities-related research and other equity research produced by Barclays' Investment Bank are distributed in India by Barclays Securities (India) Private Limited (BSIPL). BSIPL is a company incorporated under the Companies Act, 1956 having CIN U67120MH2006PTC161063. BSIPL is registered and regulated by the Securities and Exchange Board of India (SEBI) as a Research Analyst: INH000001519; Portfolio Manager INP000002585; Stock Broker INZ000269539 (member of NSE and BSE); Depository Participant with the National Securities & Depositories Limited (NSDL): DP ID: IN-DP-NSDL-478-2020; Investment Adviser: INA000000391. BSIPL is also registered as a Mutual Fund Advisor having AMFI ARN No. 53308. The registered office of BSIPL is at Nirlon Knowledge Park, 9th floor, Block B-6, Off. Western Express Highway, Goregaon (East), Mumbai – 400063, India. Telephone No: +91 22 61754000 Fax number: +91 22 61754099. Any other reports produced by Barclays' Investment Bank are distributed in India by Barclays Bank PLC, India Branch, an associate of BSIPL in India that is registered with Reserve Bank of India (RBI) as a Banking Company under the provisions of The Banking Regulation Act, 1949 (Regn No BOM43) and registered with SEBI as Merchant Banker (Regn No INM000002129) and also as Banker to the Issue (Regn No INBI00000950). Barclays Investments and Loans (India) Limited, registered with RBI as Non Banking Financial Company (Regn No RBI CoR-07-00258), and Barclays Wealth Trustees (India) Private Limited, registered with Registrar of Companies (CIN U93000MH2008PTC188438), are associates of BSIPL in India that are not authorised to distribute any reports produced by Barclays' Investment Bank.

This material is distributed in Singapore by the Singapore Branch of Barclays Bank PLC, a bank licensed in Singapore by the Monetary Authority of Singapore. For matters in connection with this material, recipients in Singapore may contact the Singapore branch of Barclays Bank PLC, whose registered address is 10 Marina Boulevard, #23-01 Marina Bay Financial Centre Tower 2, Singapore 018983.

This material, where distributed to persons in Australia, is produced or provided by Barclays Bank PLC.

This communication is directed at persons who are a "Wholesale Client" as defined by the Australian Corporations Act 2001.

Please note that the Australian Securities and Investments Commission (ASIC) has provided certain exemptions to Barclays Bank PLC (BBPLC) under paragraph 911A(2)(l) of the Corporations Act 2001 from the requirement to hold an Australian financial services licence (AFSL) in respect of financial services provided to Australian Wholesale Clients, on the basis that BBPLC is authorised by the Prudential Regulation Authority of the United Kingdom (PRA) and regulated by the Financial Conduct Authority (FCA) of the United Kingdom and the PRA under United Kingdom laws. The United Kingdom has laws which differ from Australian laws. To the extent that this communication involves the provision of financial services by BBPLC to Australian Wholesale Clients, BBPLC relies on the relevant exemption from the requirement to hold an AFSL. Accordingly, BBPLC does not hold an AFSL.

This communication may be distributed to you by either: (i) Barclays Bank PLC directly, (ii) Barrenjoey Markets Pty Limited (ACN 636 976 059, "Barrenjoey"), the holder of Australian Financial Services Licence (AFSL) 521800, a non-affiliated third party distributor, where clearly identified to you by Barrenjoey. Barrenjoey is not an agent of Barclays Bank PLC or (iii) such other non-affiliated third-party distributor(s) as may be clearly identified to you. Such non-affiliated third-party distributor(s) are not agents of Barclays Bank PLC.

This material, where distributed in New Zealand, is produced or provided by Barclays Bank PLC. Barclays Bank PLC is not registered, filed with or approved by any New Zealand regulatory authority. This material is not provided under or in accordance with the Financial Markets Conduct Act of 2013 ("FMCA"), and is not a disclosure document or "financial advice" under the FMCA. This material is distributed to you by either: (i) Barclays Bank PLC directly or (ii) Barrenjoey Markets Pty Limited ("Barrenjoey"), a non-affiliated third party distributor, where clearly identified to you by Barrenjoey. Barrenjoey is not an agent of Barclays Bank PLC. This material may only be distributed to "wholesale investors" that meet the "investment business", "investment activity", "large", or "government agency" criteria specified in Schedule 1 of the FMCA.

Middle East: Nothing herein should be considered investment advice as defined in the Israeli Regulation of Investment Advisory, Investment Marketing and Portfolio Management Law, 1995 ("Advisory Law"). This document is being made to eligible clients (as defined under the Advisory Law) only. Barclays Israeli branch previously held an investment marketing license with the Israel Securities Authority but it cancelled such license on 30/11/2014 as it solely provides its services to eligible clients pursuant to available exemptions under the Advisory Law, therefore a license with the Israel Securities Authority is not required. Accordingly, Barclays does not maintain an insurance coverage pursuant to the Advisory Law.

This material is distributed in the United Arab Emirates (including the Dubai International Financial Centre) and Qatar by Barclays Bank PLC. Barclays Bank PLC in the Dubai International Financial Centre (Registered No. 0060) is regulated by the Dubai Financial Services Authority (DFSA). Principal place of business in the Dubai International Financial Centre: The Gate Village, Building 4, Level 4, PO Box 506504, Dubai, United Arab Emirates. Barclays Bank PLC-DIFC Branch, may only undertake the financial services activities that fall within the scope of its existing DFSA licence. Related financial products or services are only available to Professional Clients, as defined by the Dubai Financial Services Authority. Barclays Bank PLC in the

UAE is regulated by the Central Bank of the UAE and is licensed to conduct business activities as a branch of a commercial bank incorporated outside the UAE in Dubai (Licence No.: 13/1844/2008, Registered Office: Building No. 6, Burj Dubai Business Hub, Sheikh Zayed Road, Dubai City) and Abu Dhabi (Licence No.: 13/952/2008, Registered Office: Al Jazira Towers, Hamdan Street, PO Box 2734, Abu Dhabi). This material does not constitute or form part of any offer to issue or sell, or any solicitation of any offer to subscribe for or purchase, any securities or investment products in the UAE (including the Dubai International Financial Centre) and accordingly should not be construed as such. Furthermore, this information is being made available on the basis that the recipient acknowledges and understands that the entities and securities to which it may relate have not been approved, licensed by or registered with the UAE Central Bank, the Dubai Financial Services Authority or any other relevant licensing authority or governmental agency in the UAE. The content of this report has not been approved by or filed with the UAE Central Bank or Dubai Financial Services Authority. Barclays Bank PLC in the Qatar Financial Centre (Registered No. 00018) is authorised by the Qatar Financial Centre Regulatory Authority (QFCRA). Barclays Bank PLC-QFC Branch may only undertake the regulated activities that fall within the scope of its existing QFCRA licence. Principal place of business in Qatar: Qatar Financial Centre, Office 1002, 10th Floor, QFC Tower, Diplomatic Area, West Bay, PO Box 15891, Doha, Qatar. Related financial products or services are only available to Business Customers as defined by the Qatar Financial Centre Regulatory Authority.

Russia: This material is not intended for investors who are not Qualified Investors according to the laws of the Russian Federation as it might contain information about or description of the features of financial instruments not admitted for public offering and/or circulation in the Russian Federation and thus not eligible for non-Qualified Investors. If you are not a Qualified Investor according to the laws of the Russian Federation, please dispose of any copy of this material in your possession.

Sustainable Investing Related Research: There is currently no globally accepted framework or definition (legal, regulatory or otherwise) of, nor market consensus as to what constitutes a 'sustainable', 'ESG', 'green', 'climate-friendly' or an equivalent company, investment, strategy or consideration or what precise attributes are required to be eligible to be categorised by such terms. This means there are different ways to evaluate a company or an investment and so different values may be placed on certain sustainability credentials as well as adverse ESG-related impacts of companies and ESG controversies. The evolving nature of sustainable investing considerations, models and methodologies means it can be challenging to definitively and universally classify a company or investment under a sustainable investing label and there may be areas where such companies and investments could improve or where adverse ESG-related impacts or ESG controversies exist. The evolving nature of sustainable finance related regulations and the development of jurisdiction-specific regulatory criteria also means that there is likely to be a degree of divergence as to the interpretation of such terms in the market. We expect industry guidance, market practice, and regulations in this field to continue to evolve.

Any information, data, image, or other content including from a third party source contained, referred to herein or used for whatsoever purpose by Barclays or a third party ("Information"), in relation to any actual or potential 'ESG', 'sustainable' or equivalent objective, issue, factor or consideration is not intended to be relied upon for ESG or sustainability classification, regulatory regime or industry initiative purposes ("ESG Regimes"), unless otherwise stated. Nothing in these materials, including any images included therein, is intended to convey, suggest or indicate that Barclays considers or represents any product, service, person or body mentioned in these materials as meeting or qualifying for any ESG or sustainability classification, label or similar standards that may exist under ESG Regimes. Barclays has not conducted any assessment of compliance with ESG Regimes. Parties are reminded to make their own assessments for these purposes.

IRS Circular 230 Prepared Materials Disclaimer: Barclays does not provide tax advice and nothing contained herein should be construed to be tax advice. Please be advised that any discussion of U.S. tax matters contained herein (including any attachments) (i) is not intended or written to be used, and cannot be used, by you for the purpose of avoiding U.S. tax-related penalties; and (ii) was written to support the promotion or marketing of the transactions or other matters addressed herein. Accordingly, you should seek advice based on your particular circumstances from an independent tax advisor.

© Copyright Barclays Bank PLC (2026). All rights reserved. No part of this publication may be reproduced or redistributed in any manner without the prior written permission of Barclays. Barclays Bank PLC is registered in England No. 1026167. Registered office 1 Churchill Place, London, E14 5HP. Additional information regarding this publication will be furnished upon request.

BRND2026